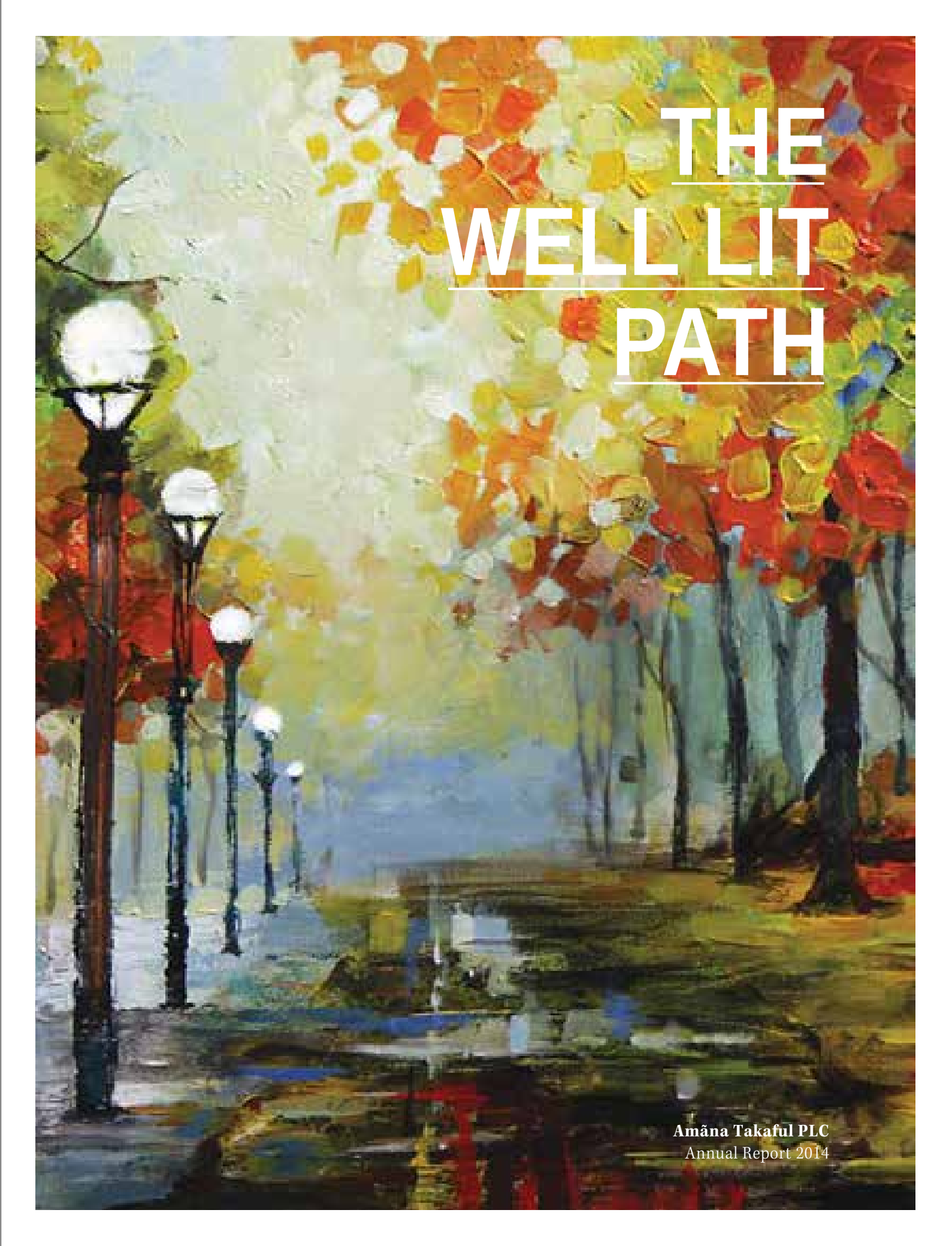


An impressionistic painting of a park path. The scene is filled with trees displaying vibrant autumn foliage in shades of red, orange, and yellow. A series of black street lamps with white spherical globes line the path, receding into the distance. The ground is a mix of green grass and fallen leaves. The overall style is soft and painterly, with visible brushstrokes.

THE WELL LIT PATH

Amāna Takaful PLC
Annual Report 2014



*“ The Takaful concept is about purity,
fairness and mutual trust.
It is a commitment, to provide financial
security through solidarity ”*



THE WELL LIT PATH

Amāna Takaful shines a bright light in the insurance firmament of Sri Lanka.

Our unique 'single power source' derives from a composite of singular strengths, qualities and ethics that shine bright...no matter how many beams illuminate the landscape. Our Life and General Insurance businesses though segregated into two distinct entities, bear the composite strength and power of Amāna Takaful as we traverse the well lit path.



OUR VISION

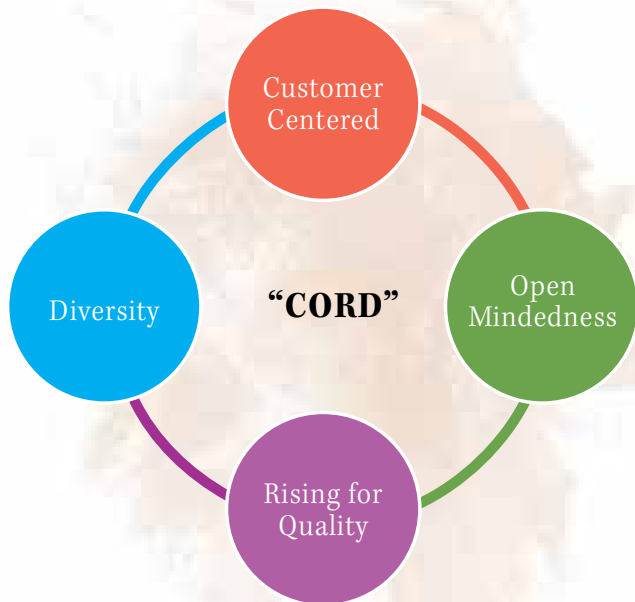
“To be a world-class Takaful service provider.”

We will benchmark our delivery of value to that of world-class service providers in terms of product and services, whilst upholding the principles of Takaful. Our delivery will reach all our stakeholders including customers, shareholders, suppliers, regulators, our staff and the community at large.

OUR MISSION

“Providing total Takaful solutions within the guidelines of Shari’ah and serving all in an admirable manner.”

OUR VALUES



CORD

- C – Customer Centered: Working always with the customer-first every-time mind-set.
- O – Open Mindedness: Looking for better solutions. Demonstrating consolidated and positive emotions and behaviours.
- R – Rising for Quality: Our work is a reflection of who we are. I value myself high and therefore my work. Strive to meet and exceed customer expectations.
- D – Diversity in everything we do. Embrace our people’s visible and invisible differences, be it age, gender, ethnicity, nationality, religion.



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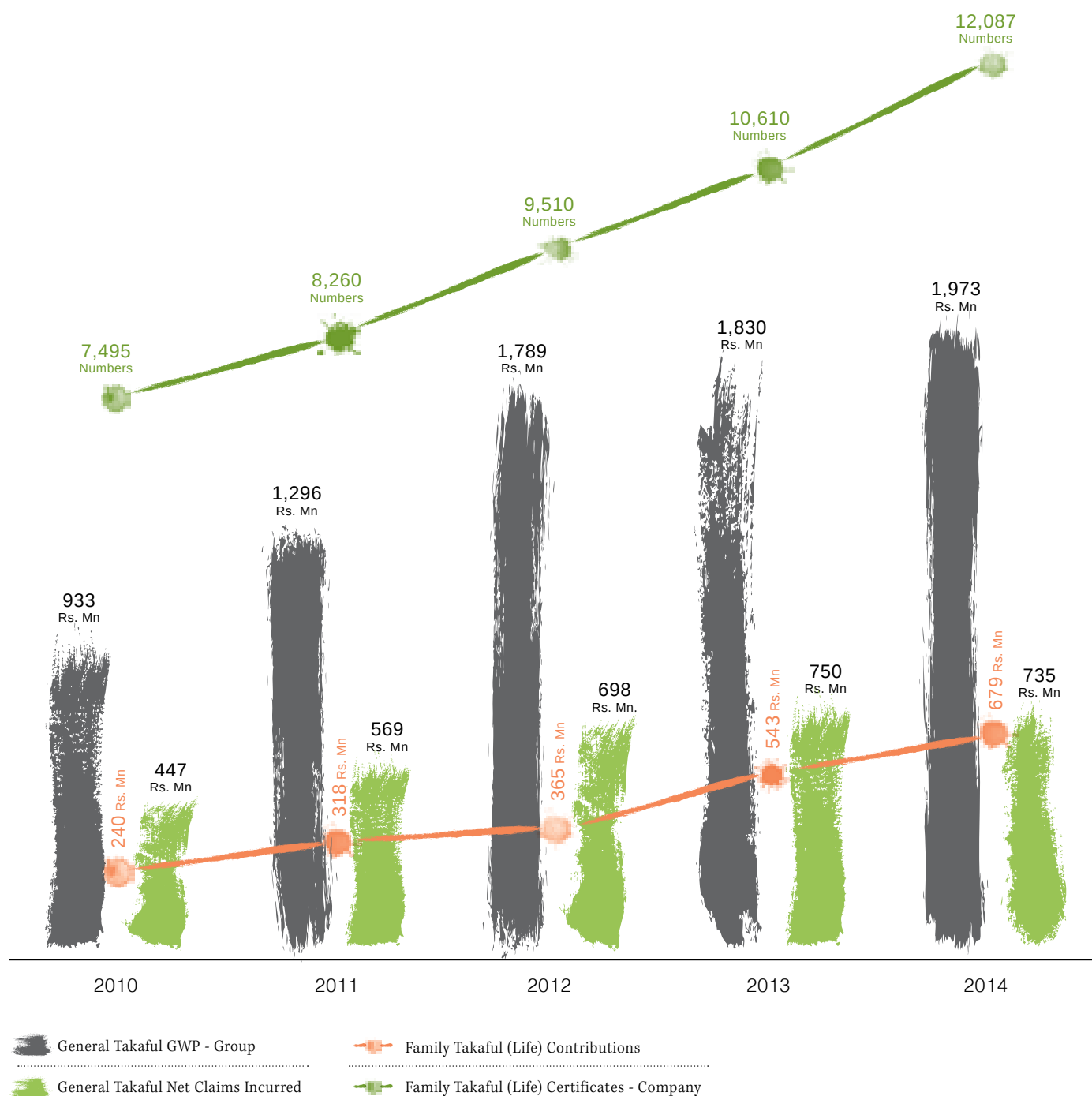
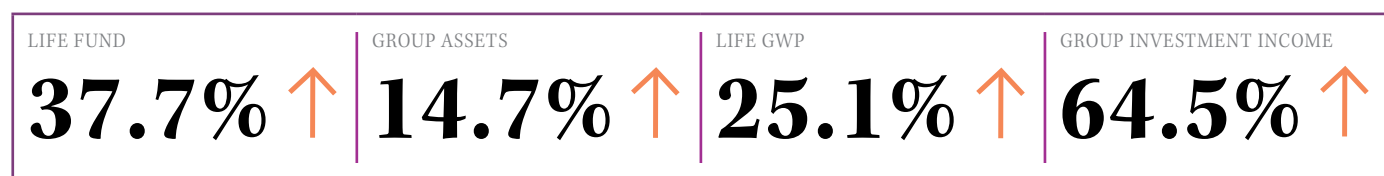
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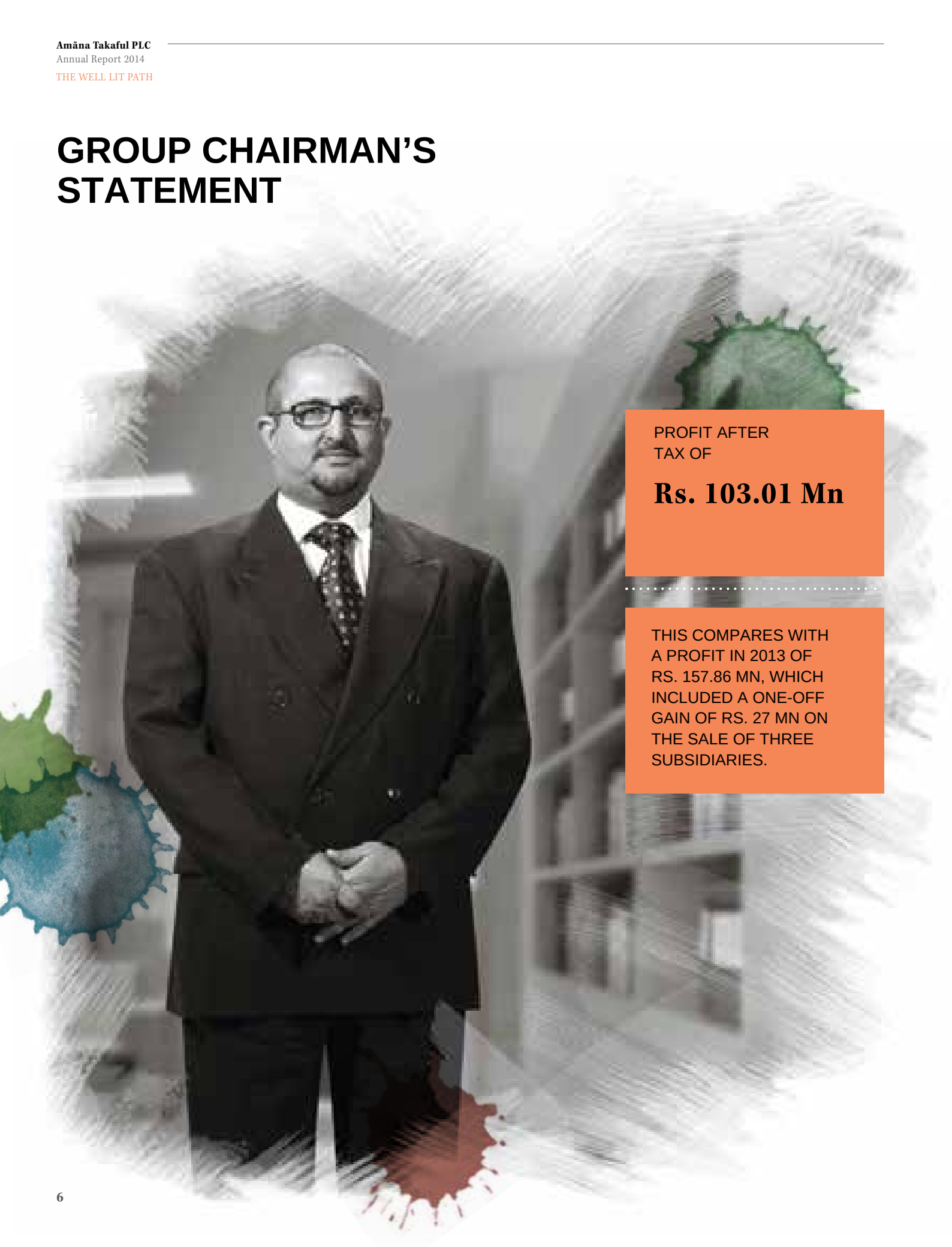


FINANCIAL HIGHLIGHTS

	2014 Rs. Mn	2013 Rs. Mn	Growth (%)
Group			
Total Gross Written Premium	2,652	2,373	11.74
Profit After Tax	103	158	-34.74
Earnings per Share (Rs.)	0.07	0.13	-49.35
Total Assets	3,742	3,262	14.74
Net Assets Value per Share (Rs.)	1.19	1.14	4.95
Return on Equity (%)	7.51	12.21	-
General Takaful			
Gross Written Premium	1,973	1,830	7.79
Net Earned Premium	1,416	1,427	-0.75
Company			
Total Gross Written Premium	2,055	1,866	10.16
Profit After Tax	64	117	45.56
Earnings per Share (Rs.)	0.06	0.12	45.56
Total Assets	3,089	2,649	16.62
Net Assets Value per Share (Rs.)	1.04	0.98	5.70
Return on Equity (%)	6.13	11.90	-
No. of Employees	358	359	-
No. of Branches/Distribution Centres	28	24	16.67
General Takaful			
Gross Written Premium	1,376	1,323	4.04
Net Earned Premium	1,106	1,098	0.77
Life (Family) Takaful			
Gross Written Premium	679	543	25.05
Life (Family Takaful) Fund - Family Takaful	551	550	0.18
Unit Linked	731	381	91.83
Total Life (Family Takaful) Fund	1,282	931	37.68



GROUP CHAIRMAN'S STATEMENT



PROFIT AFTER
TAX OF

Rs. 103.01 Mn

THIS COMPARES WITH
A PROFIT IN 2013 OF
RS. 157.86 MN, WHICH
INCLUDED A ONE-OFF
GAIN OF RS. 27 MN ON
THE SALE OF THREE
SUBSIDIARIES.

A major milestone achieved in 2014 was the successful and timely segregation of the Company's General and Life Insurance businesses in accordance with the Regulation of Insurance Industry Amendment Act of 2011.

I am pleased to present the Annual Report and Financial Statements of the Amāna Takaful Group for the year 2014.

I am also happy to report that in line with the Strategic Plan 2012 - 2014, your Company has achieved both growth and profit in each of the three years.

The profits generated over the last 3 years have led to a reduction of the Group's retained losses from Rs. 417.74 Mn in 2011 to Rs. 121.50 Mn at the close of 2014.

A major milestone achieved in 2014 was the successful and timely segregation of the Company's General and Life Insurance businesses in accordance with the Regulation of Insurance Industry Amendment Act of 2011.

BUSINESS RESULTS

The Group's consolidated revenue of Rs. 2.38 Bn, a growth of 10.9% over 2013, yielded a profit after tax of Rs.103.01 Mn. This compares with a profit in 2013 of Rs. 157.86 Mn, which included a one-off gain of Rs. 27 Mn on the sale of three subsidiaries.

Composite Gross Written Premium of Amāna Takaful PLC (ATPLC) grew by 10.2% over the previous year, ahead of industry growth and crossing the Rs. 2 Bn threshold to close at Rs. 2.06 Bn. In this performance, the Life segment grew by an encouraging 25.2% to Rs. 679.03 Mn that accounts for a third of the composite business share. Increase in Claims and Retakaful commitments adversely affected the profit momentum of the Company. Thus profits in 2014 amounted to Rs. 63.72 Mn, lower by 45.6% compared to the previous year. A continuing factor for lower profits has been the unabated price discounting on Motor that has had a negative impact on the industry as a whole. Amāna Takaful in this environment has met this challenge by taking prudent measures to add value to customers through increased benefits and superior service standards.

Following surplus payments to non-claimant customers in 2012 and 2013, I am pleased to assure our customers that a further surplus payment is planned for the 2nd quarter in 2015, on the basis of the 2014 results.

Now in its eleventh year of operation, our subsidiary in the Maldives continues to make good progress in all aspects of the business. In 2014, Gross Written Premium grew by 17.6% to Rs. 596.71 Mn with a more balanced portfolio, delivering a profit of Rs. 78.48 Mn compared with Rs. 57 Mn in 2013. Amāna Takaful Maldives was able to pay out Surplus Reward to its customers on 2 occasions in 2014, a practice we intend to continue into the future.

INVESTMENT INCOME

Income from investments grew by 64.5% over the previous year to Rs. 256.94 Mn. Avenues for new Shari'ah compliant investment instruments are being continuously explored to further improve return from investments. New Shareholder Funds with the formation of Amāna Takaful Life Ltd. (ATLL) will contribute to investment income.

INSURANCE LANDSCAPE AND OUTLOOK

It is of concern that industry growth has been in steady decline: 11% in 2012, 9.4% in 2013, down to 6.2% in 2014. A substantial part of this reduction has been due to price cutting in the Motor Insurance business that contributes to more than 65% of total industry revenue. This practice of undercutting of price for competitive advantage has militated against the health and development of insurance business in the context of escalating service and repair costs. Regulatory mediation is timely to help promote the sustainable growth of the insurance business and at the same time widen its products and services to a larger catchment. Meanwhile our Company will vigorously pursue actions with relevant stakeholders in order to bring a semblance of sanity to pricing in Motor classes.

TWO COMPANIES - ONE GOAL

The segregated Life business, under the name and style of Amāna Takaful Life Ltd., is operational, from 1st January 2015, as a wholly-owned subsidiary, following the Certificate of Registration issued by the Insurance Board of Sri Lanka. In this seamless transition, all governance procedures have been signed off by the Board, assuring all our policyholders and stakeholders of our best services. I record the appreciation of the Board to all our shareholders who signalled approval for the formation of the Life Subsidiary, a process that was carried out with transparency and openness. Both the Life and General Insurance businesses have crafted new plans to deliver compelling results.

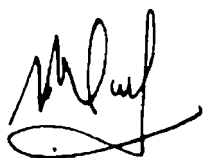
ACKNOWLEDGEMENTS

The Insurance Board of Sri Lanka has always been supportive in addressing our concerns. The partnership has been further strengthened in the run-up to the segregation agenda. I place on record my appreciation for their help, guidance and advice.

As we begin a new phase with the two entities, the Board and I remain steadfast in our pursuit of this hallowed principles of Takaful. I'd like to thank my colleagues on the Board for their continued support. I take this opportunity to thank two former Directors, Mr. Ali Sabry PC and Dr. T. Senthilverl for their most valuable advice during their tenure on the Board.

I pay tribute to the Management and Staff of ATPLC for yet another commendable performance in 2014, in what was a very challenging year.

The Board is committed to fully realise the Group's potential through shared services and greater synergies to take advantage of new opportunities within the Takaful principles.



Tyeab Akbarally

Chairman

10th April 2015



COMPOSITE GROSS WRITTEN PREMIUM OF AMĀNA TAKAFUL PLC (ATPLC) GREW BY 10.2% OVER THE PREVIOUS YEAR, AHEAD OF INDUSTRY GROWTH AND CROSSING THE RS. 2 BN THRESHOLD TO CLOSE AT RS. 2.06 BN. IN THIS PERFORMANCE, THE LIFE SEGMENT GREW BY AN ENCOURAGING 25.2% TO RS. 679.03 MN THAT ACCOUNTS FOR A THIRD OF THE COMPOSITE BUSINESS SHARE.



A CONVERSATION WITH THE CHIEF EXECUTIVE OFFICER

Successful completion of 3 year plan. (2012 - 2014)

- 14.8% CAGR of GWP Growth Rate
- Profit of Rs. 192.89 Mn.
- Life fund growth of Rs. 732 Mn.
- Refurbished 21 branches and 7 new additions.
- Segregation agenda met on time in full compliance.

Q: HOW WOULD YOU RATE ATL'S PERFORMANCE IN THE YEAR UNDER REVIEW?

A: Firstly it gives me great pleasure to address our valued stakeholders through this business operations review. The year under review was a very challenging one, given the extenuating business environment for Takaful; however, my colleagues and I were able to continue ATL's growth trajectory and deliver sustainable business results.

I would rate our business performance as satisfactory. The solid foundation we laid in the first two years of our strategic plan set the underpinnings for our success in this reporting year. I believe, we have successfully met our customers' expectations in terms of service quality, innovation and reach. As we celebrate our Fifteenth Anniversary, we take comfort in the sustainable business model that we have built; the strong values we live by and cherish, holding aloft the pristine purity of the Takaful concept throughout our operations. Having integrated ATL into the many communities that we operate in, the Company exudes a great deal of confidence and optimism into 2015.

Q: YOU REFERRED TO THE BUSINESS ENVIRONMENT AS HAVING BEEN CHALLENGING IN 2014 – WOULD YOU CARE TO ELABORATE?

A: Yes, the operating environment was challenged by peripheral circumstances for Takaful operations through extraneous events, like in the previous year. Industry growth was also restricted to 6.2%, down from 9.6% a year earlier. Much of this is attributed to certain players in the industry indulging in an unhealthy practice of rampant price discounting in motor. Just for perspective, statistics show that such actions impact negatively on industry performance. In short, we have shot ourselves in the foot!

Q: GIVEN THIS TRYING ENVIRONMENT HOW WAS ATL'S PERFORMANCE IN THE YEAR?

A: Our Consolidated Gross Written Premium (GWP) of Rs. 2.05 Bn increased by 10.2% over 2013. Having grown at twice the industry pace in the previous three years, the slowdown is for the reasons mentioned earlier in respect of the General Business. Segment-wise, the Life business however, grew significantly by 25.1%. We achieved a composite market share of 2%. Importantly, the Life Fund grew to around Rs. 1.3 Bn.

The Non-Life GWP of Rs. 1.38 Bn increased by 4% over the previous year, with the pre-dominant motor class remaining stable. Portfolio balance improved from a motor to non-motor ratio of 71:29 to 68:32. Net claims increased by 5.5% to Rs. 639.84 Mn with much of the increased pay-outs on account of the riots in Aluthgama and Dharga Town. Industry-wide, Amāna Takaful has a record of a relatively low claims ratio, attributable to astute claims management due to prudent underwriting and risk assessment. As a consequence, the risk fund is in surplus for the fourth successive year. The Company distributed a surplus of 15% to all non-claimant participants in 2014 and a further pay-out is scheduled in June 2015, on the fund's performance of 2014. I feel bold enough to declare that ATL has, by far, the healthiest under-writing result among our key competition.

The Company's Profit After Tax of Rs. 63.72 Mn compares well with Rs. 117.05 Mn the previous year. This is attributable to higher claims and Retakaful expenses in a trying business environment, relocation costs of the Head Office to a more conducive premises and completion of the Branch Network expansion.

Q: WHAT ARE YOU DOING TO INCREASE DISTRIBUTION AND REACH?

A: In keeping with our pledge to spread the Takaful concept and make it within reach of all Sri Lankans, we have increased our branch network to 28 locations island-wide, with the 28th branch now operational in Anuradhapura from October 2014. Our geographic footprint now includes 8 provinces and 21 districts.

Amāna Apps was launched in mid 2014, providing round-the-clock access from any location for on-line transactional capability.

Q: WHAT HAVE BEEN SOME OF THE SIGNIFICANT ACHIEVEMENTS, RECOGNITIONS AND AWARDS IN THE YEAR UNDER REVIEW?

A: Lanka Rating Agency awarded ATL a BBB rating, one notch higher from the previous BBB- for our Claims Paying Ability. We received the prestigious Gold for 'Islamic Finance Entity of the Year' at the Sri Lanka Islamic Banking and Finance (SLIBFI) Awards held in May 2014. At the same ceremony, we carried away the 'Product of the Year' Award for 'Kruthaguna'. We also received a Certificate of Conformity for our Annual Report and Accounts from The Institute of Chartered Accountants of Sri Lanka.

The new head office is now an open office culture, with convenient work-flow arrangements in a spirit of transparency and openness to all our stakeholders.

Q: WHAT ARE THE FUTURE PROSPECTS FOR ATL AND THE LOCAL INSURANCE INDUSTRY?

A: I am optimistic for the future for Takaful and especially for ATL. It gives us renewed hope and vitality to face the challenges of Takaful Window operations in particular. Ours is a well-integrated, Shari'ah-compliant operation OPEN TO ALL. We draw inspiration through our heritage of 16 years as the pure and pristine armoury of well-rounded business knowledge, which window operators try to emulate.

The segregation of the business into General and Life has moved ATL into the next phase of development. We will seek and take on the new opportunities to cast the net across the landscape here and abroad as flag bearers of the Takaful concept. We've set ourselves ambitious plans and goals in our new three year strategic plan.

Foremost, is to foster a culture of Continuous Improvement. We recognise that human endeavour is the key source of strength in delivering our strategy and growth of the enterprise. We shall leave no stone unturned to invest in the development of our staff and build a robust talent pipeline true to our values of Diversity and Inclusivity. As we speak, gender diversity has moved many strides, with females on board in all departments. We will induct 6 recruits and start afresh our Graduate Trainee Programme from all ethnicities.

For the economy and industry, I tend to be very positive. Sri Lanka should continue to grow at 7%, if you look at most other countries it is difficult to find that level of growth. I am therefore confident of the economic prospects for the country and the Company.

Q: WHAT CHANGES CAN WE EXPECT IN THE FUTURE?

A: At ATL, we actively support a culture of continuous improvement. Foremost in our mind is Customer Centricity. I often ponder over the thought that the industry itself is mundane. The way we play is more of the same. However, this triggers the belief, that while there is not much a player of our size can do to change it, there is every opportunity to change the way we do our business. WOWing the customer is our forte. Service delivery is about people and processes. We have infused skilled talent as well as advocated a high performance culture where individuals and teams are afforded the best for their professional and personal development. We recognise Diversity, in gender, in ethnicities, in academia and thought whilst also encouraging openness. Our open-office culture is an important by-product of this change. The way we approach our customers is not so much as an insurer, rather as a solutions provider with the full gamut of advisory services. After all, the Takaful way is participatory, sharing and principled- all packaged in ethical conduct.

Customers can shortly expect transformational change, when we advance in our technological capability by the second half of 2015, where policies will be delivered real time; off-hand- technology at their doorstep. Today, they already enjoy the convenience of transactional capability through Amāna Apps, where they could access, view, inquire and churn out their requirements at their fingertips, anywhere in the country or anywhere in the world at anytime.

Q: ANY FINAL COMMENTS?

A: 2014 has been a year of extra ordinary interaction with the Regulator, as we went through the motions of Segregation and the trials of Risk-Based Capital Migration. This supportive environment has been rewarding to both parties. On our part, I am beholden and thankful to the IBSL for their understanding and support.

The Shari'ah Council is yet another important advisory : in this case - the governance of the Takaful concept. Their advice and support continues to be very significant.

As we moved through the milestones in the segregation agenda on the one hand and business exigencies on the other, the openness in engagement of the Chairman and Board of Directors was truly inspirational and rewarding. My colleagues join me in expressing our appreciation and thanks to all of them, as we 'set our sails to get our sales' of two-companies with One Hallowed Goal of Takaful.

'Help ye one another in righteousness and piety, but help ye not one another in sin and rancour'



M. Fazal Ghaffoor
Chief Executive Officer

10th April 2015



I WOULD RATE OUR BUSINESS PERFORMANCE AS SATISFACTORY. THE SOLID FOUNDATION WE LAID IN THE FIRST TWO YEARS OF OUR STRATEGIC PLAN SET THE UNDERPINNINGS FOR OUR SUCCESS IN THIS REPORTING YEAR. I BELIEVE, WE HAVE SUCCESSFULLY MET OUR CUSTOMERS' EXPECTATIONS IN TERMS OF SERVICE QUALITY, INNOVATION AND REACH.



MESSAGE FROM THE HEAD OF LIFE BUSINESS



MY TEAM AND I ARE COMMITTED TO EXCEED THE EXPECTATIONS OF THE BOARD TO DELIVER REVENUE AND PROFIT GROWTH FROM THE VERY FIRST YEAR OF OPERATIONS AS A SEPARATE BUSINESS.

I am honoured to present the post-segregation agenda of Amāna Takaful Life Ltd. (ATLL), the successor of the Life SBU of Amāna Takaful PLC.

In 2014, the final year of composite operations, the Life business delivered results in line with the strategic plan crafted in 2012. We experienced significant growth in both Gross Written Premium (GWP) and profitability for the 2nd year running. The Group Management believes that the Life business has now reached a level of maturity and critical mass that will serve as a strong base in delivering future success.

BUSINESS RESULTS

Overall Life GWP grew by 25.1% to Rs. 679.03 Mn, well ahead of industry growth of 9.2%. Significantly, Life revenue has nearly doubled since 2013, with considerable gains being made in procurement of regular policy new business and Prosper, our wealth management product.

THE JOURNEY - POST SEGREGATION

Amāna Takaful Group reiterated its commitment to honour and fulfil policyholder expectations and liabilities in a communiqué sent out to existing clients in early 2015 on the segregation of the Life and General business. Also reinforced was ATLL's commitment to maintaining the pristine purity of Takaful.

Building on this commitment, The new 3-year plan for 2015 – 2017, seeks to aggressively grow market share, balanced with delivering shareholder returns from the very first year.

BUSINESS LINES AND CHANNELS

The regular businesses and 'Prosper' will continue to be the stars in the portfolio, delivering the bulk of the growth.

The Agency channel will continue to be the driving force and thus will receive disproportionate investment to grow both, in terms of capacity as well as capability. We firmly believe that this channel is yet to realise its full potential, despite the channel ranking second highest in terms of average policy value amongst industry peers.

The Banca, Broker and Corporate lines that were established in 2014 have shown promising progress. The team believes that these will be the channels of the future and thus will receive extensive attention and nurturing.

ATLL is also looking to embark on geographical expansion with our Development Office model. The plan is to establish select units in key markets, thus expanding the Takaful footprint.

PEOPLE AND CULTURE

We continue to place a high degree of attention on growing and nurturing existing talent in the Company as well as acquiring key talent to complement the management team.

Past initiatives and activities have firmly embedded a high performance culture in the organisation. Whilst this ethos will continue to be nurtured, we strongly believe that this will serve as a firm foundation in our growth agenda.

CHALLENGES

The team has put in an ambitious plan to curb 'lapses' in the company (this is when the customers stop making payments on their policies). We expect results from these initiatives to be delivered over the next 3 years.

Though Amāna Takaful's life policy persistency has been ahead of industry norms (in a market study commissioned by the industry), the team and I believe that proper need-based selling and customer education on the value and benefit of Life Insurance will be key components to improving policy persistency.

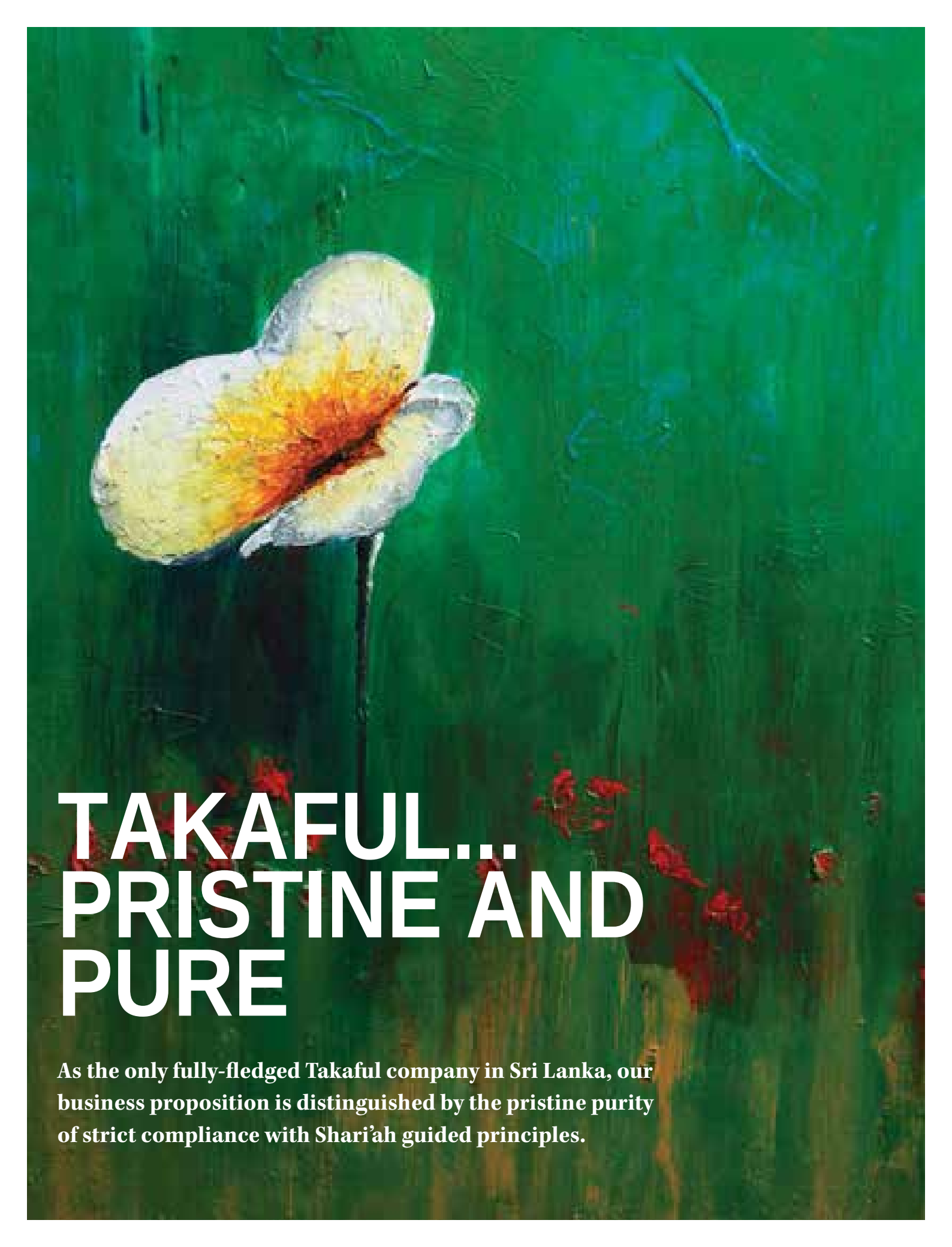
IN CONCLUSION

My team and I are committed to exceed the expectations of the Board to deliver revenue growth and profitability from the very first year of operations as a separate business.

We remain, OPEN TO ALL.



Reyaz Jeffrey
Chief Executive Officer
Amāna Takaful Life Ltd.
10th April 2015

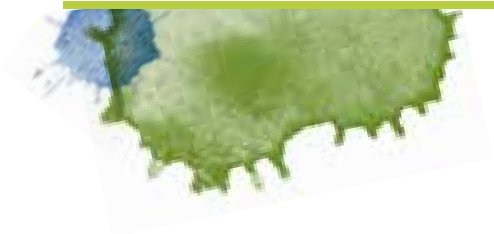


TAKAFUL... PRISTINE AND PURE

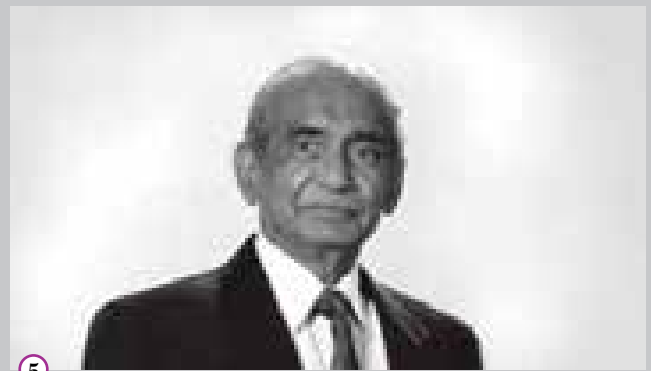
As the only fully-fledged Takaful company in Sri Lanka, our business proposition is distinguished by the pristine purity of strict compliance with Shari'ah guided principles.



OVERALL LIFE GWP GREW BY 25.1% TO RS. 679.03 MN, WELL AHEAD OF INDUSTRY GROWTH OF 9.2%. SIGNIFICANTLY, LIFE REVENUE HAS NEARLY DOUBLED SINCE 2013, WITH CONSIDERABLE GAINS BEING MADE IN PROCUREMENT OF REGULAR POLICY NEW BUSINESS AND PROSPER, OUR WEALTH MANAGEMENT PRODUCT.



BOARD OF DIRECTORS



1. Mr. Tyeab Akbarally
2. Mr. Osman Kassim
3. Dr. Aboobacker Admani Mohamed Haroon
4. Mr. Muhammad Ehsan Zaheed
5. Dr. Ifthikarudeen Ahamed Ismail
6. Mr. Dato' Mohd Fadzli Yusof
7. Mr. Mohamed Haniffa Mohamed Rafiq
8. Mr. Aboo Sally Mohamed Muzzammil
9. Mr. Radhakrishnan Gopinath



①

Tyeab Akbarally*Chairman – Non-Executive*

Mr. Tyeab Akbarally is the Chairman of the Company. He has been appointed to the Board since its inception. He is also a Director of Akbar Brothers Ltd., the largest tea exporter in the country. Mr. Akbarally's business interests extend to many sectors of the Economy including: Tea Trade, Pharmaceutical Trade, Hydro Power and Commodity Trading. He is also on the Boards of Amāna Bank Ltd. and several companies in the Akbar Brothers Group.

②

Mr. Osman Kassim*Non-Executive Director*

Mr. Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies is the Chairman of Amāna Bank. Mr. Kassim is renowned for his expertise in Islamic Banking and Financial Services and has participated in numerous international fora. He counts over 35 years of senior management experience and possesses an Honorary Doctorate from the Staffordshire University, UK. Mr. Kassim plays a dynamic role in determining and envisaging the strategic path of Amāna Bank and the Group as a whole. He has also served as the Chairman of Expolanka Holdings PLC, one of the largest conglomerates in the country.

③

Dr. Aboobacker Admani Mohamed Haroon*Non-Executive Director*

Dr. A.A.M. Haroon was appointed as a Director on 21st September 2000. He is a Medical Practitioner by profession. He also holds the chairmanship of several private companies, encompassing different industries including Garments, Health Care and Clinical Diagnostics.

④

Mr. Muhammad Ehsan Zaheed*Executive Director*

Mr. M. Ehsan Zaheed was appointed as the Director/CEO of Amāna Takaful on 1st October 2003. He is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka and a member of the Institute of Public Accountant of Australia. He completed his articles at Ernst & Young, Chartered Accountants. Having worked with several leading private sector financial bodies, has had immense exposure in Sri Lanka and overseas.

⑤

Dr. Ifthikarudeen Ahamed Ismail*Non-Executive Director*

Dr. Ifthikar Ismail was appointed to the Board of Amāna Takaful PLC in June 2012. He also presently serves on the Boards of Amāna Holdings (Pvt) Ltd. and Asia Siyaka PLC.

He holds a BSc (Hons.) Degree from the University of Ceylon and a PhD from the University of St Andrews-UK. He has attended the Advanced Management Programme at the Harvard Business School, and has participated in a variety of senior functional and general management training courses, mainly in Europe.

Whilst he was Vice-Chairman of Unilever, he served in various capacities in State Institutions; among them as a Director of the National Apprentice Board, a member of the Advisory Committee of the Ministry of Foreign Affairs, the Research Planning Council of the CISIR, the Tertiary Vocation Education Commission and the Council of the Open University.

He has served as Principal of Zahira College, Colombo, CEO of APIIT Lanka and as Chairman of the Board of the Sri Lanka Business Development Centre, Council Member of the Employers' Federation, Chairman of the Board of Governors' of the Symphony Orchestra, Chairman of the Colombo District Scouts Association and Patron of the Photographic Society of Sri Lanka.

⑥

Dato' Mohd Fadzli Yusof*Independent Non-Executive Director*

Dato' Mohd Fadzli Yusof was appointed to the Board on 10th February 1999. He was the Founder Chief Executive Officer/Director of Syarikat Takaful Malaysia Berhad, the first Takaful operator in Malaysia and Asia since its incorporation in 1984 until his retirement in 2005. He obtained the Professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom. He started his career in broadcasting, including six years with BBC in London. Currently, he is an Independent Member of the Board of Hei Tech Padu Berhad and MRC Data Sdn Bhd. He also serves as a member of the Board of Directors, Mains Zakat Sdn Bhd, for the State of Negeri Sembilan, Malaysia and a member of the Board of Trustees Sultan Mizan Royal Foundation. He is also the Academic Fellow, University College Insaniah in the State of Kedah, Malaysia.

⑦

Mr. Mohamed Haniffa Mohamed Rafiq*Independent Non-Executive Director*

Mr. M.H.M. Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades.

His interests are extremely diverse and include Education, Health Care and Real Estate, just to name a few. Mr. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in Amāna Takaful PLC.

⑧

Mr. Aboo Sally Mohamed Muzzammil*Independent Non-Executive Director*

Mr. A.S.M. Muzzammil was appointed to the Board in April 2010. He is the Chairman/Managing Director, Ceylon Foods (Pvt) Ltd. He has served for over 40 years in senior management positions in commerce and industry. He holds an MA in Business Analysis from Lancaster University, UK and the J. Dip. MA, UK. He is a Fellow of the CIMA (UK) and ACCA (UK). Mr. Muzzammil served as the President of CIMA Sri Lanka Division, Exporters Association of Sri Lanka and the Seafood Exporters Association of Sri Lanka. He has been a member of the Councils of the Moratuwa University, SLIATE, SLSI and the ITI and was a member of the Joint Business Forum and various Chambers of Commerce and Industry. He has been a Vice-President and Treasurer of the OPA and also serves in several business, educational, social and religious organisations.

⑨

Mr. Radhakrishnan Gopinath*Independent Non-Executive Director*

Mr. Radhakrishnan Gopinath was appointed to the Board on 6th June 2012. He was formerly the Chief Executive Officer of Life Insurance Corporation Lanka (LIC Lanka) having previously held several top positions at LIC India. Mr. Gopinath was also a Strategic Planning Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka.

Mr. Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London, UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential.

MANAGEMENT TEAM

General Management Committee (GMC)



1. **M. Farhan Jabir** *Head of Human Resources* | 2. **M.S.M. Iqbal** *Head of Information Technology*
3. **M. Rinaz Niyas** *Senior Manager Finance and Administration* | 4. **A.H.M. Dilshad** *Senior Manager - Compliance and Regulatory Reporting*
5. **M. Fawas Farook** *Head of Strategic Planning and Corporate Risk* | 6. **Adel Hashim** *General Manager - Sales and Marketing*
7. **M. Fazal Ghaffoor** *Chief Executive Officer* | 8. **Zaid Ibnu Aboobucker** *General Manager - Operations and Medical*
9. **A. Reyaz Jeffrey** *General Manager/Chief Executive Officer - Family Takaful*



MANAGEMENT TEAM

Business Operations Management (BOM)



L.D. Kester Amarasinghe
Assistant General Manager - Technical



M.H. Rizvan Ahamed
*Assistant General Manager -
Retakaful/General Underwriting*



N.D.B. Sakalasooriya
Assistant General Manager - Motor Claims



M.G.M. Ansari
*Senior Manager - Business Development
(Motor and Micro)*



Shamail Annam
*Senior Manager - Business Development
(Corporate)*



M.F.S.H. Asif
Senior Manager - Sales and Distribution (Life)



Nimalika Sooriyaarachchi
Senior Manager - Family Underwriting



Dr. A. Yusry Mohideen
Manager - Medical Takaful



R. Thilak Nishantha
Manager - Human Resources



S.H. Farook

Manager - Branch Sales and Operations



A.A. Ajfar

Manager - Information Technology



Sumedha Mirihana

Manager - Marketing Activations



M. Shaheer Rasooldeen

*Assistant Manager -
Relationship Management Unit*



M.H. Mohamed Aslam

Secretary to the Board



MANAGEMENT TEAM

Other Corporate Management



A.L.M. Inamulla
Manager - Internal Audit



J. Roshan Ranasinghe
*Senior Manager -
Portfolio Management*



M.S.M. Azmy
*Senior Manager -
Learning and Development*



Omar Mustafa
*Channel Sales Manager -
(Leasing and Financial Services)*



Thasleen Ammon
Channel Sales Manager - (Corporate)



M.L. Basheer
*Senior Regional Manager -
North and Northwest*



M.N. Ashique Mohammad
Regional Manager - Central



Riyad Fowzie
Regional Manager - Western



M.R. Shakir Mohamed
Regional Manager - Western (Life)



U.G. Janaka Wijayakumara
*Regional Manager -
Southern and Sabaragamuwa*



M.K. Mohamed Althaf
Manager Business Development - Prosper



Jowfer Us Sadik
*Manager Business Development -
East and Uva*



Pushpakanthi Gunasekera
Consultant - Technical



S. Jayalath De Mel
Consultant - Family Takaful



Vasantha Ranasinghe
Consultant - Medical Takaful



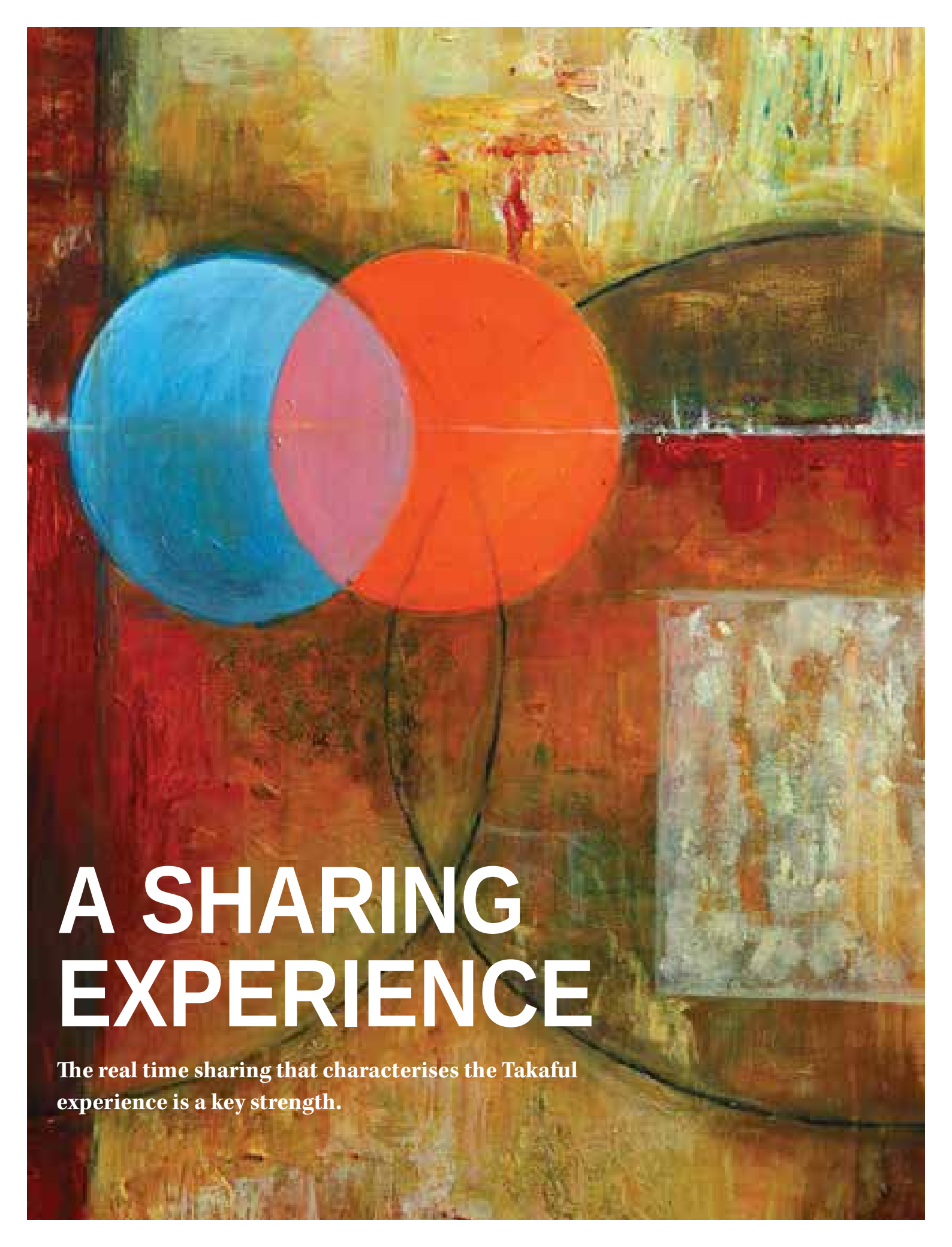
M. Sathik Niyas
Senior Regional Manager - East and Uva



R. Priyanthi Newmen
Manager - Group Life



A. Rushdi Zarook
Manager - Legal



A SHARING EXPERIENCE

The real time sharing that characterises the Takaful experience is a key strength.

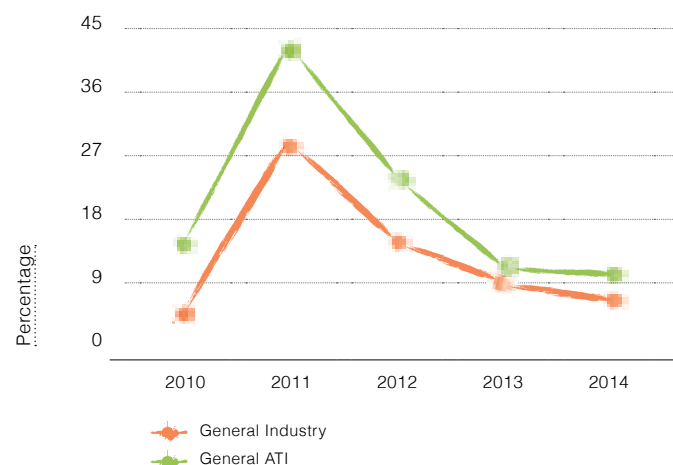
MANAGEMENT DISCUSSION AND ANALYSIS

THE COMPANY

Having commenced operations in 1999, Amāna Takaful celebrates 15 crystalline years. The Company was listed in the Colombo Stock Exchange in 2006 and operated until 31st December 2014 as a composite insurer. ATPLC employs 358 full-time employees and today the Company is present in 28 locations in Sri Lanka covering all the provinces including Jaffna, Hambantota and Batticaloa. In 2014, the Company expanded its footprint into Anuradhapura, Ratnapura, Muthur, and Akkaraipattu. The success of Takaful in Sri Lanka is evident by two 'window operations' by conventional insurers.

Barring two years, the Company recorded losses continuously until 2011. In 2012, the Company drew a three-year plan (2012-2014) with a clear set of objectives to return to profits and generate sustainable growth. We are pleased to declare that the Company was able to achieve its objectives and record sustainable growth in terms of both revenue and profitability over the plan period. The composite GWP growth of the Company has been double the industry performance over the last seven years with the exception of 2010 and 2014.

COMPOSITE GWP GROWTH % - INDUSTRY VS ATI



The Company returned to profit in the first year of the three-year plan and sustained revenue growth and profitability until 2014. The Company's GWP for the year 2014 cruised to Rs. 2.06 Bn from Rs. 1.28 Bn in 2011. Life segment doubled its GWP from Rs. 317.9 Mn in 2011 to Rs. 679.03 Mn in 2014, while the General segment recorded Rs. 1.38 Bn in 2014 compared to Rs. 965 Mn in 2011. The segmental growth is depicted in the table below:

Gross Written Premium and Profitability

Segment	2011	2012	2013	2014	CAGR %
Gross Written Premium					
General (Local)	965.30	1,193.88	1,322.82	1,376.27	12.6
Life	317.90	364.76	542.99	679.03	28.8
ATPLC (Company)	1,283.20	1,558.63	1,865.81	2,055.30	17.0
Maldives	330.78	595.14	507.49	597.77	21.7
Group	1,613.98	2,153.77	2,373.30	2,652.01	18.0
Net Profit after Tax					
Company Profits	(75.11)	12.26	117.05	63.72	194.6
Group Profits	(71.39)	90.33	157.86	103.01	212.8

Based on the Profits earned and surplus generated in 2012 the Company distributed a surplus of 12.5% to the non-claimants of the General Takaful Policyholders.

Based on the improved performance in 2013 the Company increased the surplus payment to 15% in 2014.

The Company and the Group were able to record growth in terms of GWP and profitability over the plan period that ended in 2014.

The Company also successfully segregated the business segments into Life and General companies as parent and subsidiary on-time as stipulated by law, which was also part of the three-year plan. ATPLC retained the General business and spun off the Life Segment as the fully-owned subsidiary for strategic reasons.

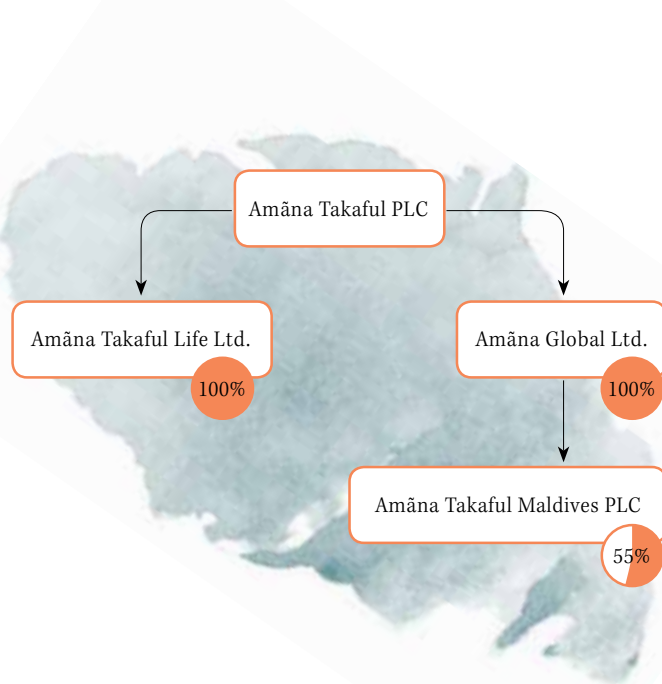
These achievements were complemented by many accolades during the year under review including an upgrade by one notch to BBB by Lanka Rating Agency.

GROUP OVERVIEW

Group Composition – Structure

Amāna Takaful Group as at 31st December 2014 comprised of the following companies including Amāna Takaful:

1. Amāna Takaful PLC
2. Amāna Global Ltd.
3. Amāna Takaful (Maldives) PLC
4. Amāna Takaful Life Ltd.



Amāna Global Ltd. provides technical support to Amāna Takaful Maldives and earns a technical fee as its main revenue. The Group revenue comprises the gross written premium of the two Takaful service providers.

Amāna Takaful Maldives which was listed in the Maldives Stock Exchange offers General Takaful products with a 14% Market Share.

ENVIRONMENTAL OVERVIEW

SRI LANKAN ECONOMIC ENVIRONMENT

The Sri Lankan economy grew by 7.7% in the first three quarters of 2014 with expectation of a full year growth of 7.8% by the Central Bank of Sri Lanka (CBSL). Sri Lanka continues to be on the fastest growing nations in comparison to other emerging market economies. Increased domestic activity and external demand conditions coupled with adequate levels of global liquidity ensured Sri Lanka maintained its growth trajectory as well as improving its external accounts.

Softening global commodity prices and the sharp drop in oil prices resulted in a significant decline in inflation in 2014. The Colombo Consumer's Price Index annual average inflation for 2014 declined to

3.1% from 6.9% in 2013. This was despite pressure on food supply as a result of the impact of adverse weather conditions prevalent in most part of the country during the year.

The Industry sector maintained its growth momentum posting a growth of 12.5% during the first three quarters of 2014. The growth was largely driven by construction (21.1%) and value added expansion in factory industry sector (9.8%). Construction was able to sustain its high growth levels due to the numerous major public infrastructure programmes and private sector investments in key sectors of the economy. The improvement in Sri Lanka's external sector in 2014 was a notable development with a significant up tick in the first half of the year. In addition to this improving tourism arrivals during the year were crucial factors to the strong growth seen in the manufacturing industry.

GDP AND SECTORAL PERFORMANCE



The services sector grew by 6.4% during the first three quarters of 2014 with a healthy growth in wholesale and retail trade which saw increased activity from mild consumptions conditions in 2013. Growth in Financial Services, Transport and Hotels and Restaurants continued its positive trend. Despite unfavourable weather conditions during most parts of the year, the agriculture sector recorded a growth of 1.3% during the first three quarters of 2014. However, this is a slowdown from the 4.7% growth recorded for 2013. A key reason for this is the impact from the drought that has resulted in decreased production during the Maha and the Yala seasons.

The performance of the Colombo Stock Exchange was positive during 2014 with all key indicators recording significant gains. The All Share Price Index (ASPI) and the S&P SL 20 index increased by 23.4% and 25.3% respectively, during 2014, while market capitalisation increased to Rs. 3.1 Tn by end December 2014 from Rs. 2.5 Tn at end 2013. However, net foreign inflows to CSE declined to US\$ 165 Mn in 2014 from US\$ 269.9 Mn recorded in 2013.

COMMUNITIES are nice.
when **EVERYONE'S** in it.

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Five IPOs during 2014 saw the market raising Rs. 3.3 Bn while 13 Right Issues raised Rs. 11.2 Bn. The continued low interest environment, improved corporate earnings and improved investor confidence both locally and foreign contributed to the growth in the equity market. Funds raised through the corporate debt market as at end November 2014 was Rs. 30.1 Bn which is a decline from the Rs. 68.3 Bn raised in 2013.

The Central Bank of Sri Lanka continued its loose monetary policy in 2014 with a 50 basis points (BPS) reduction in its key lending rate (SLFR) in January 2014. Further, in September the CBSL Limited, access to its Standing Deposit Facility (SDF) by an Open Market Operations (OMO) participant at the SDFR of 6.5% to 3 times per month with any further deposits accepted at 5% p.a. This move was largely aimed at encouraging banks to lend to productive sectors of the economy given the build-up of excess liquidity in the system. A key reason for this build-up was due to the CBSL action of purchasing foreign currency inflows, in particular from the US\$ 1.5 Bn raised in two sovereign issues in January and April 2014.

Broad Money growth moderated to 12.8% year on year (YOY) by end November 2014 from 16.7% YOY at end 2013. A significant expansion in the NFA of the banking system was observed during the year with an increase of Rs. 32.4 Bn in the first eleven months of the year. The expansion in NDA of the banking system was largely subdued with sluggish growth in most of its sub-categories during the year. According to the CBSL, credit to the private sector grew 7.5% in 2014 with a majority of the growth coming in the second half of the year with an estimated Rs. 240 Bn expansion following a contraction of Rs. 52 Bn in the first half of 2014.

The pass through effects of loose monetary policy as well as subdued levels of inflation resulted in a steep decline in most market interest rates. Key rates such as the Average Weighted Call Money Rate, the Average Weighted Lending Rate and the Average Weighted Deposit Rate declined by 140, 289 and 317 basis points respectively. Further, yield rates on 91-day, 182-day and 364-day bills declined by 180, 201 and 228 basis points. *(Source: CBSL: Road Map 2015)*

BANKING AND FINANCE INDUSTRY

The soundness and stability of the financial sector was sustained in 2014. The key indicators of financial stability, i.e., the capital adequacy ratio and the liquidity ratio of the banking sector were maintained at healthy levels, well above statutory requirements. Several key policy measures were introduced by the CBSL in 2014. A key policy initiative was the Financial Sector Consolidation Plan which was introduced with the intention to strengthen the NBFIs sector. As many as 41 finance companies have so far confirmed their consolidation plans.

The first half of 2014 witnessed a continuous slowdown of credit growth. The policy measures undertaken by the CBSL coupled with the easing off of contracting pawning portfolios helped credit growth to recover in the second half of 2014. Decline in lending rates resulted in Net Interest Margins narrowing by the end of the year. The asset

quality improved in 2014 bringing down Gross Non-Performing Loan Ratio (NPL) to 4.8% as at November 2014 in comparison to 5.6% in 2013. Deposit growth remained healthy while banks increased alternative funding taking advantage of low interest rates.

Non-Bank Financial Institutions (NBFI) reported a moderate credit growth amidst a gradual pick-up in vehicle imports and pass through impacts of the drought conditions in 2014. The asset quality in the LFC sector continued to deteriorate increasing NPA ratio to 6.8% as at November 2014 marginally higher from 6.7% in 2013. The insurance industry grew moderately in terms of total assets and premium income. The declining interest rate scenario curtailed interest income from Government Securities. Further, the moderate premium income growth lowered profitability in the first half of 2014.

(Source: Frontier Research, CBSL: Recent Economic Development and Highlights of 2014).

INDUSTRY OVERVIEW

The Sri Lankan insurance sector comprised of 22 insurance companies as at end 2014, of which 12 were composite insurers, with 6 offering only non-life insurance and 3 offering only life insurance products. From 1st of January 2015, 7 new Companies have obtained licenses from IBSL to operate as separate entities. Amāna Takaful obtained the License for the new Life business.

While fierce price competition continued into 2014 even more aggressively, the new Takaful window operation by a composite insurer added more steam in their quest to penetrate into our General Insurance customer base. However, we continued to defend our share of market by growing above industry.

According to industry sources, the insurance industry grew by approximately 6.2% to Rs. 103 Bn total GWP, while the General and Life segments grew by 3.9% and 9.2% respectively. The top five companies of both segments, which comprise two-thirds of respective segments, slowed down in growth in both segments, while some of the mid-sized players continue to accelerate their growth at twice the industry average.

REGULATORY OVERVIEW

Throughout 2014, the Insurance Board of Sri Lanka (IBSL) initiated a series of discussions and awareness campaigns on both the segregation process and the transformation towards the risk based capital regime.

Amāna Takaful submitted its detailed proposal for the separation on the 17th December 2013. The IBSL has granted licences to 7 new insurance companies, to commence business operations from 1st January 2015. These new companies were established by composite insurance companies to comply with the segregation requirement laid down in the Regulation of Insurance Industry (Amendment) Act No. 3 of 2011. The law requires composite insurers to segregate the two classes of insurance businesses (Long-Term and General) into two separate companies by February 2015.

The Insurance Board of Sri Lanka is also in the process of introducing Risk Based Capital Model for insurance companies under the Act. Successful implementation of RBC Model is expected to provide the following benefits to the insurance industry:

- Informed basis for decision-making: RBC provides a balanced approach in managing risk and reward and provides comfort for the Board and external stakeholders that risks are being actively controlled.
- Enhanced product profitability: RBC could cast the spotlight on riskier and capital intensive products. It may provide opportunities for portfolio optimisation, keener pricing and enhanced product profitability among companies.
- Improved market perception: Enhanced reputation for risk management.
- Reduced costs: Operational efficiencies from better risk management.
- Best practice: risk and capital management and in particular holistic approach to risks.

CHALLENGES AND OPPORTUNITIES AHEAD FOR 2015

Challenges

- Agreeing to a Floor Price amongst the industry players
- Increased competition and shrinking margins
- Lower rates of premium for higher insurance liability
- Possible General Elections and the unstable political climate
- Increased number of road accidents
- Increased cost of spare parts
- Slow insurance penetration
- Achieving higher Return on Investment for the Life Company.
- Attracting and retaining skilled people
- Shari'ah compliant fixed income investment instrument

Opportunities

- New Government with many promises on developments and peaceful overall political climate
- High penetration of mobile telecommunication and increased online activities
- Improved computer literacy levels at both urban and rural levels
- Ongoing infrastructure developments
- Credit growth and fast growing leasing market
- Growing Takaful market

BUSINESS PERFORMANCE REVIEW

ASSUMPTIONS AND REALITY

The Company plan for 2014 included the following key assumptions. A reality check of these assumptions with the resultant performance is noted below:

Key Assumptions	Reality
Industry growth – Life 10% and General 8%	Life 10.3% and General 3.9%
GDP growth 6.5%	7.3%
Competition – One new entrant	One Takaful window operation by an existing player
Inflation to stabilise at mid-single digit level	6.2%
Segregation agenda to be met	Met on time, in-full
Interest rates to decline	Declined

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REVIEW 2014

The Key initiatives and achievements during 2014 in terms of the four pillars as per the three-year plan are summarised.

Initiatives	Achievements
People	
High Performance Culture	- Implemented a new performance measurement system and communicated to all staff including at branch level - Implemented the performance-based bonus scheme - NLP-based training to boost confidence and develop leadership skills
Gender Diversity	Recruited 25 females at various positions
Portfolio	
Balanced Portfolio between Motor and Non-Motor	- The portfolio balance improved from a motor to non-motor ratio of 71:29 to 68:32. - Launched two new medical products targeting two different market segments as follows: 'Suwasiri' – For the first time, a Rs. 100,000/- medical insurance cover for an annual premium of Rs. 2,222/- which makes medical insurance affordable by all Sri Lankans 'Crystalline' – Medical insurance product tailor-made for women with benefits such as critical illness grant for widows. 'Kruthaguna' won product of the year at the Sri Lanka Islamic Banking and Finance Forum
Healthy Investment portfolio	The Company generated an investment income of Rs. 275.56 Mn which was 80% higher than the previous year of Rs. 152.86 Mn. This was possible due to prudent management of the investment portfolio
Process	
	- Amāna Apps (Smart Phone Application) was launched in mid-2014, providing round-the-clock access from any location for on-line transactional capability - The Company's continuous improvement in terms of processes and maintaining high standards was evident by the re-certification of the ISO-9001 in 2014 - RAM Rating Lanka Ltd. improved the rating by one notch to BBB with stable outlook in November 2014
Productivity	
	- Consolidated Gross Written Premium recorded a growth of 10.2% on the back of the industry growth of 6.2% (Source: Industry) - Family Takaful Gross Written Premium grew by 25.1%, compared with industry's 9.2% - General Takaful Gross Written Premium grew 4.0%, slightly above the industry growth of 3.9% - Sri Lanka Islamic Banking and Finance Forum selected Amāna Takaful as the Gold Award winner for the Best Islamic Finance Entity - Completed the branch network refurbishment programme and expanded footprint in two more locations

Overall Gross Written Premium

Amāna Takaful PLC grew by 10.2% in terms of Gross Written Premium during 2014 compared to the 19.7% growth of the previous year. The Group, which includes Amāna Takaful (Maldives), grew by 11.7% during the year under review in comparison with the previous year.

Life segment has increased its contribution from 25.1% of the Company's (ATL Sri Lanka) GWP in 2011 to 33% in 2014. Meanwhile the General segment was the Group's core premium contributor, accounting for 74.4% of its GWPs. The Group's General GWP of Rs. 1.97 Bn includes a contribution of Rs. 596.71 Mn from Amāna Takaful (Maldives) which accounted for 22.6%. The Group's General GWPs grew by 7.5% in FY December 2014, compared to the growth of 2.6% in FY December 2013. The increased growth was registered from Maldives which recorded a growth of 18% in 2014.

Segment	2012	2013	Change %	2014	Change %
General Local	1,193.88	1,322.82	10.8	1,376.27	4.0
Life	364.76	542.99	48.9	679.03	25.1
ATL Sri Lanka	1,558.63	1,865.81	19.7	2,055.30	10.2
Maldives (General)	595.14	507.49	-14.7	596.71	17.6
Group	2,153.77	2,373.30	10.2	2,652.01	11.7

The Group's total revenue with segmental contribution over the last 5 years are depicted in the chart below. It is visible that the Group's revenue which was just above Rs. 1 Bn in 2010 has grown over by more than 1.5 times in 4 years to exceed Rs. 2.7 Bn in 2014.

GROUP REVENUE - LAST 5 YEARS



The Company's segmental GWP over the last three years are depicted in the chart below, which illustrates that the total GWP of the Company which was just above Rs. 1.5 Bn in 2012 has crossed Rs. 2 Bn in 2014, mainly contributed by the life segment.

GWP FOR THE LAST 5 YEARS



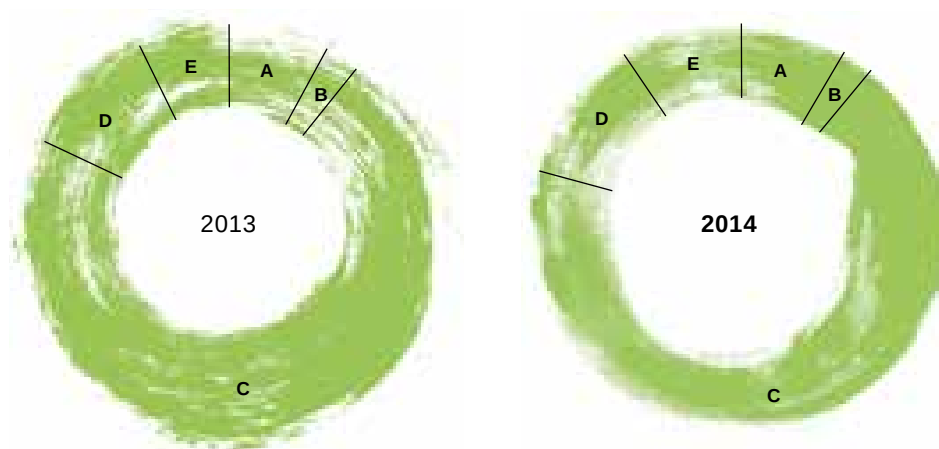
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GENERAL TAKAFUL PERFORMANCE

The segment's objective of balanced portfolio mix in terms of Motor to Non-Motor was advanced from 72:28 in 2013 to 68:32 in 2014. This was a welcome move as the higher dependency on motor is reduced to minimise future risks in terms of both revenue and claims. The Motor GWP was stable with Rs. 935.81 Mn.

PRODUCT MIX



	2013	2014
A - Fire	8	9
B - Marine	3	3
C - Motor	71	68
D - Medical	11	11
E - Misc	7	9

Main classes Rs. Mn	Group			Company		
	2014	2013	Change %	2014	2013	Change %
Motor	966.76	967.24	0	935.81	942.90	-1
Fire	339.53	227.11	33	117.06	107.44	8
Marine	116.76	134.78	-15	36.02	35.19	2
Medical	331.94	363.91	-10	157.51	142.29	10
Miscellaneous	217.99	137.28	37	129.86	95.02	27
Total	1,972.98	1,830.31	7	1,376.27	1,322.82	4

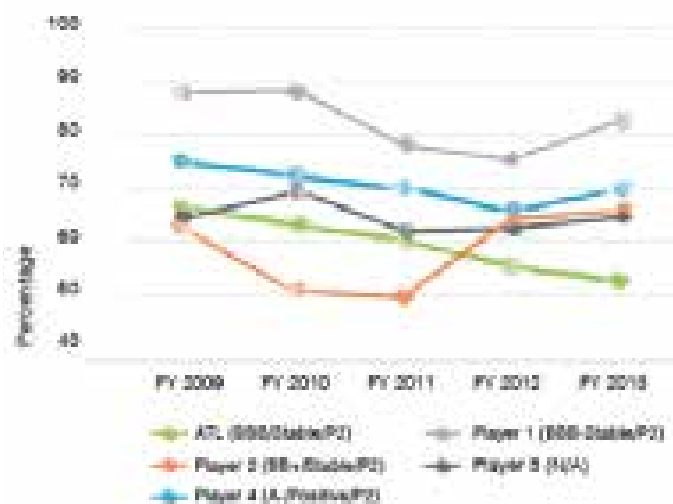
The table above lends credence to improved underwriting standards, where the underwriting margin has improved from 24% in 2011 to a three-year average of 36% up to 2014. Which have benefited vastly from increased GWP and more importantly due to prudent claims management. This has been the case especially in the motor segment which has to grapple with increased claims, service costs and repairs, compounded by a notoriously price-cutting competitive environment.

The Group's General Takaful underwriting performance is deemed above average, as reflected in its better-than-peer claims and net underwriting margins, analysed by an independent analyst. The Chart below depicts the general claims ratios of the industry players in comparison with the Company analysed by the same analyst.

Claims Management and Underwriting Results

	2011	2012	2013	2014	Change %
Gross Written Premium	965.30	1,193.88	1,322.82	1,376.27	4
Net Earned Premium	779.00	969.38	1,143.29	1,146.05	4
Claims and Benefits	(542.84)	(626.24)	(602.83)	(636.23)	5.5
Underwriting Results	236.16	343.14	540.47	509.82	-5.7
Margin	24%	29%	41%	37%	

GROUP CLAIMS RATIO VS PEERS



FAMILY TAKAFUL (LIFE) PERFORMANCE

Life segment recorded a GWP of Rs. 679.03 Mn over Rs. 542.99 Mn in 2013, a growth of 25.1%. This growth was contributed by both regular and Unit Linked portfolios. The three-year average growth rate from 2011-14 was 29.6% in comparison with an industry average of 8.7% over the same period. New Business grew by 40.2% whilst renewals grew by 19% in 2014.

The table below depicts the GWP over the last three years clearly indicating the strategic movement of the Company towards Unit-Linked product structure:

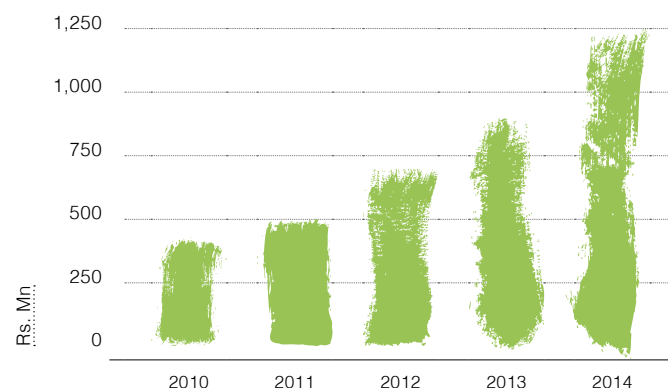
	2012	2013	2014
Family Takaful	244.15	198.79	161.73
Mortgage and Group Family Takaful	10.64	20.00	35.21
Unit Linked	109.97	324.20	482.09
Total Family Takaful	364.76	542.99	679.03

FAMILY TAKAFUL GWP GROWTH MIX



Prosper the unit-linked investment-based Life product of the Company that was launched during mid-2011, recorded a contribution of Rs. 214.74 Mn in 2014. This comprised of 32% of total Life Takaful production.

FAMILY TAKAFUL FUND



The Life Fund grew by Rs. 346.83 Mn during 2014, in comparison with Rs. 221.14 Mn during the previous year. The table below depicts the fund growth and the movements over the last three years:

	2012	2013	2014
Gross Written Premium	364.76	542.99	679.03
Net Earned Premium	356.95	537.96	665.25
Income from Investments	51.18	72.51	136.99
Claims and Expenses	241.08	389.33	455.41
Fund Growth	167.05	221.14	346.83

INVESTMENT INCOME

The Management's decision to out-source the Treasury Function has already borne fruit with the investment income increasing from 7% in 2013 to 13% in 2014 of assets under management. The listed equity portfolio performed especially well-gaining 41%.

Thus total investment income of the Company for the year under review was Rs. 275.56 Mn in comparison to the previous year's Rs. 152.86 Mn - increase of 80%.

Profitability

We sustained the profit momentum and recorded a profit after tax of Rs. 63.72 Mn in 2014 in tough market conditions. This includes deferred tax credit of Rs. 30.01 Mn. The Group, which includes our Maldives outfit and Amāna Global, reports a profit after tax of Rs. 103.01 Mn. This compares with the profit after tax of Rs. 157.86 Mn in the previous year.

THE THREE-YEAR STRATEGIC PLAN (2015-17)

With the successful achievement of the three-year plan (2012-14), the Company embarked on a fresh initiative on a strategic plan for the two business units for the next three years with more vibrant and transformational objectives involving 43 managers representing a cross section of the organisation.



In stepping forward towards achieving the Company's long-term vision, the following Strategic Initiatives have been agreed upon:

- i. Market Penetration
- ii. Balanced Portfolio
- iii. Enabling Winning Culture
- iv. Contain Cost
- v. Customer Service Excellence

The new three-year plan also identifies the need for a series of strategic changes. Over the last eighteen months, significant initiatives under the four-strategy Pillars of People, Products, Processes and Productivity were identified in pursuance of the over-arching deliverables – these have now evolved to more specific Market Penetration, Balanced Portfolio, Enabling Winning Culture, Contain Cost and Customer Service Excellence. The Company-wide monthly team brief will now deal with these five areas and their expected outcomes.

Market Penetration: The Company will be looking to restructure and optimise distribution and channel management. Opportunities abound in many areas of the economy especially in the SME and micro sectors island-wide. In this light at least 25 branch offices in Tier II cities around the island will be initiated.

A balanced Portfolio will address the issue of the current concentration on the motor sector for GWPs. This will also entail having a balanced channel mix and reduce the Company's high dependence on leasing and finance companies for business. We would also like to develop the retail business and to see the development of Retakaful, Under-writing, as well as other non-motor business under general insurance and of course the further development of the life business under their branded products.

The establishment of an Enabling Winning Culture will be critical to the sustainability of the Company in the long run. Areas such Leadership Behaviours/Professionalism/Talent Pipeline will be further strengthened by having the Right People at the Right Place/First Class T&D/High Performance Measurements.

The importance of Containing Cost cannot be overstated. This will be achieved through a combination of productivity enhancements, improved efficiency and effectiveness through a process of re-structuring business processes and identifying and implementing best practices. There will also be concentrated effort to find the correct staffing levels required as well as furthering the level of multi-skilling within the Company.

All of the other initiatives must stand the together with continuing Customer Service Excellence. The intention is to build continuous improvement initiatives in operations through the use of superior technology and bureaucracy busting. We would also like to introduce automated customer touch-points, reward customer loyalty through a robust loyalty programme and to put in place payment gateways so that customers can make payments from any location of their choosing.

The three-year plan has also identified strategic imperatives to achieve the above objectives. These will be measured and monitored through a company-wide Dashboard and reviewed periodically. A conscious effort towards being profit-oriented, distributing a surplus to the General Takaful and Life Takaful customers are the focal point of the plan.



PRODUCT PORTFOLIO

GENERAL



TRAVEL PAL

The 'Takaful Travel Pal' policy offers support to customers during their travel on business or leisure against unforeseen inconvenience during the policyholder's travel period. It is a comprehensive and reliable travel companion, covering the policyholder in the event of Hospitalisation, injuries & permanent or total disabilities resulting from accidents, loss of luggage and valuables, reimbursement of repatriation cost and cover for flight delay/cancellation, missed departure etc. 'Travel Pal', also offers free access to airport lounge facilities at the Bandaranaike International Airport, ensuring you travel with absolute peace of mind.

In order to cater to the ever-growing member of tech savvy customers, the policy is made available online. Customers can view quotations and buy travel policies online through our website; www.takaful.lk and also get visa applications.



MY HOME

It takes more than bricks and mortar to make a Home. It is the showpiece of a lifetime adorned with cherished memories, love, care and a family. ATL's 'My Home', provides a comprehensive cover for a wide range of potential risks, ensuring that heart and home abide peacefully in each other.



BUSINESS COVER

A good insurance coverage is an important part of business security. It secures your investments against specific forms of destruction or loss. ATL's 'Business Cover', paves the way for you and your enterprise to operate smoothly despite unexpected calamities. It also offers tailor-made solutions for a range of segments including Textile, Restaurants, Groceries, Pharmacies, Hardwares, Supermarkets and many more.



TOTAL DRIVE

A motor insurance policy that cares not only for a vehicle but also your loved ones. 'Total Drive' offers its customers 3-cover options of which they could choose from.

Supported by the online Portal - www.takaful.lk and the ATL mobile APP. It provides its customer with finger tip access to processes, such as obtaining quotations, renewals of motor policies, notifying an accident and trading a motor claim.



EASY MARINE

Maritime enterprise is fraught with many risks. From the point of origin to its final destination. ATL's 'Easy Marine' commits to safeguard your imports and exports, enabling you to be at ease whilst your goods are on the move. It also offers a broad coverage along with a superior professional and friendly service. 'Easy Marine', ensures smooth sailing for your business at any stage, with speed and efficiency.



NAVODHAYA

'Navodhaya' is a Micro Takaful (Insurance) product with an annually renewable death and living benefit cover designed for groups of individuals. This was introduced to spread the concept of mutual assistance and financial stability to the masses as financial planning and insurance are generally not available to this segment of society.

MEDICAL



HALE & HEARTY

'Hale & Hearty', is a comprehensive health plan, which takes care of hospitalisation and surgical expenses. It enables one to obtain the needed medical attention without compromise.



KRUTHAGUNA

'KruthaGuna' is an insurance cover designed to take care of the hospitalisation needs of your elderly loved ones. It provides one with financial security and much needed support at times of need.



SUWASIRI

'Suwasiri' is the most affordable health insurance policy available in Sri Lanka, designed to give you true peace of mind. While good health is a blessing, an illness can occur when we least expect it. ATL's 'Suwasiri' Health Insurance policy will ease your financial burden during a time of crisis.



CRYSTALLINE

Women are the primary caregivers. However, a number of health issues pose a specific risk to them. 'Crystalline' is an insurance policy which is designed specifically to support the health and well-being of women. It provides a comprehensive insurance cover for the treatment of common ailments faced by women and covers critical illnesses, loss of income and cosmetic surgery required due to accident.

LIFE



ADHYAPANA

Every parent's wish is to give their children the best education and the future possible. 'Adhyapana' is a long-term protection and saving plan that helps you finance your child's education and future. It also includes a health insurance cover for the parent and the child.



SURAKSHITHA

'Surakshitha' is a Life cover affordably packaged to help families reap the benefits of insurance. It provides a plan that is tailor-made to suit customer's individual needs with a host of benefits including hospitalisation and critical illness cover, whilst policyholder's premium is judiciously invested to provide superior returns.



PLATINUM

'Platinum' has been designed to provide the best protection and benefits that money can buy. Apart from a the death, critical illness and accident cover, it also includes a comprehensive hospitalisation cover for the client and his/her family with an overseas treatment option.



PROSPER

ATL's 'Prosper' is Sri Lanka's first Shari'ah compliant, Unit Linked Life Insurance Plan. Whilst helping our clients to invest for the future, it provides protection to their families if the unthinkable happens. The solution is based on investments in secure deposits and equity and offers 3 different funds to choose from. With 'Prosper' you can plan for a range of events including a peaceful retirement, child's education or wedding or even the dream home one has have always wanted. Life is for living; and 'Prosper' helps to make the most of it.



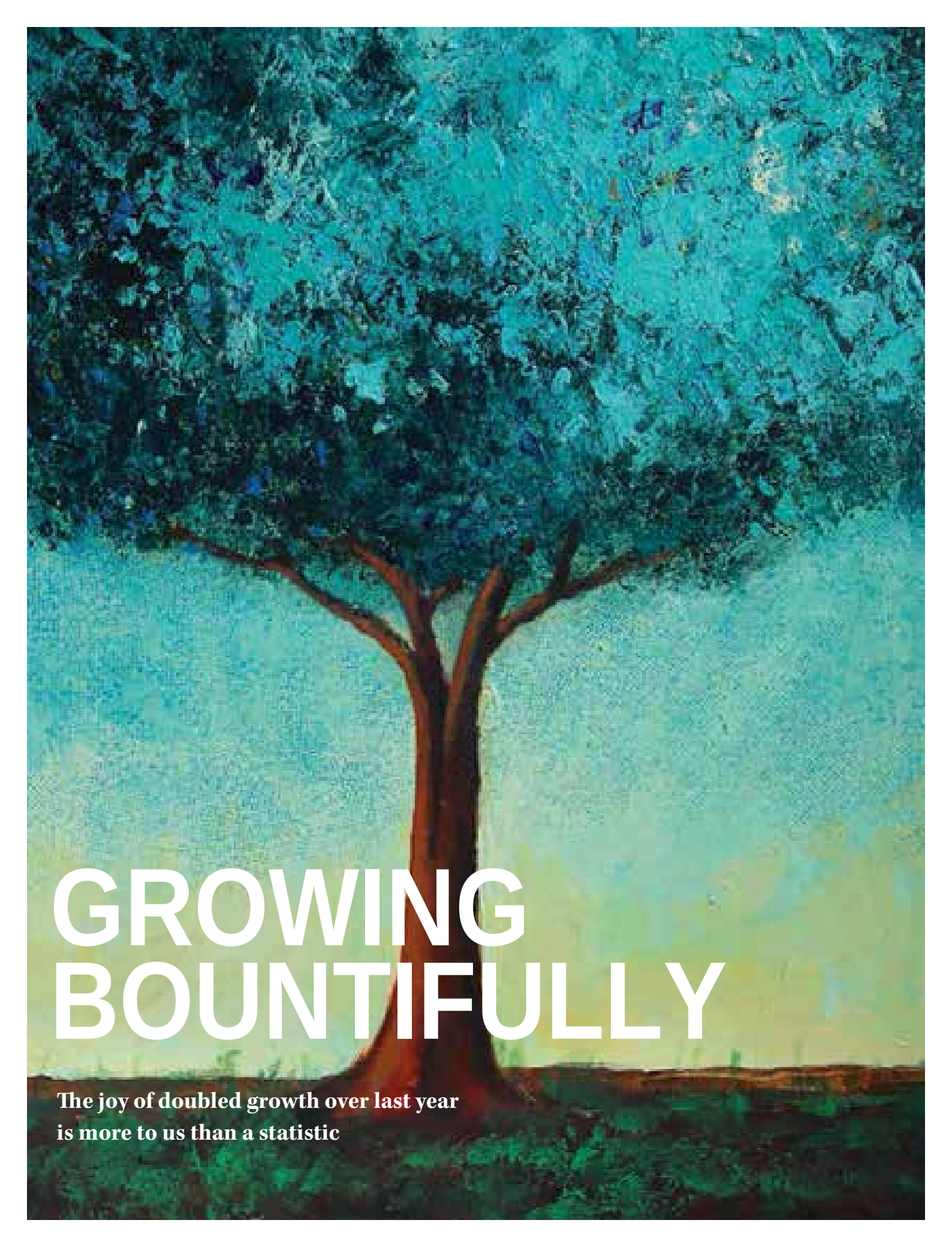
SAFEGUARD

ATL 'Safeguard' helps protect ones loved ones form the burden of debt. Although, we all wish to leave behind wealth and happiness for our loved ones, the unexpected loss of the breadwinner could leave families with a burden. With a solution like ATL 'Safeguard' one can plan ahead to overcome unfortunate events successfully..



GROUP LIFE

An untimely death, accident or disability can take away a valuable employee and his/her contribution to a company and cause devastation to their family. 'Group Life' provides the opportunity to secure the health and well-being of employees, giving them the peace of mind to work, knowing that they will be taken care of in the event of a tragedy.



GROWING BOUNTIFULLY

**The joy of doubled growth over last year
is more to us than a statistic**



THE TAKAFUL CONCEPT IS FOUNDED ON PARTICIPATION, CONTRIBUTION AND MUTUALITY. THUS THE CAUSE OF SERVICE TO SOCIETY LIES AT THE HEART OF WHAT ATL PLC DOES. IN OUR ATTEMPT TO BETTER SERVE THE COMMUNITIES THAT WE OPERATE IN, WE LAUNCHED 'AMÃANA TAKAFUL CARES' IN 2010-OUR INTERNAL ARM TO DEVELOP AND MANAGE THE COMPANY'S CSR AGENDA. 'AMÃANA TAKAFUL CARES' FOCUSES MOSTLY ON SUPPORTING EFFORTS TO UPLIFT CHILDREN, HEALTHCARE AND EDUCATION IN SRI LANKA.



CORPORATE SOCIAL RESPONSIBILITY

AMĀNA TAKAFUL CARES

At ATL, corporate social responsibility (CSR) is an integral part of how we do business. Being a responsible company is fundamental to our long-term sustainability. We are committed to creating sustainable value to our shareholders, our customers, our employees and the communities in which we live and work. The Takaful concept is founded on participation, contribution and mutuality. Thus the cause of service to society lies at the heart of what ATPLC does. In our attempt to better serve the communities that we operate in, we launched 'Amāna Takaful Cares' in 2010-our internal arm to develop and manage the Company's CSR agenda. 'Amāna Takaful Cares' focuses mostly on supporting efforts to uplift children, healthcare and education in Sri Lanka.

DONATION OF SPORTS GOODS

We leverage every opportunity to put a smile on the faces of children in far flung territories while comforting the less fortunate and handicapped to meet their special needs.



To commemorate the inauguration of our Samanthurai Development Office, Amāna Takaful Cares donated sports equipment to Al Hamra Vidyalaya in Samanthurai.



To coincide with the Kalpitya office opening-Thillayoor Muslim School, donation of sports equipment in August 2014.

LEADERSHIP TRAINING FOR TEACHERS

Amāna Takaful Cares invested their time and effort in yet another programme to develop the personality and leadership potential of teachers. The programme was conducted at the Upananda National School – Galle, where 25 senior teachers were given training on mission orientation, leadership, personality development and social grooming.

The interactive sessions included a host of activities and presentations that helped the teachers to focus on themselves and develop to be better individuals. The programme also helps them to act as role models to the next generation and make the school a model performer in the Galle District.



CONTRIBUTION TO ELDERS' DAY

ATL answered a call to support the cause of senior citizens in Sri Lanka. The support was in the form of an endowment of 7 policies worth Rs. 100,000 each at a state event held at the Open University to commemorate International Elders' Day.



RECONCILIATION THROUGH SPORTS



ATL made a contribution towards the construction of a sports complex in Mannar by the 54th Division of the Sri Lanka Army under the theme 'RECONCILIATION THROUGH SPORTS'. This Project was completed under the supervision of the Divisional Commander 54th Division, Major General Udayantha Wijerathne.

ICE CREAM STALL



The Company conducted an ice cream stall during the *Vesak* period and served the many sight-seers who came to witness the celebrations in the city.

CSR PROJECTS IN TRINCOMALEE DISTRICT





Amāna Takaful Cares supported two schools in the Trincomalee District – Muslim Girls College and a Montessori in Muttur. At Kinniya Muslim Girls College with a student population of 2,000, the Company arranged for installation of a water dispensation unit in addition to upgrading the schools facilities. The Montessori in Muttur was completely renovated with provision of furniture and sanitary facilities. This underprivileged school serves the educational needs of the fishing community of the area.



ADHYAPANA GRANTS FOR DESERVING CHILDREN



We strive to develop the standard of education of children in our nation. In this regard, we extended special cash rewards to all our *'Adhyapana education plan'* customers to commemorate the Universal Children's Day. They had the option of encashing their gift or depositing the money in their *'Adhyapana policy'*. *'Adhyapana'* is an innovative product, which helps children from primary to tertiary education. Commemorating International Childrens' Day on 1st of October 2014, Amāna Takaful Cares organised an event at the ATL head office. The Chief Guest Ms. Husni Hussain, Registrar at the South Asian Institute of Technology and Medicine gave away the cash grants.

WORLD CHILDREN'S DAY CELEBRATIONS AT CENTRAL REGION AT TELDENIYA POLICE GROUND



ATL propaganda team actively participated in the event as main sponsor organised by the Earl Gunasekara Foundation. Over 600 pre-school children attended the event and received gifts. Many Fun events were conducted during the day amidst a large gathering of parents and pre school teachers in the Central Region.

CONTINUING LEADERSHIP TRAINING FOR STUDENTS OF PRESIDENT'S COLLEGE - COLOMBO AND BUDDHIST GIRLS SCHOOL - MOUNT LAVINIA

Amāna Takaful Cares continued to conduct personality development seminars in partnership with the students' body for the students of President's College, Colombo and Buddhist Girls School, Mount Lavinia. Over 80 students, between the ages of 10 and 11 benefited from this programme in each school. The objective was to develop important life skills and which would enhance their productivity in studies and extra-curricular activities. Most of the skills imparted are those that are outside a regular school curricular.

DONATION OF PRAYER TIME BOARDS



Amāna Takaful Cares provided prayer time boards to selected Masjids in the Eastern Province.



SUPPORT TO THE SRI LANKA FEDERATION OF THE VISUALLY HANDICAPPED



Amāna Takaful Cares took part in the Insurance Motor Rally organised by the Sri Lanka Insurance Ombudsman's Office, in aid of Sri Lanka Federation of the Visually Handicapped held on 22nd March 2014 in the outskirts of Colombo. Six teams from ATL participated in this rally where the theme was 'Time, Safety and Discipline' which are fundamentally important traits for all motorists.

HUMAN RESOURCES

Sustainable, profitable growth in line with our strategic objectives can only be achieved by a high performing, engaged workforce with the right knowledge and skills.

As we have evolved, we have acquired and developed critical new skills within our employee base including management expertise and technical capability. Today, the Group has over 350 employees based in all 8 provinces around the country with more than 60 technical staff amongst its ranks.

Through its range of employee initiatives, described below, the Group seeks to attract and develop its people around the island.

‘OUR TALENT’ OUR STRENGTH - OUR PRIDE



2014 commenced with the relocation of the ATL Head Office premises with the intent of promoting a more open, inclusive and stimulating ambience for our employees to perform. The new location is one that is centrally located, keeping in mind the convenience to customers and employees alike.



As an organisation, we continuously aim towards aligning the aspirations of our employees with that of the Company. We ensure that our people are engaged, empowered and provided with the requisite tools to be successful both at the workplace and be contributors to the society at large.

In order to drive towards an energised and high performance culture, the Think Big campaign was unleashed in early 2014 with the selection of 15 Cheerleaders (cross functionally). The cheerleaders essentially served as active Change Agents who acted as catalysts to drive the following key areas:

- Inculcate an objective driven, positive mind-set
- Ensure an energised, enthusiastic and productive workforce
- Achieve and exceed the Company results

The campaign was spread company-wide and throughout the entire branch network driving a single message to employees by way of a Vision Board (Dream Collage) in each location, Poster, email and SMS campaigns. This ensured overall alignment and commitment to the cause.

NLP – NEURO LINGUISTIC PROGRAMMING



An experienced and much-sought after NLP Master Practitioner was sourced in order to conduct a tailor-made Managerial Development Programme, covering key techniques, concepts and framework of NLP. These principles sought to facilitate change in the way people think, their actions and behaviours; consciously reprogramming the mind to bring about desired results, which are more empowering, safe and healthy.

Unlike the typical Managerial Development Programmes, these sessions endeavoured to embody components of knowledge, skills and attitude of selected staff cadre towards enhancing performance and productivity.

MULTISOURCE FEEDBACK (MSF)

360 Degree Feedback is a system or process in which employees receive confidential feedback from people who work around them. This typically includes the employee's manager, peers, and direct reports. This is a development tool to help employees recognise strengths and weaknesses and become more effective.

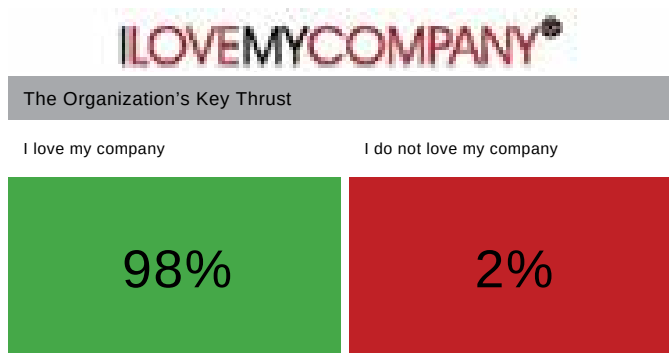
A comprehensive Multisource Feedback was conducted for the members of General Management Committee where candid feedback was sought from 2 superiors, 2 parallel level peers and from 2 direct and non-direct reports. The aim of the MSF was to obtain constructive insights on key attributes of the top team which would in turn help ATL move towards becoming an exemplary organisation.

CREATIVE THINKING SESSION

Professor Sri Kandiah from University of Southampton UK facilitated a *Collective Thinking Session* for the Senior Management team. This session primarily focused on identifying the key levers for ATL thus expanding the frame of business thinking, widening possibilities and responsibilities for the organisation going forward.

I LOVE MY COMPANY

Following a comprehensive Staff Satisfaction Survey conducted in 2012, the 'I Love My Company' survey was initiated involving a cross-section of the organisation, facilitated by High5. The survey was conducted via an online questionnaire in all 3 languages. Each participant was provided with a unique login number to ensure anonymity.



The opinion survey endeavoured to capture the thoughts and opinion of staff about key facets of the organisation. The idea is to index the organisation against 5 key attributes, and find out which of the attributes matter most to people:

1. The inspiration derived from the Vision, Mission and Values - *An employee works for you because of your reputation and direction*
2. The faith and confidence in the Senior Leadership and immediate superiors - *An employee works for you because of his/her boss*
3. The level of camaraderie and team spirit inside the organisation - *An employee works for you because of his/her team/peers*
4. The level of joy doing the job one does - *An employee works for you because of the satisfaction of his/her job*
5. The enabling processes inside the organisation - *An employee works for you because of how things are done*

Results of the survey contributed towards making suitable 'people' decisions. The exercise enabled the organisation to identify its value proposition as an employer, and truly maximise its potential in the long run, enabling the organisation to identify the sensitive areas important to people.

AMĀNA TAKAFUL WELFARE ASSOCIATION (ATWA)

ATWA forms an integral part of our Company and ensures that staff are engaged in different activities and events organised throughout the year, thus bringing about a work/life balance.

ATWA's mandate covers staff welfare, sports and social events.



Vesak Dansala



Cricketer Team



WOMEN'S DAY

ATL celebrated International Women's Day in recognition of their female employees' achievements. International Women's Day (IWD), known as International Working Women's Day, is celebrated on 8th March every year. It is an occasion for looking back on past struggles and accomplishments, and more importantly, looking ahead for the untapped potential and opportunities that await future generations of women.

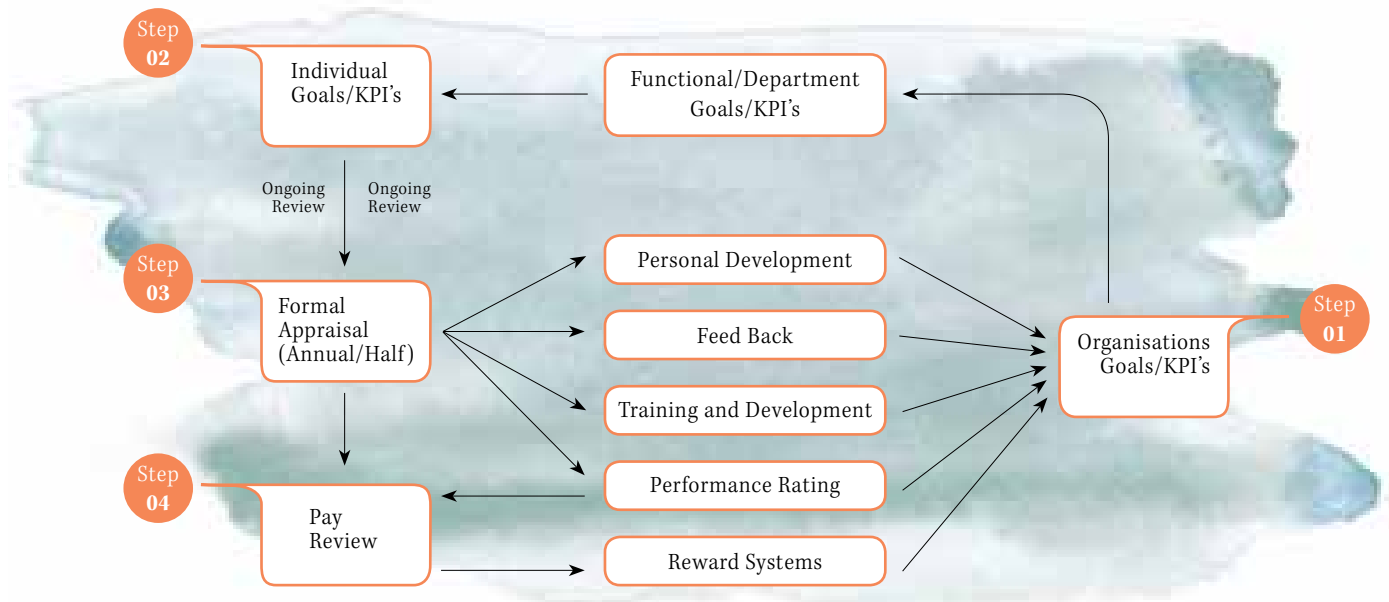


PMS - PERFORMANCE MANAGEMENT SYSTEM

PARFORM – PERFORMANCE APPRAISAL REVIEW FORM

The new Performance Appraisal Review System – 'PARFORM' replaces the previous Job Achievement Review (JAR) based on the Job Description (JD). PARFORM was crafted primarily to cater to Executive and Middle Management categories of staff. PARFORM is an all in one, simplified performance management system that primarily focuses on the delivery of pre-agreed Key Performance Indicators (KPI's) set at the beginning of the year, i.e.' measuring the 'Achievements' and 'Results' of the job holder, rather than on 'Activities' that were carried out.

PARFORM aims at an objective measure of Performance on the job, thereby ensuring the KPI's set are Specific, Measurable, Achievable, Realistic & Time bound (SMART). PARFORM encapsulates - (A) KPI's (B) Additional Accomplishments (C) Compliance/Audit Issues and Training & Development Needs of the job holder. PARFORM serves as a development tool for the betterment of the person/task performed/ interaction with others/Company (ATL) success.



CORPORATE VALUES – CORD

In 2014 we took the opportunity to re-look at ATL's corporate values. We came up with moniker CORD, which reflects an uninterrupted, seamless connection. CORD is reflective of what ATL stands for as an entity in terms of authenticity, relevance and customer centricity.

ATL believes the core values serve as a *moral glue* or cementing factor that keeps the organisation and its people bound together. It is what keeps the organisation together in good times and bad and is considered as those beliefs and principles that one adheres to and never compromises on.

CORD

C – Customer Centered: Working always with the customer-first every-time mind-set.

O – Open Mindedness: Looking for better solutions. Demonstrating consolidated and positive emotions and behaviours.

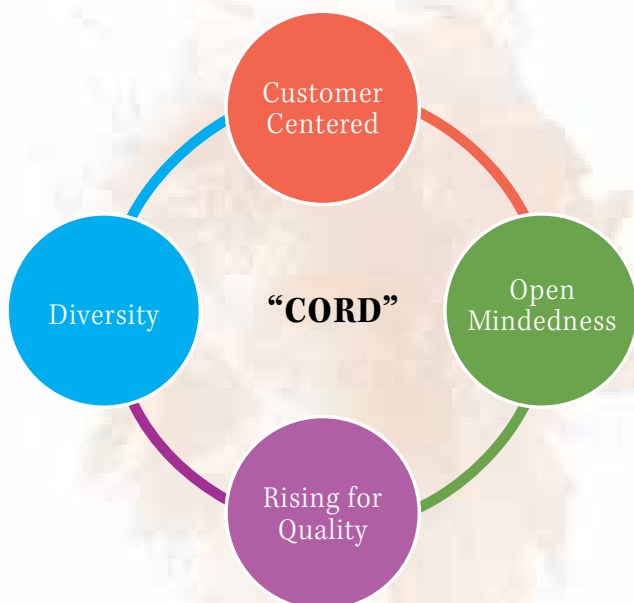
R – Rising for Quality: Our work is a reflection of who we are. I value myself high and therefore my work. Strive to meet and exceed customer expectations.

D – Diversity in everything we do. Embrace our people's visible and invisible differences, be it age, gender, ethnicity, nationality, religion.

SLIBFI QUIZ NIGHT

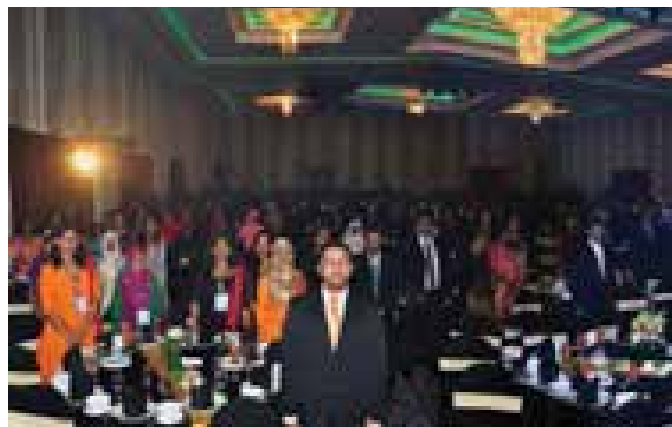


ATL emerged winners under the Sports segment at the SLIBFI Quiz Night organised by UTO/Educonsult (Pvt) Ltd. This was held on Wednesday 3rd December 2014 at Salon Tulip, Galadari Hotel.



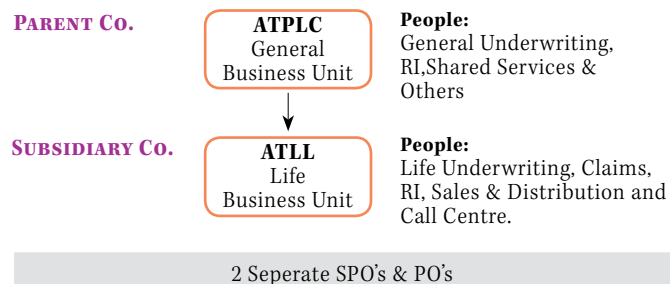
The Quiz covered an array of topics on Current Affairs, General Knowledge, Sports and Islamic Banking and Finance.

ANNUAL AWARDS DAY - 2013



The Annual Awards Day is a much-awaited event to celebrate both outstanding achievements as well as teamwork. The Awards Day aims to recognise and reward the top achievers in the Company from both Sales and Operations alike. The reward and recognition of being amongst the highest performers in a category has proved to be a motivating factor for the sales force whilst driving them to higher achievement. The recognition for operations staff is covered through the CEO's award, which takes into consideration different areas of contribution and recognition beyond the call of duty.

SEGREGATION AGENDA



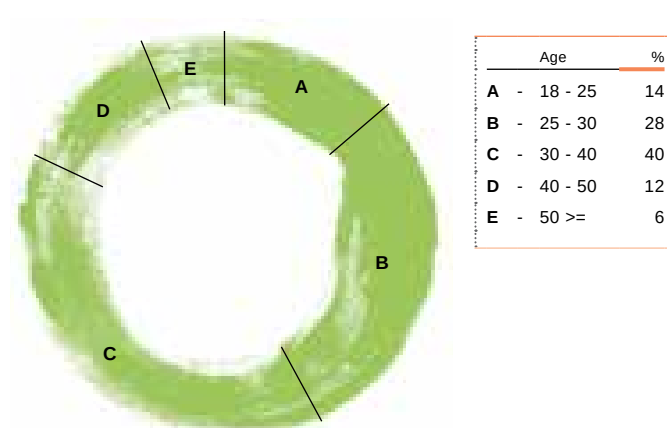
Being a responsible employer, committed to the well-being and welfare of our people, we made it our utmost priority, to ensure that staff dedicated to the Life Operation were seamlessly transferred to the new Life Company.

Staff who have been transitioned to the new Life entity have had all of their services continued without any break or inconvenience.

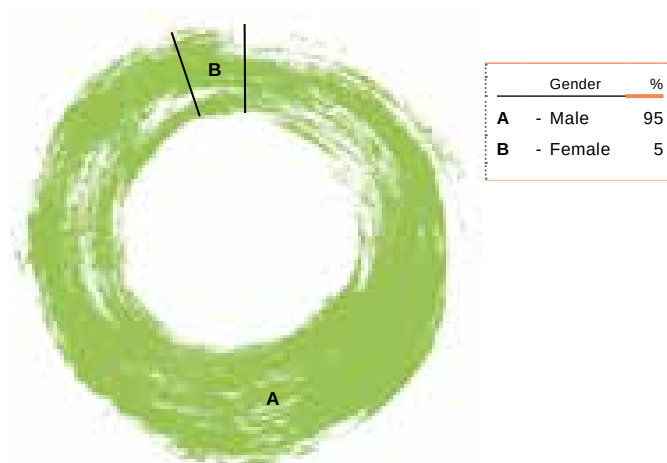
EMPLOYEE ANALYSIS

Staff Distribution by Province	2013 No.	%	2014 No.	%
Central	50	14	46	13
Eastern	36	10	32	9
North-Central	1	0	3	1
North-Western	37	10	38	11
Northern	4	1	4	1
Southern	19	5	18	5
Uva	1	0.28	3	0.85
Western	211	59	214	59
Total	359	100	358	100

AGE ANALYSIS OF STAFF - 2014



GENDER ANALYSIS OF STAFF - 2014



Staff Strength	2011	2012	2013	2014
Senior Management	13	15	16	16
Middle Management	17	38	96	99
Executives	161	199	195	198
Non-Executives	171	130	52	45
Grand Total	362	382	359	358

Service Analysis of Staff - 2014 (Years)	Senior Management	Middle Management	Executives	Non-Executives	2014 Total
2 and below	1	27	64	25	117
3 - 5	2	16	70	6	94
6 - 10	7	41	59	13	120
Above 10	6	15	5	1	27
Grand Total	16	99	198	45	358

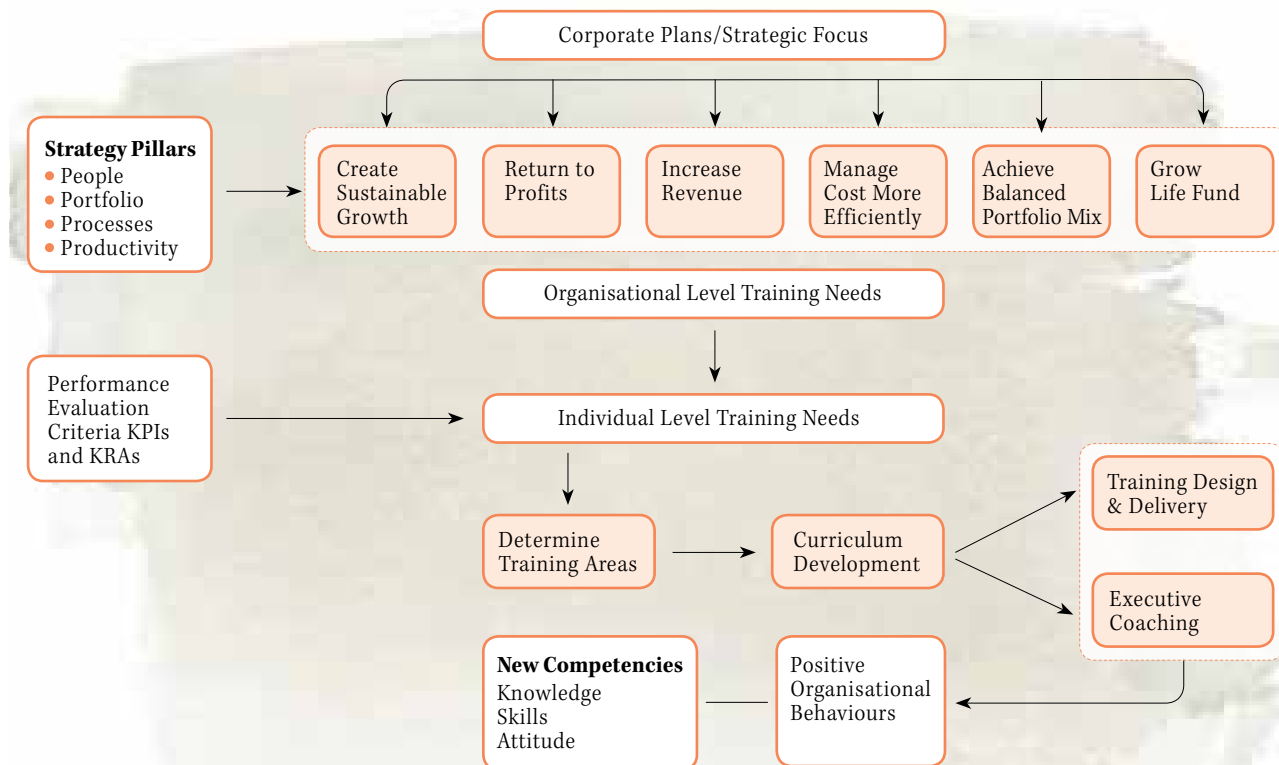
Rs. Mn	2011	2012	2013	2014
Revenue	1,080	1,469	1,784	2,051
GWP	1,283	1,558	1,865	2,055
Profit	(75)	42	117	63

Rs'000	2011	2012	2013	2014
Per Employee Revenue	2,960	3,867	4,929	5,731
Per Employee GWP	3,516	4,102	5,154	5,741
Per Employee Profit	(206)	111	323	178
Employees (Numbers)	365	380	362	358

LEARNING AND DEVELOPMENT

We are continually building on our commitment to enable our people to reach their full potential through learning, training and development. We invest in the development of our employees even throughout tough economic cycles, providing a suite of various training and development options and avenues, depending on needs, both individual and organisational, identified during our performance review process.

Based on our four strategic pillars we developed the following Training Needs Assessment:



Learning and Development had been re-branded in 2014 as the **Takaful Academy of Skills & Knowledge (TASK)**. TASK - The fully fledged training centre along with the learning and development team with all the necessary amenities has been re-located at 142, Galle Road, Dehiwela. This is located on the 1st floor of Amāna Takaful Dehiwela Branch office building.

'Task Training Centre' - Opening Ceremony



STRUCTURED TRAINING

TASK has introduced a structured training programme to ATL, for both Life and General employees. Each job category will be issued a structured programme lasting a period of two years. Upon successful completion of the structured programme and duly completed performance evaluation, each employee will be conferred with a certificate stating they have completed the training and requisite experience related to that job category. ATL believes this structured approach to training and on-the-job experience will have a positive impact on the attitudes, skills and knowledge of the staff.

Takaful Academy of Skills and Knowledge - 2014											
Sales Staff			Common			Operation Staff					
Officers, Team Leaders, Team Managers and Personal Account Managers		Branch Managers	Regional Managers		Personal Development Pillars	Health Insurance	General Insurance	Life Insurance			
Certified Takaful Advisor		Certified Takaful Practitioner		Takaful Sales Leader	Personal Champions	Specialised Diploma in HI	Cert. GT Underwriting Practice	Cert. LT Underwriting Practice			
1. Technical Licence (L/G)	C	1. Technical Licence (L/G)	C	1. Agency Management	C	1. Principles of General Insurance	C	1. Life Insurance Practice	C		
2. Induction	C	2. Practice in L/G Insurance	C	2. Sales Management	C	2. Practice of General Insurance	C	2. Underwriting Principles	C		
3. Product Competency (L/G)	C	3. Product Competency (L/G)	C	3. Strategic Planning	C	3. Basics of Health Insurance	C	3. Life Underwriting	C		
4. Professional Selling Skills	C	4. Customer Care	C	4. Leadership	C	4. Health Insurance Operation	C	4. Disability Underwriting	C		
5. Customer Care and Time Management	C	5. Relationship Selling	C	5. Recruitment & Selection	C	5. Health Insurance Claims	C	5. Health Underwriting	C		
6. Shari'ah Competency	C	6. Language Skills (English)	C	6. Training & Development	C			6. Underwriting Management	C		
7. Language Skills (English)	C	Certified Takaful Manager		7. Performance Management	C			7. Risk Mgmt & Reinsurance	C		
Certified Takaful Consultant		1. Leadership Skills	C	8. Retention & Motivation	C						
1. Relationship & Referral Selling	C	2. Agency Management	C			9. Train The Trainer To Train	C				
2. Consultative Selling	C	3. Recruitment & Selection Skills	C			10. Persuasion Skills	C				
3. Art of Rapport Building	C	4. Motivation Skills	C			11. Conflict Management Skills	C				
4. Negotiation Skills	C	5. Adv. Presentation Skills	C			12. Self-Motivation	C				
5. Language Skills (Adv. English)	C	6. Team Building	C			13. Presentation Skills	C				
Certified Takaful Team Leader		7. Training & Development	C			14. Shari'ah Competency	C				
1. Leadership Skills	C	8. Sales Management	C			15. Product Champions - Life	C				
2. Basics of Agency Management	C					16. Product Champions - General	C				
3. Recruitment & Selection Skills	C					17. Admin Skills - 1 to 11	C				
4. Motivation Skills	C										
5. Adv. Presentation Skills	C										
6. Team Building	C										

COMPETENCY MAP

TASK has introduced a 'Competency Map' by which Heads of the Departments could identify the competencies and relevant training solutions for each employee. A snap shot competency map for a Sales Officer is given below:

Competencies	Knowledge and Skills	Training Solution - Modules	Rating				
Technical Aptitude	Principles of Life/Gen Insurance	CTA - 1	1	2	3	4	5
	Practice of Life/Gen Insurance		1	2	3	4	5
	Life/Gen Product Competency	CTA - 3	1	2	3	4	5
	Basics of Life/Gen Underwriting		1	2	3	4	5
	Shari'ah Competency	CTA - 6	1	2	3	4	5
Selling Skills	Sales Process		1	2	3	4	5
	1. Prospecting		1	2	3	4	5
	2. Approach		1	2	3	4	5
	3. Presentation		1	2	3	4	5
	4. Trial Close	CTA - 4	1	2	3	4	5
	5. Handling Objections		1	2	3	4	5
	6. Closing Techniques		1	2	3	4	5
	7. Follow up and Service		1	2	3	4	5
	Consultative and Relationship Selling		1	2	3	4	5
	1. Building Trust		1	2	3	4	5
	2. Questioning Techniques	CTC - 1 & 2	1	2	3	4	5
	3. Selling Benefits		1	2	3	4	5
	4. Reassure and close		1	2	3	4	5
Self Mastery	Building Rapport	CTC - 3	1	2	3	4	5
	Negotiation Skills	CTC - 4	1	2	3	4	5
	Time Management	CTA - 5	1	2	3	4	5
	Business Etiquette	CTA - 4	1	2	3	4	5
	Language and Communication Skills	CTA - 7 & CTC - 5	1	2	3	4	5
Customer Focus	Customer Psychology		1	2	3	4	5
	Customer Service		1	2	3	4	5
	Building Rapport	CTA - 5 & CTC - 3	1	2	3	4	5
	Empathy		1	2	3	4	5
	Win-Win Strategy		1	2	3	4	5
Business Intelligence	Induction	CTA - 2	1	2	3	4	5
	Professional Networking	CTC - 1 - 3	1	2	3	4	5
	Competitor Product Comparison	CTA - 3	1	2	3	4	5
	Analytical Skills	CTA - 4/CTC - 1 - 3	1	2	3	4	5

FAMILY TAKAFUL

131 programmes were conducted for Family Takaful during 2014 under 40 main structured modules. This included 28 new structured modules. 88% of the programmes were delivered to sales categories while 12% were delivered to operational staff. In addition to the above, the following modules were also initiated:

- Goal setting training programme
- E-magazines and competitions
- Product Champion - Products quiz competition
- Role-play championship
- All three-language product competency handbook
- All three language sales module
- MS Office training for BMs and RMs
- Attitude for success training to all office assistants
- Out Bound Training for all categories
- E-Learning competitions

Some of the above programmes were common for both Family and General Takaful in order to optimise training costs.

A 'grading system based on income of the sales force' has also been introduced to the organisation by which productivity of individuals and training exercise could be measured.

GENERAL TAKAFUL

Under General Takaful, 22 new modules were delivered which were not in existence prior to 2014. The modules comprise the following:

- Advance Presentation Skills
- Attitude for Success
- Business Etiquette
- Customer Care
- Essential Selling Skills
- Induction
- Language Skills
- Leadership Skills
- Low Producer Coaching
- Motivation Skills
- MS Office
- Product Competency
- Product Competency Evaluation
- Professional Selling Skills
- Relationship Selling
- Sales Persuasion Skills
- Sales Presentation Skills workshop
- Self-Motivation
- Train The Trainer
- Winning Teams (OBT)
- Words That Change Minds

Each employee was given approximately three and a half days of training which amounts to 29 hours.

PER CAPITA LEARNING HOURS

Per Capita Learning Hour is the main index to illustrate the many average hours an employee has received training in the organisation. ATL's per capita learning hours amounts to 197 for both Life and General including operational and sales staff. We are proud to note this is the highest in the industry.

Leadership Training

Our current learning and development initiatives include leadership development, such as the Outbound Training programme undertaken by all our managers and executives in 2014, and various relevant training programmes with our TASK centre which provides all employees with a variety of material and resources to aid professional and personal development. This includes customised learning programmes delivered in partnership with leading business institutions.





Outbound Team Building Programmes



CORPORATE GOVERNANCE

Corporate Governance that nurtures a culture of transparency, accountability and integrity play an integral part in ensuring our growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standard of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or Company is directed, managed and controlled. It is a concept which is now increasingly gaining prominence in the business world. In any company where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative is depend on how the people are led and the policies as well as the processes are implemented.

In order to create shareholders wealth and gain market confidence, Amāna Takaful PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

CAPITAL STRUCTURE AND SHAREHOLDING

Amāna Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,250,000,900/-.

The Company has 6,486 shareholders, while the majority shares are held by institutions. Details of the main shareholders are given on page 156.

BOARD OF DIRECTORS AND BOARD COMMITTEES

There are nine Directors on the Board of Amāna Takaful PLC, of whom eight hold office in non-executive capacities. The Board of Directors has been drawn from a cross-section of industries. Their expertise and experience in various fields as well as insights have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices which in turn will ensure shareholders interests are always protected. The names of the Board of Directors are given on page 79.

CORPORATE GOVERNANCE FRAMEWORK

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report:

Amāna Takaful PLC

Chairman:

Tyeab Akbarally

Principal Objective: Leading the Board to ensure effectiveness in all aspects of its role.



Board of Amāna Takaful PLC

Nine Directors:

One Executive Director a Non-Executive Chairman and seven Non-Executive Directors.

Principal Objective:

Collectively to ensure the long-term success of the Company.



Audit and Compliance Committee

Three Independent Non-Executive Directors.
Principal objective: to ensure that the interests of shareholders are properly protected in relation to financial reporting and internal controls.

The Board Audit and Compliance Committee report pages 81 and 82.



Risk Management Committee

Three Non-Executive Directors.
Principal objective: review and re-align the risk appetite of the Company at strategic and various functional levels

Risk Management Committee report pages 70 to 77.



Investment Committee

Three Non-Executive Directors and One Executive Director.

Principal objective: to ensure that a healthy investment portfolio is maintained within the investment guidelines of the IBSL and Shari'ah Advisory Council.



Remuneration Committee

Three Non-Executive Directors.
Principal objective: to develop policy on Executive remuneration. It also recommends packages for the Executive Director and senior managers immediately below Board level.

Remuneration Committee report page 83.



Executive Committee

Five Directors, the CEO and GMs.
The Chairman presides at these monthly meetings.

Principal objective: to monitor the implementation to the business strategies of the Company and the Group.

BOARD SIZE AND COMPOSITION

The Board currently comprises nine Directors: the Chairman, seven Non-Executive Directors and one Executive Director. The size and composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 20 and 21.

The Board is collectively responsible for the long-term success of the Group. Executive Directors are responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for: constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that

financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning for the Executive Directors.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 70 and 77. Following presentation by executive management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the executive management are empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained which covers items that are significant to the Group as a whole due to their strategic, financial or reputational implications. A summary of these matters includes:



The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to 'Shari'ah' Principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

BOARD ROLES AND RESPONSIBILITIES

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and
- Develop and maintain effective communication with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Group;
- Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the executive management of the Group;
- Meet the Group's budget and strategic plans; and
- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Company Secretary

Under the direction of the Chairman, the role of the Company Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between senior management and Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, three Directors retire annually and are eligible have offered for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following committees of the Board have been formed with the objective of improving governance: viz-

- Audit and Compliance Committee
- Risk Management Committee
- Investment Committee
- Remuneration Committee
- Executive Committee

Each committee has a defined terms of reference approved by the Board, outlining the respective committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these committees are expected to attend all meetings.

i. The Audit and Compliance Committee

The Audit and Compliance Committee comprises of three Independent Non-Executive Directors of the Board. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive

Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned where rectification actions taken of any weakness described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 81 and 82.

ii. The Risk Management Committee

The Risk Management Committee of the Board comprises of three Non-Executive Directors of which two are Independent Directors. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and re-align the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail report on the Risk Management Committee functions and its activities during the year 2014 is provided on pages 70 to 77.

iii. The Investment Committee

The Board Investment Committee comprises of Mr. Osman Kassim, Mr. M.H.M. Rafiq, Dr. Haroon and Mr. Ehsan Zaheed. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the IBSL and Shari'ah Advisory Council whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meeting on a monthly basis.

iv. The Remuneration Committee

The Remuneration Committee is composed of three Non-Executive Directors of the Board of which two are Independent Directors. Details of remuneration paid to Directors are set out in Note 31 to the Financial Statements on page 136.

The report of the Remuneration Committee is provided on page 83.

v. Executive Committee

The Executive Committee or EXCOM is composed of five members of the Board and is chaired by the Chairman of the Company. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- i. Tyeab Akbarally - Chairman
- ii. Osman Kassim
- iii. M.H.M. Rafiq
- iv. M. EhsanZaheed
- v. Dr. Ifthikarudeen A. Ismail

ETHICAL STANDARDS

Amāna Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgment;
- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and
- Maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the weekly mission meetings.

EXECUTIVE MANAGEMENT

The Chief Executive Officer deliberates strategic issues with a reconstituted General Management Committee (GMC) which includes the General Manager/CEO of the Family Takaful business, General Manager Operations, General Manager – Sales and Marketing, Head of Strategy and Risk, Head of Finance, Head of HR and the Head of Information Technology. The Compliance Officer is a member by invitation. Each of them, who head Strategic Business Units drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the GMC. The Company's performance dashboard is a key evaluation and measurement tool in this process.

The Business Operations Management (BOM) takes responsibility for operationalising the plan on a day-to-day basis and implementing the decisions of the GMC. These include a track on competitor activity, steering projects and building cross-functional bonds across the different departments and taking ownership for the technical aspects. It is also a forum to build leadership and talent in support of the succession plan.

INTERNAL CONTROLS

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.



COMPLIANCE WITH “SHARI’AH” REQUIREMENTS

Amāna Takaful PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular that relates with the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 84.

REGULATORY COMPLIANCE

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set up to monitor and investigate into all compliance-related matters across the organisation. It keeps a close track of all new legislations, regulations etc., and notify and guide the respective departments accordingly.

RELATIONSHIP WITH STAKEHOLDERS

The Board of Directors discloses policy decisions and operations affecting shareholders through its biannual and annual reports.

The Board entertains questions from shareholders at the Annual General Meetings ensuring shareholder participation and interaction.

The management holds weekly mission meetings at which employees are briefed of the policies, goals and values of Amāna Takaful PLC and their views and suggestions are sought and evaluated.

Amāna Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company’s activities.

SOLVENCY REQUIREMENTS

The Solvency Margin for Family Takaful (Long-Term Insurance) Business and General Takaful Business have been maintained as per the Regulation of Insurance Industry (RII) Act No. 43 of 2000.

CORPORATE GOVERNANCE DISCLOSURES UNDER CSE RULES IN RELATION TO DIRECTORS OF THE COMPANY

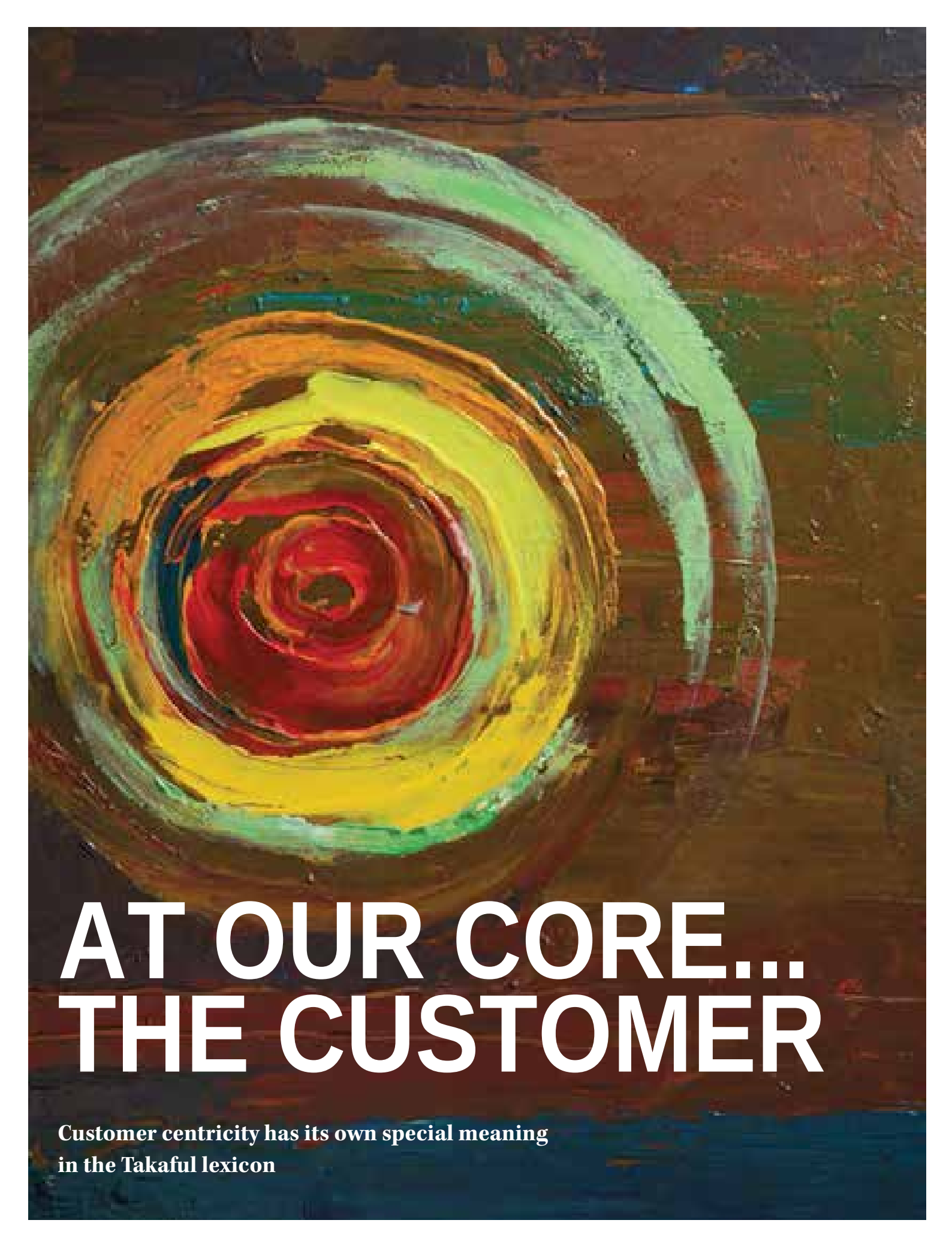
Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Director 1. M. Ehsan Zaheed	The Board comprises of eight Non-Executive Directors of a total of nine Board members. This is in compliance with the CSE Rules.
	Non-Executive Directors 1. Tyeab Akbarally - Chairman 2. Osman Kassim 3. Dato’ Mohd Fadzli Yusof 4. Dr. A.A.M. Haroon 5. M.H.M. Rafiq 6. A.S.M. Muzzammil 7. Dr. Ifthikarudeen Ahamed Ismail 8. R. Gopinath	All the Non-Executive Directors have submitted the annual declaration of their independence or non-independence to the Board of Directors.
	Independent Directors 1. Dato’ MohdFadzli Yusof 2. M.H.M. Rafiq 3. A.S.M. Muzzammil 4. R. Gopinath	The Board comprises of four Independent Directors out of eight Non-Executive Directors by the end of 2014. Dato’ Mohd Fadzli Yusof and Mr. M.H.M. Rafiq do not technically qualify as independent by not meeting Rule 7.10.4 (e) of the CSE Rules. However, the Board after much discussions were of the view that they are nevertheless independent. Set out below are the criteria to consider them as Independent Directors: a. They do not provide any services to the Company in a capacity other than Director. b. They have not received financial assistance from the Company. c. They do not have any apparent conflict of interest in the Company which would impair their independent judgment as a Director. The Board was also of the view that taking into account the contribution made by these Directors to the affairs of the Company, their integrity and stature were not in question.

Areas of Compliance	Current Status	Remarks
Remuneration Committee	1. Dato' Mohd Fadzli Yusof - Chairman 2. M.H.M. Rafiq 3. Dr. A.A.M. Haroon	This Committee comprises of three Non-Executive Directors of whom two are independent.
Audit Committee	1. Dato' Mohd Fadzli Yusof - Chairman 2. M.H.M. Rafiq 3. A.S.M. Muzzammil	This Committee comprises of three Independent Directors of the Company.

DIRECTORS' ATTENDANCE AT THE MEETINGS

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings	
	Held/Applicable	Attended	Held	Attended	Held	Attended
1. Mr. Tyeab Akbarally - Chairman	4	3				
2. Mr. Osman Kassim	4	3				
3. Dato' Mohd Fadzli Yusof	4	4	4	4	2	2
4. Dr. Aboobacker Admani Mohamed Haroon	4	4			2	2
5. Mr. Mohamed Hanifa Mohamed Rafiq	4	3	4	3	2	2
6. Mr. Muhammad Ehsan Zaheed	4	4				
7. Dr. Thirugnanasambandar Senthilvel (Resigned w.e.f. 11th August 2014)	2	2				
8. Mr. Aboo Sally Mohamed Muzzammil	4	4	4	4		
9. Mr. Mohamed Uvais Mohamed Ali Sabry (Resigned w.e.f. 31st July 2014)	2	-				
10. Dr. Ifthikarudeen Ahamed Ismail	4	4				
11. Mr. Radhakrishnan Gopinath	4	2				



An abstract painting featuring a central, swirling vortex of colors. The core is composed of concentric rings of red, orange, and yellow, surrounded by layers of green and blue. The background is a dark, textured brown. The overall effect is one of depth and movement, suggesting a journey towards a central point.

AT OUR CORE... THE CUSTOMER

Customer centricity has its own special meaning
in the Takaful lexicon

ENTERPRISE RISK MANAGEMENT

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in a forthcoming Risk Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework in 2012. In 2013, the Risk Management Unit carried out series of campaigns to enhance the awareness among the managers and executives on the ERM Framework.

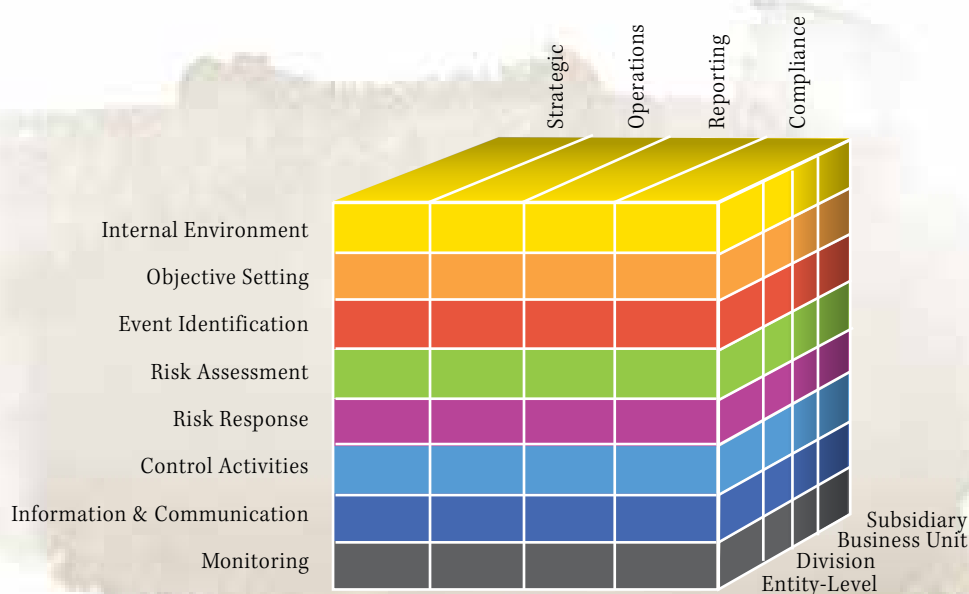
Though the risk elements are managed on a daily basis at all levels, the Company formally introduced Enterprise Risk Registers for both Life and General segments separately during 2014. This section elaborates the Company's Enterprise Risk Management Framework and the key risk management activities initiated during the year 2014.

WHAT IS ENTERPRISE RISK MANAGEMENT?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" [Meulbroek (2002). Collective risks refer to risk categories such as the one profiled in Figure 1, as well as the interaction of risks over time.

Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube and framework which was published in 2004 in US defines ERM:

"... a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Value is maximised when management sets strategy and objectives to strike an optimal balance between growth and return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses:

- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rig or to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses, reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise risks – Every enterprise faces a myriad of risks affecting different parts of the organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and pro actively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In sum, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

DEFINITIONS OF RISK AND RISK MANAGEMENT

Risk in general could be defined as 'The combination of the probability of an event and its negative consequences', in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as 'An efficient and effective process of minimising risks in meeting stakeholder requirements'. However, Enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multidirectional, iterative process in which almost any component can and does influence another.

RISKS FACED BY INSURANCE COMPANIES

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance Companies whose business model is based on risk management require special attention with regard to risk management. As an insurance company, we identified the following risk categories as illustrated in the diagram below. The risk management professionals refer to this as the 'Risk Wheel' and of course different Companies could have different angles to this. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.



1. INSURANCE RISK

Being an insurance company, risks related to the insurance business i.e. insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Insurance Risks	Control
Underwriting Risk – At the time of underwriting of a risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOP's is in force and it is reviewed regularly. Any revision to such SOPs are carried out with the approval of the Board Audit Committee.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry mortality and claims risks for life and non-life businesses.	Qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both Life and General Segments.

a. Claims Risk

Claims Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decides the product mix targets taking the claims experiences pertaining to the specific classes.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	Continuous training and development programmes are in place which including the claims. Staff and the semi-automated claims procedures with the supervision by well-experienced senior staff mitigate such risks.

b. Retakaful Risk

Retakaful Risk	Control
Credit risk can also be a factor with respect to re-insurance. Should a re-insurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with re-insurers having credit ratings as required by Insurance Board of Sri Lanka (IBSL). The services of professional Retakaful brokers are also obtained in reinsurance placements.
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid this happening. However, to further enhance the control measure, certain critical processes are being automated.

2. MARKET RISKS

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc. are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates, and commodity market conditions especially Gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during 2014 mainly through the intense price cutting by almost all the players but especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged-Takaful Company. Our clientele do understand the Takaful is a complete system and not a simply a product range in a conventional system.

3. STRATEGIC AND REPUTATIONAL RISK

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation. Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets will be very vital.

Due to internal and external reasons the Company could be exposed to serious damages to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who is also the Head of Marketing. Maintaining a watching brief and monitoring all news items related to the Company in the public domain is constantly collated and escalated to management with the assistance of media-watch partners through the marketing unit.

4. OPERATIONAL RISKS

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Operational Risks	Controls
Sudden Disasters/Calamities	A detail DRP is in force to recover within 12 hours
BCP/DRP Failures	Tested every three months
Not having the Right People at the Right Place	A Semi-Annual Performance Appraisal System is in place to scrutinise the performance of key staff members including the top management personnel.
Process Failures - SOP's don't capture important controls	The Risk Committee reviews the SOP's periodically along with internal audit and makes modifications when required.
Potential Fraud and Errors	Strict implementation of the SOP's will minimise the risks involved in this area in addition to the supervisory controls
Liquidity Crunch	The treasury team prepares a cash forecast on a weekly basis prior to making investment decisions
Technology Down	The Disaster Recovery Plan covers such risks
Non-Implementation of Key Projects	The Business Operations Management (BOM) meets fortnightly while the General Management Committee (GMC) meets monthly and reviews projects under implementation.
Utilities or Out-sourced Services Failure	Electricity - A back-up generator is fully active

5. COMPLIANCE RISK

The Company successfully accomplished the segregation process on time as per the Regulation of Insurance Industry Act. In so doing the Life business unit was incorporated as a fully owned subsidiary of the present Amāna Takaful PLC which continues the General Business segment.

The key Compliance risks and the control measures are listed below:

Compliance Risk	Controls
Unable to comply with the applicable regulatory requirements	• The first item of the agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject matter and any significant issue is escalated to the Audit/Risk Committees and the Board. • A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. • All heads of departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. • A monthly sign-off is obtained on a compliance checklist covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. • A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

6. CREDIT RISK

The Company encountered severe threat on credit management with the deteriorating market practices due to competitive pressures. However, the Company has introduced strict controls and measures and improved the Credit Policy on the recommendation of the Audit Committee during 2014.

Credit Risk	Controls
Unable to recover premiums given on credit	SOP on credit approval which covers several authorisation and approval controls Credit Policy is linked to the sales commission and incentive scheme Weekly credit review
Risk in recovering Retakaful	Rated Retakaful companies
Unable to recover capital value of Investments	Guided by the IBSL Investment Guidelines Close monitoring by the Board Investment Committee

The internal audit team of the Company, headed by a qualified Chartered Accountant, review all functions/departments in a routine manner according to an audit plan to ensure all approved controls and procedures are adhered accordingly. Any deviations and findings during the internal audit process are graded based on the impact and significance and reported to the Board Audit Committee which in turn is taken for discussion and corrective measures at the quarterly Board meetings.

ATI – Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the consequence parameter ranges from negligible to Severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

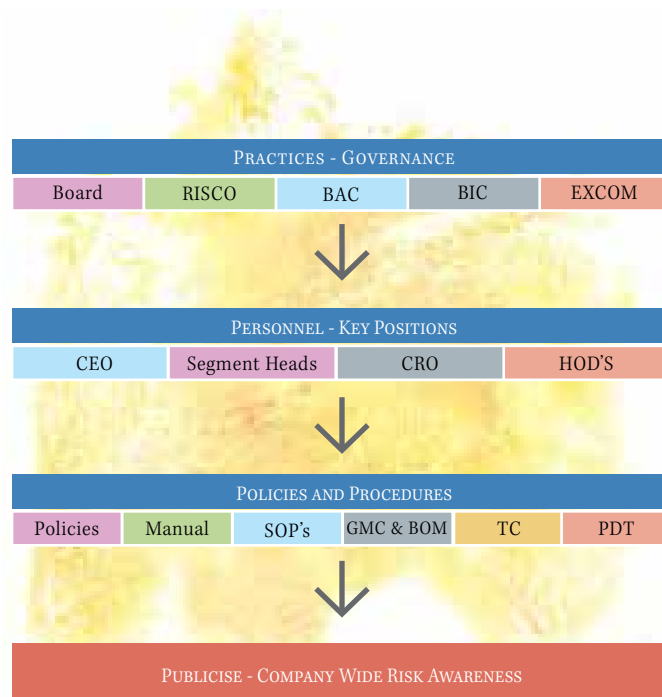
Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of likelihood and consequences.

The Company adopts the following strategies in managing the risks as per the likelihood and impact grading. Please refer the impact and likelihood along with the Risk Management Grid above.

Impact/ Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D).	Low	Accept	Keep monitoring of the likelihood
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E),(IV,D).	Medium	Reduce likelihood and/or impact	Have measures to manage likelihood and or impact
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C).	High	Spread and/or transfer	- spread the risk to a third party or involve risk owner sharing the risk - Have contingency arrangements - Have plans for recovery
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity

ATI ENTERPRISE RISK MANAGEMENT FRAMEWORK

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	-	The Board of Directors
RISCO	-	Board Risk Committee
AC	-	Board Audit Committee
BIC	-	Board Investment Committee
EXCOM	-	Executive Committee
CEO	-	Chief Executive Officer
CRO	-	Chief Risk Officer
HOD's	-	Heads of Departments
SOP's	-	Standard Operating Procedures
GMC	-	General Management Committee
BOM	-	Board of Management
TC	-	Technical Committee
PDT	-	Product Development Team

The ERM framework operates from the bottom in terms of its Lines of Defence.

1. First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line is exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

2. Second Line of Defence

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has re-structured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the Groups.

3. Third Line of Defence

Key Personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

4. Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These committees independently meet with the Key Management Personnel and review performances, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

RISK MANAGEMENT PROCESS

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
• Insurance Risk	- Average Rates by Sub-Classes - Claims Ratios by Sales Team Branches and Sub-Classes - Product Profitability - RI Covers Vs Risk Accumulation
• Strategic and Reputational Risk	- Daily Target Achievements - Variance Analysis - Client Satisfaction Index
• Market Risk	- Interest Rate Movement - Bullion Market Movement - Equity Market Movement - Economic Indicators - Changes in Tax Regulations - Changes in Government Policies
• Operational Risk	- Staff Turnover Ratio - Staff Satisfaction Index - Internal/External Audit Findings - Deviations from ISO Standards on Safety Measures - Current and Liquidity Ratios
• Credit Risk	- Debtors Turnover Ratio (Days) - Risk-Adjusted Investment Assets (RBC) - Investment Portfolio Mix
• Compliance Risk	- Number of queries raised by Regulator/Ombudsman - Pending Legal Matters - Unresolved Audit Queries - Items in the Management Letter

KEY RISK MANAGEMENT ACTIVITIES DURING 2014

- The Company introduced a detailed Enterprise Risk Register integrating all key areas of risks, expanding on the existing control measures with specific responsibility assigned to key personnel from the respective functions. With the segregation of the companies the Enterprise Risk Register was introduced to both Life and General segments of the business separately.
- Corporate Risk Review Committee (CRRC) was established involving identified key personnel at management level to review the risks of the Company covering all operational and strategic risks to advise and report to the Board Risk Review Committee. The CRRC is entrusted to meet at least twice a quarter and to provide in-depth analysis on specific risk areas.
- The Company tested and cascaded the Business Continuity Plan (BCP) and updated with lessons learnt and the changes attributed to the BCP process and people involved.
- The staff at the front line was educated through a series of training programmes at regional level to elevate their knowledge on risk management and the significance in adhering to the set systems and procedures.

- The Board Risk Committee met four times during the year 2014 and reviewed the following key risk areas:

Risk Area	Members Present	Key Risk Areas Discussed in Detail
4th March 2014	Dato' Mohd. Fadzli Yusof (Chairman) Mr. M.H.M. Rafiq – Ind. Director Dr. A.A.M. Haroon – Ind. Director Mr. Fazal Ghaffoor – Chief Executive Officer	• Retakaful Arrangements • Decentralisation of Underwriting
10th June 2014	Dato' Mohd. Fadzli Yusof (Chairman) Mr. M.H.M. Rafiq – Ind. Director Dr. A.A.M. Haroon – Ind. Director Mr. Fazal Ghaffoor – Chief Executive Officer	• Claims Risks • Synergy with Amāna Bank Ltd.
26th August 2014	Dato' Mohd. Fadzli Yusof (Chairman) Mr. M.H.M. Rafiq – Ind. Director Dr. A.A.M. Haroon – Ind. Director Mr. Fazal Ghaffoor – Chief Executive Officer	• Life Fund Performance • Review of Risk Register – General • Adequacy of Third Party claim provisions
9th December 2014	Dato' Mohd. Fadzli Yusof (Chairman) Mr. M.H.M. Rafiq – Ind. Director Dr. A.A.M. Haroon – Ind. Director Mr. Fazal Ghaffoor – Chief Executive Officer	• Unit Linked Fund performances • Proposed New Life Product • Appointing the CRRC and approving the mandate

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their report together with the audited accounts for the Company and the Group, for the year ended 31st December 2014, to be presented at the Sixteenth Annual General Meeting of the Company.

REVIEW OF THE YEAR

The Chairman's Statement on pages 6 to 8 describes the Company's affairs and mentions important events that occurred during the year, and up to the date of this Report. The Management Discussion and Analysis on pages 29 to 41 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

PRINCIPAL ACTIVITIES

The principal activity of the Company is Takaful Business covering both the Family (Life) and General Operations.

FINANCIAL STATEMENTS

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and comply with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Board of Sri Lanka are given on pages 90 to 154 of this Annual Report.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on page 89 of this Annual Report.

ACCOUNTING POLICIES

The accounting policies adopted in preparation of the Financial Statements are given on pages 100 to 112.

FINANCIAL RESULTS AND APPROPRIATIONS

The surplus of the General Takaful Fund of the Company for the year was Rs. 35.9 Mn (2013 – Rs. 75.6 Mn).

The Profit After Taxation of the shareholders' fund of the Company for the year was Rs. 27.7 Mn (2013 – Rs. 41.4 Mn).

The Profit After Taxation of the Company for the year was Rs. 63.7 Mn (2013 – Rs. 117 Mn) and the Profit After Taxation of the Group for the year was Rs. 103 Mn (2013 – Rs. 157.8 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 1,282 Mn from Rs. 931.2 Mn in 2013.

PROPERTY, PLANT & EQUIPMENT

During the year under review the capital expenditure on Property, Plant & Equipment for the Group amounted to Rs. 50 Mn (2013 – Rs. 34.4 Mn).

Information relating to movement in Property, Plant & Equipment during the year is disclosed under Note 4 to the Financial Statement.

FINANCIAL ASSETS

Details of Financial Assets held by the Company are given in Note 8 to the Financial Statements.

RESERVES

Accumulated losses as at 31st December 2014 for the Company and Group amounted to Rs. 263.9 Mn (2013 – Rs. 323.5 Mn) and Rs. 121.5 Mn - (2013 – Rs. 184.3 Mn), respectively. The breakup and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

STATED CAPITAL

As per the terms of the Companies Act No. 07 of 2007, the stated capital of the Company as at 31st December 2014, was Rs. 1,250,000,900/- represented by 1,000,000,720 ordinary shares. There was no change in the stated capital during the year. The details of the stated capital are given in Note 14 to the Financial Statement on page 127.

CONTINGENT LIABILITIES

There were no material contingent liabilities outstanding as at 31st December 2014 other than those reported in Note 37 to the Financial Statements.

POST-BALANCE SHEET EVENTS

There were no material events occurring after the Reporting date that require adjustments or disclosure in the Financial Statements.

DIRECTORS' RESPONSIBILITIES

The Statement of the Directors' Responsibilities is given on page 86 of this Annual Report.

CORPORATE GOVERNANCE

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 62 to 68 of this Annual Report.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

INTERESTS REGISTER

The Company has maintained an interest register as contemplated by the Companies Act No. 07 of 2007.

- Directors' interest in contracts of the Company, both direct and indirect during the year under review are included in Note 35 in the related party disclosures to the Financial Statements.
- Details of shareholding of Directors are given under particulars of Directors' Shareholding below.

BOARD COMMITTEES

AUDIT AND COMPLIANCE COMMITTEE

Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

- Dato' Mohd Fadzli Yusof - *Chairman*
- Mr. M.H.M. Rafiq
- Mr. A.S.M. Muzzammil

The report of the Audit Committee on pages 81 and 82 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

REMUNERATION COMMITTEE

Following are the names of the Directors comprising the Remuneration Committee of the Board:

- Dato' Mohd Fadzli Yusof - *Chairman*
- Mr. M.H.M. Rafiq
- Mr. Tyeb Akarally

The particulars of the Remuneration Committee are mentioned in the report of the Remuneration Committee on page 83. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 32 to the Financial Statements.

SHARE INFORMATION AND SUBSTANTIAL SHAREHOLDINGS

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 156 and 157.

The earnings per share, dividends per share, net assets per share are given on page 157.

DIRECTORS

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation
Tyeb Akbarally	07.12.1998	–
Osman Kassim	07.12.1998	–
Dato' Mohd Fadzli Yusof	10.02.1999	–
M.H.M. Rafiq	07.12.1998	–
Dr. A.A.M. Haroon	21.09.2000	–
M. Ehsan Zaheed	01.10.2003	–
Dr. T. Senthilverl	12.10.2009	11.08.2014
A.S.M. Muzzammil	29.04.2010	–
M.U.M. Ali Sabry	26.05.2010	31.07.2014
Dr. I.A. Ismail	06.06.2012	–
R. Gopinath	06.06.2012	–

A brief profile of the Directors are given on pages 20 and 21 of this Annual Report.

In terms of Section 84 (1) of the Articles of Association of the Company, the following Directors retire by rotation and being eligible had offered themselves for re-election:

Mr. Osman Kassim

Mr. Abou Sally Mohamed Muzzammil

In terms of Section 211 of the Companies Act No. 07 of 2007, the following Directors who are above 70 years of age retire by rotation and being eligible have offered themselves for re-election and the following resolutions to be passed accordingly, if thought fit.

I. RE-ELECTION OF DR. IFTHIKARUDEEN AHAMED ISMAIL

IT IS HEREBY RESOLVED: To re-elect Dr. Ifthikarudeen Ahamed Ismail who is 77 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed.

II. RE-ELECTION OF MR. M.H.M. RAFIQ

IT IS HEREBY RESOLVED: To re-elect Mr. M.H.M. Rafiq who is 70 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr. M.H.M. Rafiq.

III. RE-ELECTION OF DATO' MOHD FADZLI YUSOF

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd Fadzli Yusof who is 70 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

In terms of Section 82 of the Articles of Association of the Company, Mr. M.U.M. Ali Sabry and Dr. T. Senthilvel have resigned with effect from 31st July 2014 and 11th August 2014 respectively from the Board of Amāna Takaful PLC.

DIRECTORS' SHAREHOLDINGS

The interest of the Directors in the shares of the Company as at 31st December 2014 were as follows:

As at 31st December	No. of Ordinary Shares	
	2014	2013
Tyeab Akbarally	80	80
Osman Kassim	2,560,079	80
Dato' Mohd Fadzli Yusof	—	—
Dr. A.A.M. Haroon	40	40
M.H.M. Rafiq	20	20
M. Ehsan Zaheed	65,000	50,000
Dr. T. Senthilvel	Resigned	81,941,681
A.S.M. Muzzammil	—	—
M.U.M. Ali Sabry	Resigned	—
Dr. I.A. Ismail	—	—
R. Gopinath	—	—

INDEPENDENCE OF DIRECTORS

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 67.

RELATED PARTY TRANSACTIONS

There are no related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – 'Related Party Disclosures', in Note 41 to the Financial Statements.

GOING CONCERN

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

AUDITORS

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 31 on page 136 of this Annual Report.

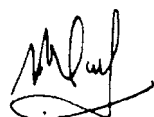
As far as the Directors are aware, the Auditors do not have any relationship on interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

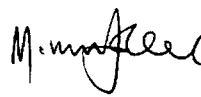
NOTICE OF ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 10th June 2015 at 9.30 a.m. at Grand Ballroom, Galadari Hotel, 64, Lotus Road, Colombo 01. The Notice of the Annual General Meeting appears on page 165 of this Annual Report.

For and on behalf of the Board,



Tyeab Akbarally
Chairman



M. Ehsan Zaheed
Director



Managers & Secretaries (Pvt) Ltd.
Secretaries

Amāna Takaful PLC

10th April 2015
Colombo

BOARD AUDIT AND COMPLIANCE COMMITTEE REPORT

COMPOSITION

The Audit Committee, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) four members of whom three (3), including the Chairman, are Independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve the annual external and internal audit plans; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transaction of the related party. In addition, the Committee also plays the role of a platform for the management to raise concerns on possible irregularities for investigation.

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	No. of Meetings Attended
1. Dato' Moh'd Fadzli Yusof - <i>Chairman</i> <i>Independent Non-Executive Director</i>	4 out of 4
2. M.H.M. Rafiq - <i>Independent Non-Executive Director</i>	3 out of 4
3. A.S.M. Muzzammil - <i>Independent Non-Executive Director</i>	4 out of 4
4. S.H.M. Giado - <i>Non-Independent Member</i>	2 out of 4

Mr. S.H.M Giado, Chief Internal Auditor, Amāna Bank PLC., is the member of this Committee. Agenda and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

The Chief Executive Officer (CEO), General Manager/CEO Family Takaful, General Manager Operations and Medical as well as General Manager Sale and Marketing were invited to be present at all meetings of the Committee during the period under review. The Senior Manager, Internal Audit Department also attended all meetings in the capacity of Secretary to the Audit Committee. Heads of Departments and other relevant members of Management are also invited to attend the meeting as and when required.

OBJECTIVES, DUTIES AND RESPONSIBILITIES

The key objectives of the Audit Committee are:

- To satisfy themselves that the good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standard and other relevant laws and regulations
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contact of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations
4. Ensure preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls and risk management processes.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

INTERNAL AUDIT

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserves including technical reserve, claims and underwriting as well as treasury matters. To ensure that key decisions and recommendations of the Committee are implemented efficiently, a process of follow-up programmes have been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

EXTERNAL AUDIT

The Committee reviewed the Management Letter and other recommendations submitted by the External Auditors, Ernst & Young and noted the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on issues related to new accounting standards and regulatory requirements.

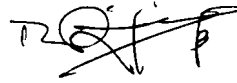
The Committee further made recommendations in relation to remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their auditing work.

PROVISION OF NON-AUDIT SERVICE

The Committee is responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

CONCLUSION

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliant with regulatory and statutory provisions. The Committee is also comfortable that the assets of the Company have been adequately safeguarded and the requirements of independence of both Internal and External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of Corporate Governance and Best Practices.



Dato' Mohd Fadzli Yusof

Chairman

Audit and Compliance Committee of the Board

10th April 2015
Colombo

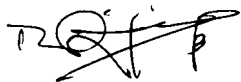
REPORT OF THE REMUNERATION COMMITTEE

The Remuneration Committee of the Board comprises of three (3) Non-Executive Directors, the majority of whom are Independent as shown hereunder:

- Dato' Mohd Fadzli Yusof – *Chairman (Independent Director)*
- Mr. M.H.M. Rafiq – *(Independent Director)*
- Dr. A.A.M. Haroon – *(Non-Executive Director)*

The Committee meets at least twice a year and the Chief Executive Officer is invited to attend all the meetings. The Head of Human Resource serves as the Secretary of the Committee and furnishes required information to the members in order to facilitate the decision-making process. Papers to be deliberated at the meeting are distributed in advance to all the members.

The Remuneration Committee is entrusted with the responsibility of maintaining reasonable and competitive remuneration in line with the financial performance of the Company. The Committee regularly reviews and compares the overall executive compensation programme, benchmarking against the industry, for the determination of the Board. It also recommends the emoluments for the Executive Director, the Chief Executive Officer and other senior officers of the management staff taking into cognisance the practice of the industry. In relation to this, the Remuneration Committee takes into consideration Key Result Areas that are linked to the performance of the individual officers concerned relative to the targets set. Independent Directors may not receive, directly or indirectly, any consulting, advisory or other compensatory fees from the Company.



Dato' Mohd Fadzli Yusof
Chairman – Remuneration Committee

25th February 2015
Colombo



REPORT OF THE SHARI'AH ADVISORY COUNCIL



Shari'ah Audit Report to the Shareholders of Amāna Takaful PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amāna Takaful PLC (the "Company") for the year ending 31st December 2014. We have also conducted our review to form an opinion as to whether the Company has complied with Shari'ah Rules and Principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

RESPONSIBILITIES

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful Operations, Financing Transactions, Contracts and Investments entered into by the Company with its clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

SCOPE OF AUDIT

The scope of our audit primarily involved the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also included interviewing staff, examining different activities conducted by the Company based on samples/documents. This included reviewing:

1. Draft Financial Statements
2. Underwriting of different types of policies
3. Claims
4. Co-insurance operations
5. Marketing material used
6. Review of Related Documentation
7. Retakaful and Reinsurance
8. Investments
9. Mandatory placement of funds with the Central Bank of Sri Lanka

OPINION

In our opinion and to the best of our information and belief and according to the explanations given to us:

- i. The Takaful Operations, Financial Transactions and General Operations undertaken by the Company during the year under review were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- ii. Muslim Shareholders are advised to disburse Zakaah on their shares as per the Islamic Laws of Zakaah. Management has been asked to calculate, in consultation with the Shari'ah Advisory Council, the Zakaah per share that is due by shareholders.

We seek Allah the Almighty to grant us all success and straightforwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M.I.M. Rizwe

Chairman - Shari'ah Advisory Council

Ash-Sheikh Fazil Farook

Member - Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar

Secretary - Shari'ah Advisory Council

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STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2014 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting, principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgments and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

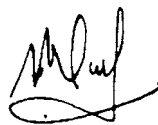
The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities which were due and payable by the Company as at the Reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this statement.

For and on behalf of the Board,



Tyeab Akbarally
Chairman

10th April 2015
Colombo, Sri Lanka

CERTIFICATE OF THE ACTUARY - FAMILY TAKAFUL (LIFE)

I, Zainal Abidin Mohd. Kassim, being the Actuary, to the best of my knowledge, certify the following:

- (a) that I have included each and every policy for which there is a policy liability in conducting the valuation of liabilities for the purposes of Section 48 of the Regulation of Insurance Industry Act No. 43 of 2000 and the Solvency Margin Rules;
- (b) that I have taken all reasonable steps to ensure the accuracy and completeness of the policies mentioned in item (a) above;
- (c) that I have complied with the provisions of the said Act in item (a) above;
- (d) that I have complied with provisions of the Solvency Margin (Long-Term Insurance) Rules, 2002 and guidance notes/guidelines prescribed by the Board thereunder in the determination of the net amount of liabilities;
- (e) that in my opinion the net liability so determined by me, in the Form H-LT - the valuation Balance Sheet, is adequate to meet the insurer's future commitments under the insurance contracts and the policyholders' reasonable expectations.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

Actuarial Partners Consulting Sdn. Bhd.
Suite 17.02, Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur
MALAYSIA

Tel: 603 2161 0433
Fax: 603 2161 3595
Kuala Lumpur
10th April 2015

CERTIFICATION OF INCURRED BUT NOT REPORTED (IBNR) CLAIMS AND LIABILITY ADEQUACY TEST (LAT)



To the shareholders of Amāna Takaful PLC

AMĀNA TAKAFUL PLC 31ST DECEMBER 2014 NET IBNR AND LAT CERTIFICATION

I hereby certify that the undiscounted Central Estimate of IBNR provision of Rs. 14,560,056/- inclusive of claim handling expenses is adequate in relation to the Claim Liability of Amāna Takaful PLC as at 31st December 2014, net of retakaful. This IBNR provision, together with the Case Reserves held by the Operator, is expected to be adequate to meet the future liabilities in respect of the Operator's reported claims obligations as at 31st December 2014, in many, but not all, scenarios of future experience.

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT is performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision of Rs. 432,704,165/- set by the Operator, net of retakaful is adequate in relation to the unexpired risks of Amāna Takaful PLC as at 31st December 2014, in many, but not all, scenarios of future experience. As such, there is no deficiency to be recognised by the Operator.

The results have been determined in accordance with internationally accepted actuarial principles.

I have relied upon information and data provided by the management of the above operator and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonability of the data.

A handwritten signature in black ink, appearing to read 'Matthew Maguire'.

Matthew Maguire

Fellow of the Institute of Actuaries of Australia (FIAA)

For and on behalf of NMG Consulting

Dated 17 March 2015

T: +65 6325 9855 F: +65 6325 4700 E: contact@NMG-Group.com
www.NMG-Group.com

NMG Financial Services Consulting Pte Ltd
Registration No: 199104459M
65 Chulia Street #37-07/08, OCBC Centre, Singapore 049513

INDEPENDENT AUDITORS' REPORT



Building a better
working world

Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

TO THE SHAREHOLDERS OF AMĀNA TAKAFUL PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Amāna Takaful PLC ("the Company"), the consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at 31 December 2014, and the statement of comprehensive income, statements of changes in equity and, statements of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information (set out on pages 90 to 154).

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain about amount evidence and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at 31 December 2014, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion and Scope and Limitations of the audit are as stated above.
- b) In our opinion:
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.
 - The financial statements of the Company give a true and fair view of the financial position as at 31 December 2014, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.
 - The financial statements of the Company and the Group, comply with the requirements of Section 151 and 153 of the Companies Act No. 07 of 2007.

As required by Section 47(2) of the regulation of Insurance Industry Act, No. 43 of 2000, we state that, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Board of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

10th April 2015
Colombo

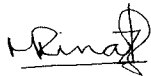
Partners: A D B Talwatte FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H Fernando FCA FCMA
W K B S P Fernando FCA FCMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya ACA ACMA

A member firm of Ernst & Young Global Limited

STATEMENT OF FINANCIAL POSITION

As at 31st December	Notes	Group		Company	
		2014 Rs.	2013 Rs. (Restated)	2014 Rs.	2013 Rs. (Restated)
Assets					
Intangible Assets	3	24,159,095	29,002,353	8,148,051	25,292,748
Property, Plant & Equipment	4	127,569,511	96,720,400	116,191,821	91,970,226
Improvements to Leasehold Buildings	5	–	297,513	–	297,513
Deferred Tax Assets	33	98,818,473	65,995,112	97,594,408	65,995,112
Investment Property	6	101,800,000	110,050,000	101,800,000	110,050,000
Investment in Subsidiary	7	–	–	157,125,000	37,125,000
Financial Assets	8	1,754,469,543	1,655,539,413	1,150,440,656	1,276,922,597
Investment in Gold		–	63,481,285	–	58,417,610
Retakaful (Reinsurance) Receivables		98,048,712	128,730,801	81,723,984	121,018,680
Contribution (Premium) Receivable	9	509,920,521	376,238,089	391,124,982	313,145,749
Other Assets	10	162,300,566	256,871,713	144,820,937	113,901,549
Other Assets - Unit Linked	11	34,401,147	2,376,250	34,401,147	2,376,250
Financial Assets - Unit Linked	12	603,171,340	351,189,315	603,171,340	351,189,315
Cash and Bank Balances	13	131,910,444	88,823,671	106,903,214	44,927,329
Cash and Bank Balances - Unit Linked	13	95,837,468	36,434,146	95,837,468	36,434,146
Total Assets		3,742,406,820	3,261,750,060	3,089,283,006	2,649,063,825
Liabilities					
Insurance Contract Liabilities - Non-Life	17	625,154,301	698,682,012	520,242,362	563,135,496
Insurance Contract Liabilities - Family Takaful Fund	18.1	551,210,935	550,219,560	551,210,935	550,219,560
Insurance Contract Liabilities - Family Takaful Unit Linked	18.2	730,798,810	380,957,619	730,798,810	380,957,619
Employee Benefits	19	26,847,116	19,448,708	24,685,007	18,375,643
Other Liabilities - Unit Linked	20	20,116,161	9,042,093	20,116,161	9,042,093
Other Liabilities	21	398,323,137	305,202,664	188,315,171	138,878,787
Murabaha Facility	22	–	362,372	–	362,372
Finance Lease Liability	23	14,546,379	4,806,629	14,546,379	4,806,629
Bank Overdrafts	13	4,271,030	–	–	–
Total Liabilities		2,371,267,870	1,968,721,657	2,049,914,825	1,665,778,200
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	14	1,250,000,900	1,250,000,900	1,250,000,900	1,250,000,900
Other Reserves	15	65,949,276	72,345,117	53,281,898	56,839,300
Accumulated Loss	16	(121,499,726)	(184,268,515)	(263,914,616)	(323,554,575)
		1,194,450,450	1,138,077,502	1,039,368,182	983,285,625
Non-Controlling Interest		176,688,500	154,950,901	–	–
Total Equity		1,371,138,950	1,293,028,403	1,039,368,182	983,285,625
Total Equity and Liabilities		3,742,406,820	3,261,750,060	3,089,283,006	2,649,063,825

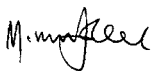
These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Rinaz Niyas

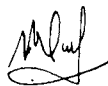
Senior Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board by,



M. Ehsan Zaheed

Director



Tyeab Akbarally

Chairman

The notes on pages 100 to 154 are an integral part of these Consolidated Financial Statements.

10th April 2015

Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31st December	Notes	Group		Company	
		2014 Rs.	2013 Rs. (Restated)	2014 Rs.	2013 Rs. (Restated)
Gross Written Contribution (Premium)	24	2,652,008,024	2,373,300,777	2,055,297,907	1,865,806,543
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(539,791,021)	(387,553,456)	(241,277,531)	(198,278,653)
Net Written Contribution (Premium)		2,112,217,003	1,985,747,321	1,814,020,376	1,667,527,890
Net Change in Reserve for Unearned Contribution (Premium)		(30,816,411)	(20,863,481)	(42,440,999)	(31,694,565)
Net Earned Contribution (Premium)		2,081,400,593	1,964,883,840	1,771,579,377	1,635,833,326
Other Revenue					
Income from Investments	25	256,938,932	156,235,898	275,557,333	152,859,885
Fair Value Gains and Losses		14,020,670	(15,334,565)	(1,868,352)	(15,334,565)
Other Income/(Loss)	26	31,792,218	43,123,123	6,434,482	11,116,323
Total Revenue	27	2,384,152,412	2,148,908,296	2,051,702,840	1,784,474,969
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	28	(895,860,854)	(929,339,716)	(801,081,229)	(774,435,297)
Acquisition Cost (Net of Reinsurance Commission)		(187,262,697)	(130,095,767)	(151,291,225)	(109,544,632)
Change in Family Takaful Contract Liability		(346,831,160)	(221,141,468)	(346,831,160)	(221,141,468)
Other Operating and Administration Expenses	29	(857,418,001)	(733,152,174)	(712,281,734)	(611,090,285)
Amortisations	30	(5,656,927)	(8,507,336)	(4,088,343)	(5,798,023)
Total Claims, Benefits and Expenses		(2,293,029,639)	(2,022,236,461)	(2,015,573,691)	(1,722,009,705)
Profit from Operations	31	91,122,774	126,671,836	36,129,149	62,465,264
Finance Cost	32	(4,693,506)	(15,374,018)	(2,421,172)	(970,816)
Profit/(Loss) Before Taxation		86,429,267	111,297,817	33,707,976	61,494,448
Income Tax	33	16,581,602	46,559,601	30,012,448	55,551,653
Profit for the Year		103,010,870	157,857,418	63,720,424	117,046,101
Profit Attributable to:					
Equity Holders of the Parent		67,692,778	133,655,831		
Non-Controlling Interest		35,318,091	24,201,587		
		103,010,870	157,857,418		
Basic, Diluted Earnings Per Share	34	0.07	0.13	0.06	0.12
Profit for the Year		103,010,870	157,857,418	63,720,424	117,046,101
Other Comprehensive Income					
Items that will Never be Reclassified to Profit or Loss					
Defined Benefit Plan Actuarial Losses	19.1	(4,923,991)	(1,040,478)	(4,080,468)	(788,352)
		(4,923,991)	(1,040,478)	(4,080,468)	(788,352)
Items that are or may be Reclassified to Profit or Loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		(11,409,608)	33,656,061	1,868,352	33,656,061
Net Change in Fair Value of Available-for-Sale Financial Assets Reclassified to Profit or Loss		(21,395,206)	16,588,411	(21,395,206)	—
Foreign Currency Translation Differences for Foreign Operations		6,875,116	(553,633)	—	—
		(25,929,698)	49,690,839	(19,526,854)	33,656,061
Other Comprehensive Income, Net of Tax		(30,853,688)	48,650,361	(23,607,321)	32,867,709
Total Comprehensive Income for the Year		72,157,182	206,507,779	40,113,103	149,913,810
Total Comprehensive Income attributable to:					
Equity Holders of the Parent		40,403,496	182,555,327		
Non-Controlling Interest		31,753,685	23,952,452		
		72,157,182	206,507,779		

The notes on pages 100 to 154 are an integral part of these Consolidated Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31st December 2014	Stated Capital	Other Reserves				Accumulated Loss	Non-Controlling Interest	Total
	Rs.	Revaluation Reserve	Translation Reserve	Available-for-Sale Reserve	Prepaid Share Reserve	Rs.	Rs.	Rs.
Group								
Adjusted Balance as at 1st January 2013	1,250,000,900	30,140,162	15,810,315	(16,588,411)	–	(323,840,793)	142,343,285	1,097,865,458
Net Profit for the Year	–	–	–	–	–	133,655,833	24,201,587	157,857,420
Life Policy Holders	–	–	–	–	–	6,944,832	–	6,944,832
Other Comprehensive Income								
Net Change in Fair Value of Available-for-Sale Financial Assets	–	–	–	26,711,229	–	–	–	26,711,229
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Profit or Loss	–	–	–	16,588,411	–	–	–	16,588,411
Foreign Currency Translation Differences for Foreign Operations	–	–	(304,498)	–	–	–	(249,135)	(553,633)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	–	–	–	–	–	(1,040,478)	–	(1,040,478)
Total Comprehensive Income	–	–	(304,498)	43,299,640	–	139,560,187	23,952,452	206,507,780
Dividend Paid	–	–	–	–	–	–	(11,344,835)	(11,344,835)
Transfer of Revaluation Reserve on Disposal	–	(12,091)	–	–	–	12,091	–	–
Balance as at 31st December 2013	1,250,000,900	30,128,071	15,505,816	26,711,229	–	(184,268,515)	154,950,901	1,293,028,404
Net Profit for the period	–	–	–	–	–	67,692,779	35,318,091	103,010,870
Other Comprehensive Income								
Net Change in Fair Value of Available-for-Sale Financial Assets Net of Deferred Tax	–	–	–	(4,751,400)	–	–	(6,658,208)	(11,409,608)
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Profit or Loss	–	–	–	(21,395,206)	–	–	–	(21,395,206)
Foreign Currency Translation Differences for Foreign Operations	–	–	3,781,314	–	–	–	3,093,802	6,875,116
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	–	–	–	–	–	(4,923,991)	–	(4,923,991)
Total Comprehensive Income	–	–	3,781,314	(26,146,605)	–	62,768,789	31,753,685	72,157,182
Dividend Paid	–	–	–	–	–	–	(10,016,086)	(10,016,086)
Advance Received for the Ordinary Shares to be Issued	–	–	–	–	15,969,452	–	–	15,969,452
Balance as at 31st December 2014	1,250,000,900	30,128,071	19,287,130	564,624	15,969,452	(121,499,726)	176,688,500	1,371,138,950

Year ended 31st December 2014	Stated Capital	Other Reserves			Accumulated Loss	Total
	Rs.	Revaluation Reserve	Available-for-Sale Reserve	Prepaid Share Reserve	Rs.	Rs.
Company						
Adjusted Balance as at 1st January 2013		1,250,000,900	30,140,162	–	–	833,371,815
Total Other Comprehensive Income						
Net Profit for the Year		–	–	–	–	117,046,101
Life Policy Holders		–	–	–	–	6,944,832
Other Comprehensive Income						
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax		–	–	–	–	(788,352)
Net Change in Fair Value of Available-for-Sale Financial Assets		–	–	26,711,229	–	26,711,229
Total Comprehensive Income		–	–	26,711,229	–	123,202,581
Transfer of Revaluation Reserve on Disposal		–	(12,091)	–	–	–
Balance as at 31st December 2013		1,250,000,900	30,128,071	26,711,229	–	983,285,625
Net Profit for the period		–	–	–	–	63,720,424
Other Comprehensive Income						
Net Change in Fair Value of Available-for-Sale Financial Assets Net of Deferred Tax		–	–	1,868,352	–	1,868,352
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Profit or Loss		–	–	(21,395,206)	–	(21,395,206)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax		–	–	–	–	(4,080,467)
Total Comprehensive Income		–	–	(19,526,854)	–	59,639,957
Advance Received for the Ordinary Shares to be Issued		–	–	–	15,969,452	15,969,452
Balance as at 31st December 2014		1,250,000,900	30,128,071	7,184,375	15,969,452	1,039,368,182

The notes on pages 100 to 154 are an integral part of these Consolidated Financial Statements.

STATEMENT OF CASH FLOW

Year ended 31st December	Notes	Group		Company	
		2014	2013	2014	2013
		Rs.	Rs.	Rs.	Rs.
Cash Flows from/(used in) Operating Activities					
Contribution (Premium) Received from Participants		2,520,210,757	2,284,832,192	1,979,203,840	1,795,138,977
Retakaful (Reinsurance) Premium Paid		(478,904,869)	(392,403,469)	(227,233,578)	(203,492,676)
Claims, Benefits and Expenses Paid		(1,387,134,386)	(1,094,466,810)	(1,205,430,460)	(969,057,967)
Retakaful (Reinsurance) Receipts in Respect of Claims		243,053,072	44,094,620	203,599,152	50,914,027
Cash Paid to and on Behalf of Employees		(329,295,889)	(290,775,809)	(261,528,649)	(227,034,108)
Profits Received from Investments and Other Income		216,513,299	202,817,738	191,657,874	148,929,079
Dividends Received		7,828,596	20,428,039	37,544,048	28,659,800
Finance Cost Paid	32	(4,693,506)	(15,374,018)	(2,421,172)	(970,816)
Other Operating Cash Payments		(393,116,102)	(398,448,392)	(444,690,176)	(356,843,760)
Cash Flow from/(used in) Operating Activities (Note A)		394,460,973	360,704,090	270,700,880	266,242,558
Gratuity Paid		(4,529,235)	(2,807,550)	(4,529,235)	(2,807,550)
Net Cash Flow from/(used in) Operating Activities		389,931,738	357,896,540	266,171,645	263,435,008
Cash Flows from/(used in) Investing Activities					
Net Disposal/(Purchase) of Investment Securities		23,595,104	(315,160,512)	132,288,543	(370,656,583)
Purchase of Intangible Assets		(516,156)	(5,599,425)	(366,156)	(5,573,083)
Purchase of Property, Plant & Equipment		(47,498,293)	(34,426,024)	(44,114,031)	(31,721,422)
Disposal of Property, Plant & Equipment		25,369	2,745,409	–	2,767,809
Disposal Investment Property		12,842,903	750,000	12,789,750	750,000
Disposal/(Purchase) of Subsidiaries		–	57,743,292	–	–
Net Cash Flows from/(used in) Investing Activities		(11,551,073)	(293,947,260)	100,598,107	(404,433,278)
Cash Flows from/(used in) Financing Activities					
Repayment of Extended Murabaha Facility		(362,372)	(1,270,637)	(362,372)	(1,270,637)
Repayment of Lease Facility		(2,540,489)	(1,222,364)	(2,540,489)	(1,222,364)
Repayment of Short-Term Borrowings		–	(198,750,000)	–	–
Dividend Paid		(10,016,086)	(11,344,835)	–	–
Advance Received from Rights Issue		15,969,452	–	15,969,452	–
Net Cash Flows from/(used in) Financing Activities		3,050,505	(212,587,837)	13,066,592	(2,493,001)
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		381,431,170	(148,638,556)	379,836,343	(143,491,271)

Year ended 31st December	Notes	Group		Company	
		2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
NOTE A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit from Operations		91,122,774	126,671,836	36,129,149	62,465,264
Depreciation	29	29,087,542	20,026,101	26,073,748	17,875,098
Amortisations		5,656,927	6,928,500	4,088,343	5,798,023
Provision for Gratuity		5,416,804	5,372,433	5,171,283	4,551,494
Unrealised (Income)/Losses		(46,617,706)	60,288,225	(44,487,058)	50,014,140
(Increase)/Decrease in Debtors and Other Assets		(25,270,668)	(394,931,157)	(85,684,913)	(187,334,095)
Reversal of Provision for Doubtful Debts		(1,885,166)	(2,000,000)	(1,885,166)	(2,000,000)
Increase in Family Takaful (Long-Term Insurance) Fund		346,831,160	221,141,468	346,831,160	221,141,468
Increase in Net Unearned Contribution (Premium)		30,816,411	21,225,527	42,440,999	31,694,565
Increase/(Decrease) in IBNR & General Reserve Provision		12,862,671	(32,043,356)	24,273,213	(25,210,739)
Increase/(Decrease) in Claims Provision		(120,752,919)	105,453,537	(118,904,202)	66,912,166
Increase in Creditors		93,374,757	239,880,146	60,510,452	24,051,398
Profit on Sale of Property, Plant & Equipment		(92,903)	(2,745,408)	(39,750)	(2,745,409)
Finance Cost	32	(4,693,506)	(15,374,018)	(2,421,172)	(970,816)
Profit on Disposal of Subsidiary		–	(15,778,155)	–	–
Recycling of Available-for-Sale fair value losses of Investments		(21,395,206)	16,588,411	(21,395,206)	–
Cash Flows from/(used in) Operating Activities		394,460,973	360,704,090	270,700,880	266,242,558
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash and Cash Equivalents at the end of the Year	13.1	518,269,611	136,838,441	472,778,442	92,942,099
Cash and Cash Equivalents at the beginning of the Year		136,838,441	285,476,997	92,942,099	236,433,370
Increase/(Decrease) in Cash and Cash Equivalents		381,431,170	(148,638,556)	379,836,343	(143,491,271)

The notes on pages 100 to 154 are an integral part of these Consolidated Financial Statements.

SEGMENTAL ANALYSIS - STATEMENT OF FINANCIAL POSITION

As at 31st December 2014	Family Takaful Fund Rs.	General Takaful Fund Rs.	Shareholders' Fund Rs.	Asset/Investment Management Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	–	13,375,127	19,824,923	162,069	(9,203,024)	24,159,095
Property, Plant & Equipment	–	3,620,734	121,966,994	1,981,784	–	127,569,511
Improvements to Leasehold Buildings	–	–	–	–	–	–
Deferred Tax Asset	–	1,224,065	97,594,408	–	–	98,818,473
Investment Property	43,683,332	45,450,000	12,666,668	–	–	101,800,000
Financial Assets	590,098,533	773,471,722	385,476,501	5,422,786	–	1,754,469,543
Investment in Gold	–	–	–	–	–	–
Retakaful (Reinsurance) Receivables	313,733	97,734,979	–	–	–	98,048,712
Contribution (Premium) Receivable	29,941,781	479,978,740	–	–	–	509,920,521
Other Assets	19,771,455	35,476,297	118,820,410	21,773,171	(33,540,766)	162,300,566
Other Assets - Unit Linked	34,401,147	–	–	–	–	34,401,147
Financial Assets - Unit Linked	603,171,340	–	–	–	–	603,171,340
Investment in Subsidiary	–	–	157,125,000	59,704,780	(216,829,780)	–
Inter Fund Receivable	–	20,806,403	72,601,762	–	(93,408,165)	–
Management Fee Receivable	–	–	127,701,225	–	(127,701,225)	–
Cash and Bank Balances	14,585,065	84,758,489	32,192,075	374,815	–	131,910,444
Cash and Bank Balances - Unit Linked	95,837,468	–	–	–	–	95,837,468
Total Assets	1,431,803,854	1,555,896,557	1,145,969,966	89,419,404	(480,682,960)	3,742,406,820
Liabilities						
Insurance Contract Liabilities - Non-Life	–	625,154,301	–	–	–	625,154,301
Insurance Contract Liabilities - Family Takaful Fund	551,210,935	–	–	–	–	551,210,935
Insurance Contract Liabilities - Family Takaful - Unit Linked	730,798,810	–	–	–	–	730,798,810
Employee Benefits	–	–	24,685,007	2,162,109	–	26,847,116
Deferred Tax Liability	–	–	–	–	–	–
Other Liabilities - Unit Linked	20,116,161	–	–	–	–	20,116,161
Short-Term Borrowings	–	–	–	–	–	–
Other Liabilities	23,129,146	306,728,108	66,063,185	45,943,463	(43,540,765)	398,323,137
Murabaha Facility	–	–	–	–	–	–
Finance Lease Liability	–	–	14,546,379	–	–	14,546,379
Bank Overdrafts	–	–	–	4,271,030	–	4,271,030
Inter Fund Payable	87,454,742	5,953,424	–	–	(93,408,165)	–
Management Fee Payable	19,094,060	108,607,165	–	–	(127,701,225)	–
Total Liabilities	1,431,803,854	1,046,442,998	105,294,572	52,376,603	(264,650,156)	2,371,267,870
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	–	202,370,719	1,370,000,900	37,125,000	(359,495,719)	1,250,000,900
Other Reserves	–	25,923,979	49,018,157	–	(8,992,861)	65,949,276
Accumulated Loss	–	281,158,861	(378,343,662)	(82,199)	(24,232,725)	(121,499,725)
	–	509,453,560	1,040,675,395	37,042,801	(392,721,305)	1,194,450,450
Non-Controlling Interest	–	–	–	–	176,688,500	176,688,500
Total Equity	–	509,453,560	1,040,675,395	37,042,801	(216,032,805)	1,371,138,950
Total Equity and Liabilities	1,431,803,854	1,555,896,557	1,145,969,966	89,419,404	(480,682,960)	3,742,406,820

As at 31st December 2013	Family Takaful Rs.	General Takaful Rs.	Shareholders' Fund Rs.	Asset/Investment Management Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	–	16,438,560	23,252,409	76,909	(10,765,524)	29,002,353
Property, Plant & Equipment	–	3,916,637	91,559,392	1,244,370	–	96,720,400
Improvements to Leasehold Buildings	–	–	297,513	–	–	297,513
Deferred Tax Asset	–	–	65,995,112	–	–	65,995,112
Investment Property	42,612,686	54,900,000	12,537,314	–	–	110,050,000
Financial Assets	506,956,405	653,358,455	458,559,753	36,664,799	–	1,655,539,413
Investment in Gold	29,295,000	10,621,225	23,565,060	–	–	63,481,285
Retakaful (Reinsurance) Receivables	53,601	128,677,200	–	–	–	128,730,801
Contribution (Premium) Receivable	22,167,472	354,070,617	–	–	–	376,238,089
Other Assets	7,871,727	125,585,851	102,356,285	21,216,162	(158,313)	256,871,713
Other Assets - Unit Linked	2,376,250	–	–	–	–	2,376,250
Financial Assets - Unit Linked	351,189,315	–	–	–	–	351,189,315
Investment in Subsidiary	–	–	37,125,000	59,704,780	(96,829,780)	–
Inter Fund Receivable	–	4,944,005	73,697,444	–	(78,641,448)	–
Management Fee Receivable	–	–	65,629,428	–	(65,629,428)	–
Cash and Bank Balances	7,898,862	69,878,622	10,979,833	66,353	–	88,823,671
Cash and Bank Balances - Unit Linked	36,434,146	–	–	–	–	36,434,146
Total Assets	1,006,855,466	1,422,391,171	965,554,543	118,973,374	(252,024,493)	3,261,750,060
Liabilities						
Insurance Contract Liabilities - Non-Life	–	698,682,012	–	–	–	698,682,012
Insurance Contract Liabilities - Family Takaful Fund	550,219,560	–	–	–	–	550,219,560
Insurance Contract Liabilities - Family Takaful - Unit Linked	380,957,619	–	–	–	–	380,957,619
Employee Benefits	–	–	18,375,643	1,073,065	–	19,448,708
Other Liabilities - Unit Linked	9,042,093	–	–	–	–	9,042,093
Short-Term Borrowings	–	–	–	–	–	–
Other Liabilities	22,383,115	196,387,491	44,186,228	42,404,144	(158,313)	305,202,664
Murabaha Facility	–	–	362,372	–	–	362,372
Finance Lease Liability	–	–	4,806,629	–	–	4,806,629
Inter Fund Payable	39,989,668	38,651,780	–	–	(78,641,448)	–
Management Fee Payable	4,263,411	61,366,017	–	–	(65,629,428)	–
Total Liabilities	1,006,855,466	995,087,300	67,730,873	43,477,209	(144,429,189)	1,968,721,657
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	–	202,370,719	1,250,000,900	37,125,000	(239,495,719)	1,250,000,900
Other Reserves	–	7,885,882	64,459,235	–	–	72,345,117
Accumulated Loss	–	217,047,270	(416,636,465)	38,371,165	(23,050,486)	(184,268,515)
	–	427,303,871	897,823,670	75,496,165	(262,546,205)	1,138,077,502
Non-Controlling Interest	–	–	–	–	154,950,901	154,950,901
Total Equity	–	427,303,871	897,823,670	75,496,165	(107,595,304)	1,293,028,403
Total Equity and Liabilities	1,006,855,466	1,422,391,171	965,554,543	118,973,374	(252,024,493)	3,261,750,060

SEGMENTAL ANALYSIS - STATEMENT OF COMPREHENSIVE INCOME

Year ended 31st December 2014	Family Takaful Rs.	General Takaful Rs.	Shareholders' Fund Rs.	Asset/ Investment Management Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	679,028,925	1,972,979,099	–	–	–	2,652,008,024
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(9,777,999)	(530,013,022)	–	–	–	(539,791,021)
Net Written Contribution (Premium)	669,250,926	1,442,966,078	–	–	–	2,112,217,003
Add: Unearned Takaful Contribution (Premium) at the beginning of the Year	2,597,313	473,354,225	–	–	–	475,951,538
Less: Unearned Takaful Contribution (Premium) at the end of the Year	(6,598,719)	(500,169,230)	–	–	–	(506,767,949)
Net Earned Contribution (Premium)	665,249,520	1,416,151,072	–	–	–	2,081,400,593
Other Income						
Management Fee from Contribution (Premium) - Others	(104,727,837)	(349,727,888)	454,455,724	–	–	–
Management Fee from Investment Income	(32,083,164)	(11,331,827)	43,414,992	–	–	–
Income from Investments	136,988,375	38,973,579	105,595,736	17,623,125	(42,241,883)	256,938,932
Fair Value Gains and Losses	–	15,538,075	(1,517,406)	–	–	14,020,670
Other Operating Income	–	22,446,949	15,791,742	13,286,504	(19,732,977)	31,792,218
Total Revenue	665,426,894	1,132,049,961	617,740,789	30,909,629	(61,974,860)	2,384,152,413
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits - Net	(161,237,744)	(734,623,109)	–	–	–	(895,860,854)
Acquisition Cost (Net of Reinsurance Commission)	(6,467,603)	10,039,670	(190,834,763)	–	–	(187,262,697)
Increase in Family Takaful (Long-Term Insurance) Fund	(346,831,160)	–	–	–	–	(346,831,160)
Management Fee from Contribution (Premium) - comprising Acquisition Cost	(67,243,087)	(123,591,676)	190,834,763	–	–	–
Profit/(Loss) from Operations	83,647,300	283,874,845	617,740,789	30,909,629	(61,974,860)	954,197,702
Less: Indirect Expenses						
Other Operating, Investment Related and Administration Expenses	(83,647,300)	(150,616,628)	(588,340,529)	(25,458,980)	19,732,977	(828,330,459)
Amortisations	–	(3,218,418)	(3,936,154)	(64,855)	1,562,500	(5,656,927)
Depreciation	–	(2,176,312)	(26,187,931)	(723,299)	–	(29,087,542)
Finance Cost	–	–	(2,421,172)	(2,272,334)	–	(4,693,506)
Profit/(Loss) before Taxation	–	127,863,488	(3,144,998)	2,390,161	(40,679,383)	86,429,267
Income Tax	–	(13,430,846)	30,012,448	–	–	16,581,602
Profit/(Loss) for the Year	–	114,432,642	26,867,450	2,390,161	(40,679,383)	103,010,870

Year ended 31st December 2013	Family Takaful Rs.	General Takaful Rs.	Shareholders' Fund Rs.	Asset/ Investment Management Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	542,986,162	1,830,314,615	–	–	–	2,373,300,777
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(11,333,576)	(376,219,879)	–	–	–	(387,553,456)
Net Written Contribution (Premium)	531,652,586	1,454,094,735	–	–	–	1,985,747,321
Add: Unearned Takaful Contribution (Premium) at the beginning of the Year	8,907,519	445,761,107	–	–	–	454,668,626
Less: Unearned Takaful Contribution (Premium) at the end of the Year	(2,597,313)	(472,934,794)	–	–	–	(475,532,107)
Net Earned Contribution (Premium)	537,962,792	1,426,921,048	–	–	–	1,964,883,840
Other Income						
Management Fee from Contribution (Premium) - Others	(92,731,782)	(362,447,866)	455,179,648	–	–	–
Management Fee from Investment Income	(24,898,522)	(6,688,295)	31,586,817	–	–	–
Income from Investments	72,510,943	30,161,640	53,192,389	52,968,885	(52,597,959)	156,235,898
Fair Value Gains and Losses	(6,944,832)	(2,772,508)	(5,617,225)	–	–	(15,334,565)
Other Operating Income	–	23,780,190	16,116,540	21,479,731	(18,253,338)	43,123,123
Total Revenue	485,898,599	1,108,954,210	550,458,170	74,448,616	(70,851,297)	2,148,908,296
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits - net	(179,545,260)	(749,794,456)	–	–	–	(929,339,716)
Acquisition Cost (Net of Reinsurance Commission)	(9,297,643)	24,863,694	(145,661,818)	–	–	(130,095,767)
Increase in Family Takaful (Long-Term Insurance) Fund	(221,141,468)	–	–	–	–	(221,141,468)
Management Fee from Contribution (Premium) - Comprising Acquisition Cost	(38,442,940)	(107,218,878)	145,661,818	–	–	–
Profit/(Loss) from Operations	37,471,289	276,804,569	550,458,170	74,448,616	(70,851,297)	868,331,345
Less: Indirect Expenses						
Other Operating, Investment Related and Administration Expenses	(44,416,121)	(133,002,740)	(534,356,018)	(19,309,114)	18,253,338	(712,830,656)
Amortisations	–	(3,631,755)	(4,875,581)	–	–	(8,507,336)
Depreciation	–	(1,970,482)	(17,431,510)	(919,526)	–	(20,321,518)
Finance Cost	–	–	(970,816)	(14,403,202)	–	(15,374,018)
Profit/(Loss) Before Taxation	(6,944,832)	138,199,592	(7,175,756)	39,816,774	(52,597,959)	111,297,817
Income Tax	–	(8,803,251)	55,551,654	(188,801)	–	46,559,601
Profit/(Loss) for the Year	(6,944,832)	129,396,340	48,375,898	39,627,972	(52,597,959)	157,857,418

STATEMENT OF FINANCIAL POSITION - LONG-TERM INSURANCE (FAMILY TAKAFUL) FUND - SUPPLEMENTAL

As at 31st December	2014 Rs.	2013 Rs.
Assets		
Investment Property	43,683,332	42,612,686
Financial Assets	590,098,533	506,956,405
Investment in Gold	–	29,295,000
Retakaful Receivable	313,733	53,601
Contribution (Premium) Receivable	29,941,781	22,167,472
Other Assets	19,771,455	7,871,727
Other Assets - Unit Linked	34,401,147	2,376,250
Financial Assets - Unit Linked	603,171,340	351,189,315
Cash and Bank Balances	14,585,065	7,898,862
Cash and Bank Balances - Unit Linked	95,837,468	36,434,146
Total Assets	1,431,803,854	1,006,855,466
Liabilities		
Insurance Contract Liability - Family Takaful Fund	551,210,935	550,219,560
Insurance Contract Liability - Family Takaful Linked - Unit Linked	730,798,810	380,957,619
Inter Fund Payables	87,454,742	39,989,668
Retakaful (Reinsurance) Payable	7,560,493	7,554,880
Management Fee Payable	19,094,060	4,263,411
Other Liabilities	15,568,653	14,828,235
Other Liabilities - Unit Linked	20,116,161	9,042,093
Total Liabilities	1,431,803,854	1,006,855,466

The above Family Takaful (Long-Term Insurance) Statement of Financial Position is to be read in conjunction with the Statement of Financial Position on page 90 Accounting Policies and Notes to the Financial Statements on pages 100 through 154.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 GENERAL

Amāna Takaful PLC ('Company') is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 - 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These Consolidated Financial Statements comprise the Company and its Subsidiaries (collectively the 'Group' and individually 'Group companies').

1.2 PRINCIPAL ACTIVITIES AND NATURE OF OPERATIONS

Company

During the year, the principal activities of the Company were Family (Life) Insurance and General Takaful Insurance Businesses.

Subsidiary

The principal activity of Amāna Global Ltd. (100% stake) is providing services such as Technical Support, Research and Development, Administration, Business Planning and Co-ordination, Financial and Treasury Management, Marketing and Sales Promotion, Sourcing of Raw Material and Components under Section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amāna Takaful (Maldives) PLC, which is a subsidiary (55% stake) of Amāna Global Ltd. was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 4th March 2010 to carry out General Takaful Business.

Amāna Takaful Life Ltd. (100% stake), incorporated on 10th July 2014 in order to transfer the Family Takaful business w.e.f. 1st January 2015 in line with the requirement to segregate Life and General Insurance business as required by the RII (Amendment) Act No. 03 of 2011.

1.3 DATE OF AUTHORISATION FOR ISSUE

The Financial Statements of Amāna Takaful PLC for the year ended 31st December 2014 was authorised for issue by the Board of Directors on 10th April 2015.

1.4 RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Board of Directors is responsible for preparation and presentation of these Financial Statements.

2.1 BASIS OF PREPARATION

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Family Takaful (Life Insurance) Fund Statement of Financial Position represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amāna Global Ltd., Amāna Takaful (Maldives) PLC and Amāna Takaful Life Ltd.

The Group's Statement of Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses. The results of Amāna Global Ltd., Amāna Takaful (Maldives) PLC and Amāna Takaful Life Ltd., are also included in the Group's Statement of Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liability simultaneously.

2.1 STATEMENT OF COMPLIANCE

The Consolidated Statement of Financial Position, the Consolidated Statement of Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, ('Financial Statements') as at 31st December 2014 and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (SLAS) (hereinafter referred to as SLFRS/LKAS) as issued by The Institute of Chartered Accountants of Sri Lanka and comply with the requirements of the Companies Act No. 07 of 2007, the Regulation of Insurance Industry Act No. 43 of 2000 and the Listing Rules of the Colombo Stock Exchange.

2.2 BASIS OF MEASUREMENT

The Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles in Property, Plant & Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognised at the present value

The Group presents its Statement of Financial Position broadly in order of liquidity.

2.3 FUNCTIONAL AND PRESENTATION CURRENCY

These Consolidated Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 USE OF ESTIMATES AND JUDGMENTS

In the process of applying the Group accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognised in the Financial Statements. Further management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below:

2.4.1 Assumptions and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31st December 2014 is included in the following notes:

Note 6 - Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr. M.M.M. Saleem (GMIV, DIV Sri Lanka) and Mr. P.P.T. Mohideen (FIV, MRICS). The fair value is determined taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provision and General Insurance Provisions were carried out by Mr. Zainal Abidin Mohd Kassim (BSC, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and NMG Consulting respectively.

(i) Note 17 - General Insurance Provision

Non-life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and

settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the contract expires, is discharged or is cancelled.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally the reserve is released over the term of the contract and is recognised as premium income. At each reporting date the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 18 - Long-Term Insurance Provision - (Family Takaful Fund)

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 18.2 to the Financial Statements.

Note 19 - Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

Note 33.2 - Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

Note 8 - Fair Value of Financial Instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish their fair values.

Note 39 - Provisions for Liabilities and Contingencies

The Group receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits.

Timing and cost ultimately depend on the due process in respective legal jurisdictions.

2.5 MEASUREMENT OF FAIR VALUES

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 4.2.6 - Property, Plant & Equipment
- Note 6.2 - Investment Property
- Note 8 and 12 - Financial Instruments

2.6 SEGMENT REPORTING

A segment is a distinguishable component of the Group engaged in providing services subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund Management Services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and the Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 GOING CONCERN

These Financial Statements are presented on the assumption that the Group is a going concern. The Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend to liquidate.

2.8 CHANGES IN ACCOUNTING POLICIES

Except for the changes below, the Group has consistently applied the accounting policies set out in Note 2.9 to all periods presented in these Consolidated Financial Statements.

The Group has adopted the following new standards and amendments to standards, including any consequential amendments to other standards, with a date of initial application of 1st January 2014.

- SLFRS 10 - Consolidated Financial Statements
- SLFRS 12 - Disclosure of Interests in Other Entities
- SLFRS 13 - Fair Value Measurement
- Presentation of Items of Other Comprehensive Income (Amendments to LKAS 1)

The nature and effects of the changes are explained below:

Subsidiaries

As a result of SLFRS 10, the Group has changed its accounting policy for determining whether it has control over and consequently whether it consolidates its investees. SLFRS 10 introduces a new control model that focuses on whether the Group has power over an investee, exposure or rights to variable returns from its involvement with the investee and ability to use its power to affect those

returns. In accordance with the transitional provisions of SLFRS 10, the Group reassessed the control conclusion for its investees at 1st January 2014. However, there were no changes to the control conclusion for the Group from this assessment.

Disclosure of Interests in Other Entities

As a result of SLFRS 12, the Group has expanded its disclosures about its interests in subsidiaries (Refer Note 37).

Fair Value Measurement

SLFRS 13 establishes a single framework for measuring fair value and making disclosures about fair value measurements when such measurements are required or permitted by other SLFRSs.

It unifies the definition of fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

It replaces and expands the disclosure requirements about fair value measurements in other SLFRSs, including SLFRS 7. As a result, the Group has included additional disclosures in this regard (Notes 6, 8 and 12).

In accordance with the transitional provisions of SLFRS 13, the Group has applied the new fair value measurement guidance prospectively and has not provided any comparative information for new disclosures. Notwithstanding the above, the change had no significant impact on the measurements of the Group's assets and liabilities.

Presentation of Items of Other Comprehensive Income (OCI)

As a result of the amendments to LKAS 1, the Group has modified the presentation of items of OCI in its Statement of Profit or Loss and OCI, to present separately items that would be reclassified to Profit or Loss from those that would never be. Comparative information has been represented accordingly.

2.9 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Except for the changes explained in Note 2.8 above, the Group has consistently applied the following accounting policies to all periods presented in these Consolidated Financial Statements.

Certain comparative amounts in the Statement of Profit or Loss and OCI have been reclassified or re-represented, as a result of a change in the accounting policy regarding the presentation of items of OCI.

2.9.1 Basis of Consolidation

Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group (see 4.1.3). The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in Profit or Loss immediately. Transaction

costs are expensed as incurred, except if related to the Issue of Debt or Equity Securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in Profit or Loss.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in Profit or Loss.

Non-Controlling Interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Financial Statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

Loss of Control

When the Group loses control over a subsidiary, it derecognises the Assets and Liabilities of the subsidiary and any related NCI and other components of equity. Any resulting gain or loss is recognised in Profit or Loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

Transactions Eliminated on Consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions are eliminated.

2.9.2 Foreign Currency

Foreign Currency Transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate of the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in Profit or Loss.

However, foreign currency differences arising from the translation of Available-for-Sale Equity Investments (except on impairment, in which case foreign currency differences that have been recognised in OCI are reclassified to Profit or Loss); are recognised in OCI.

Foreign Operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates of the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognised in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to Profit or Loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form part of the net investment in the foreign operation. Accordingly, such differences are recognised in OCI and accumulated in the translation reserve.

2.9.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in Profit or Loss except to the extent that it relates to a business combination or items recognised directly in equity or in OCI.

Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto.

Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences. Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry-forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

2.9.4 Intangible Assets

Goodwill

Goodwill arising on the acquisition of subsidiaries is measured at the acquisition date as:

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less
- the net recognised amount (fair value) of the identifiable assets acquired and liabilities assumed.

Subsequently, Goodwill is measured at cost less accumulated impairment losses.

Goodwill is reviewed for impairment, annually or more frequently if event or changes in circumstances indicate that the carrying value may be impaired.

Research and Development

Expenditure on development activities is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is recognised in the Statement of Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognised.

Research and other development expenditure is recognised in the Statement of Comprehensive Income in the year it is incurred.

Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation Method
Computer software	8-20 years	Straight-line method

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Comprehensive Income when the asset is derecognised.

2.9.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

2.9.6 Salvage Stock

Salvage Stocks are valued at since realised/realisable value.

2.9.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk in the normal course of business for all its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Comprehensive Income.

2.9.8 Other Assets and Receivables

Other assets and receivables are stated at their estimated realisable value.

2.9.9 Property, Plant & Equipment

Cost

The Property, Plant & Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant & Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant & Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Company has revalued its entire class of motor vehicles as at 31st December 2013 and has carried it at the revalued amount in the Statement of Financial Position. The motor vehicles are revalued every three years on a roll-over basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of Property, Plant & Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Comprehensive Income in the year the asset is de-recognised.

Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant & Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised as an expense when incurred.

Depreciation

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant & Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant & Equipment are as follows:

Class	Amortisation Method
Motor Vehicles	04-05 Years
Computer Equipment	03-05 Years
Other Equipment	04-05 Years
Furniture and Fittings	05-10 Years
Leasehold Vehicles	04-05 Years

The Group provides depreciation from the date the assets are available for use up to the date of disposal.

2.9.10 Leases

Finance Leases - where the Group is the Lessee

Property, Plant & Equipment on finance leases, which effectively transfer to the Group substantially all of the risk and benefits incidental to ownership of the leased item are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Capitalised leased assets are disclosed as Property, Plant & Equipment and depreciated consistently with that of owned assets as described under Property, Plant & Equipment.

The corresponding principal amount payable to the lessor together with the finance cost payable over the period of the lease is shown as a liability. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant periodic rate of finance cost on the remaining balance of the liability.

The cost of improvements to or on leasehold property is capitalised, disclosed as leasehold improvements and depreciated over the unexpired period of the lease or the estimated useful lives of the improvements, whichever is shorter.

Operating Leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership over the leased term are classified as operating leases.

Lease payments (excluding costs for services such as insurance and maintenance) paid under operating leases are recognised as an expense in the Statement of Comprehensive Income on a straight-line basis over the lease term.

2.10 FINANCIAL INSTRUMENTS

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value Through Profit or Loss, Loans and Receivables and Available-for-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below:

Financial Asset	Category
Treasury Bonds	Available-for-Sale
Treasury Bills	Available-for-Sale
Equity Shares	Fair Value Through Profit or Loss and Available-for-Sale
Unit Trust	Available-for-Sale
Term Deposits/ Mudharaba Deposits	Loans and Receivables
Loans and Receivable	Loans and Receivables
Repurchase Agreements	Loans and Receivables
Financial Liability	Category
Murabaha Facility	Other Financial Liabilities

2.10.1 Recognition of Financial Instruments

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value Through Profit or Loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position when and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

2.10.2 Measurement

Financial Assets at Fair Value Through Profit or Loss

Financial assets at fair value through Profit or Loss include financial assets held-for-trading and those designated at fair value through Profit or Loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in Statement of Comprehensive Income as incurred. Subsequent to initial

recognition, these investments are remeasured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Comprehensive Income.

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents. The Cash Flow Statement has been prepared using the direct method. Interest and dividend received are classified as operating cash flows.

Available-for-Sale Financial Assets

Available-for-sale financial assets are non-derivative financial assets that are designated as Available-for-sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-for-sale financial assets are measured at fair value. Fair value gains and losses are reported as a separate component in Other Comprehensive Income and accumulated in the Available-for-Sale Reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses previously reported in equity are transferred to the Statement of Comprehensive Income.

Other Financial Liabilities

Other Financial Liabilities are non-derivative financial liabilities which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

2.10.3 Impairment of Financial Assets

Financial assets not classified as at fair value through Profit or Loss are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

Assets Carried at Amortised Cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Statement of Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

Available-for-Sale Financial Investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in other comprehensive income, is transferred from equity to the Statement of

Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognised in the Statement of Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Comprehensive Income.

Financial Assets Carried at Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

2.10.4 Derecognition of Financial Instruments

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when.

- The rights to receive cash flows from the asset have expired,
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement,
- The Group has transferred its rights to receive cash flows from the asset and either:
 - Has transferred substantially all the risks and rewards of the asset, or
 - Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option

(including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

2.11 INVESTMENT PROPERTIES

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant & Equipment up to the date of change.

2.12 LIABILITIES AND PROVISIONS (EXCLUDING INSURANCE CONTRACTS)

Liabilities

All known liabilities have been accounted for in preparing the Financial Statement.

Provisions (Excluding Insurance Contracts)

Provisions are recognised when the group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

2.13 EMPLOYEE BENEFITS

Defined Benefit Plan - Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Statement of Financial Position.

The item is stated under Defined Benefit Liability in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past Service Costs are recognised as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of or changes to the plan, past service costs are recognised immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

Defined Contribution Plans - Employees' Provident Fund & Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes 12% and 3% of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2.14 IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Comprehensive Income unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2.15 INVESTMENT IN GOLD

This represents the physical gold purchased by the Group and held with the intention of value appreciation gain. Such gold is initially measured at cost and subsequently measured at the market value. Any resultant gain or losses are recognised in the Statement of Comprehensive Income.

2.16 GENERAL TAKAFUL BUSINESS (NON-LIFE INSURANCE BUSINESS)

Gross Written Contribution (Gross Written Premium)

Contributions (Premiums) are recognised earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro-rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

Unearned Contribution (Premium)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Management Fee).

Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December.

Outward Retakaful (Reinsurance)

Contribution (premium) ceded to Retakaful companies (reinsurers) is recognised as an expense in accordance with the pattern of Retakaful (reinsurance) service received.

Claims

General insurance include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognised in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ("IBNR") and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability based on past experience and trends.

Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Financial Statements for that period. The methods used and estimates made are reviewed regularly.

Deferred Acquisition Cost and Deferred Income

Acquisition cost/income is directly attributable to the Profit or Loss when policy is underwritten.

2.17 FAMILY TAKAFUL BUSINESS (LONG-TERM INSURANCE BUSINESS)

Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in-force or, for annuities, the amount of expected benefit payments.

Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

Technical Provisions - Family Takaful Business Provision and Provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Company on the recommendation of reporting actuary following his annual investigation of the Family Takaful (life insurance) business.

The actuary's valuation takes into account all liabilities including contingent liabilities and is based on the assumptions recommended by the consultant actuary.

2.18 REVENUE RECOGNITION

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue:

2.18.1 Wakala Fee (Agency/Management Fee)

Wakala Fee (Agency/Management Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for management fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis:

- General Takaful (Insurance) Business

The Shareholders' Fund is entitled for a management fee at the rate of 40% on contribution (premium) of General Takaful (insurance) Certificates. However, the Shareholders' Fund has charged a reduced management fee at the rates given below in order strengthen the General Takaful (insurance) Fund:

Medical Takaful (Insurance) Policies	25%
All other General Takaful (Insurance) Policies	20% - 37.5%

In certain instances the Shareholders' Fund has charged management fee at 40% for certain Medical Takaful Policies.

- Family Takaful (Life Insurance) Business

The management fee is charged on contribution of Family Takaful Certificates at the following rates:

Family Takaful Products	First Year	55%
	Second Year	35%
	Third Year	25%
	Fourth Year	12%
	Fifth & Year after	02%
Mortgage Family Takaful (Insurance) Policies		20%
Group Family Takaful (Insurance) Policies		30%

Wakala Fee (Agency/Management Fee) on Investment Income

The Shareholders' fund is entitled for agency fee of 50% on net investment income and does not share the losses.

2.18.2 Investment Income

Interest Income

Interest income is recognised in the Statement of Comprehensive Income as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

Dividend Income

Investment income also includes dividends when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

Realised/Unrealised Gains and (Losses)

Realised gains and losses recorded in the Statement of Comprehensive Income on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

Others

Other income is recognised on an accrual basis.

2.19 EXPENDITURE RECOGNITION

Expenses are recognised in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant & Equipment in a state of efficiency has been charged to the Statement of Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Comprehensive Income, the Directors are of the opinion that nature of expenses method presents fairly the elements of the Group's performance and hence such presentation method is adopted.

2.20 EVENTS AFTER THE REPORTING DATE

All material post reporting events have been considered and where appropriate adjustments or disclosures have been made in the respective Notes to the Financial Statements.

2.21 CAPITAL COMMITMENTS AND CONTINGENCIES

Capital commitments and contingent liabilities of the Group are disclosed in the Financial Statements.

2.22 STATED CAPITAL

Stated capital in relation to a company means the total of all amounts received by the Company or due and payable to the Company.

2.23 STANDARDS ISSUED BUT NOT YET EFFECTIVE

The Institute of Chartered Accountants of Sri Lanka has issued the following new Sri Lanka Accounting Standards which is not effective as at the reporting date. Accordingly, these Standards have not been applied in preparing these Financial Statements.

Sri Lanka Accounting Standard (SLFRS 9) - 'Financial Instruments: Classification and Measurement'

In December 2014, the CA Sri Lanka issued the final version of SLFRS 9 - Financial Instruments Classification and Measurement which reflects all phases of the financial instruments project and replaces LKAS 39 - Financial Instruments: Recognition and Measurements. The standard introduces new requirements for classification and measurement, impairment and hedge accounting.

SLFRS 9 is effective for annual periods beginning on or after 1st January 2018, with early application permitted. Retrospective application is required, but comparative information is not compulsory. The adoption of SLFRS 9 will have an effect on the classification and measurement of the Group's financial assets, but no impact on the classification and measurement of the Group's financial liabilities.

Sri Lanka Accounting Standard (SLFRS 15) - 'Revenue from Contracts with Customers'

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including Sri Lanka Accounting Standard (LKAS 18) - 'Revenue', Sri Lanka Accounting Standard (LKAS 11) - 'Construction Contracts' and IFRIC 13 - 'Customer Loyalty Programmes'. This standard is effective for the annual periods beginning on or after 1st January 2017. The Group will adopt these standards when they become effective. Pending the completion of detailed review, the financial impact is not reasonably estimatable as at the date of publication of these Financial Statements.

	Computer Software Rs.	2014 Rs.	2013 Rs.
3. INTANGIBLE ASSETS			
3.1 GROUP			
Cost			
At beginning of the Year	79,330,547	79,330,547	73,731,122
Additions	516,156	516,156	5,599,425
At end of the Year	79,846,703	79,846,703	79,330,547
Amortisation			
At beginning of the Year	50,328,194	50,328,194	44,532,147
Amortisation for the Year	5,359,414	5,359,414	5,796,047
At end of the Year	55,687,609	55,687,609	50,328,194
Carrying Amount	24,159,095	24,159,095	29,002,353

	Computer Software Rs.	2014 Rs.	2013 Rs.
3.2 COMPANY			
Cost			
At beginning of the Year	63,939,175	63,939,175	58,366,092
Additions	366,156	366,156	5,573,083
Disposals	(23,878,211)	(23,878,211)	–
At end of the Year	40,427,120	40,427,120	63,939,175
Amortisation			
At beginning of the Year	38,646,427	38,646,427	33,980,857
Amortisation Charge for the Year	3,790,830	3,790,830	4,665,569
Disposals	(10,158,188)	(10,158,188)	–
At end of the Year	32,279,069	32,279,069	38,646,427
Carrying Value	8,148,051	8,148,051	25,292,748

	Balance as at 01.01.2014 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
4. PROPERTY, PLANT & EQUIPMENT				
4.1 GROUP				
Cost/Valuation				
Freehold (4.1.1)	222,840,315	50,020,766	(392,637)	272,468,444
Leasehold (4.1.2)	10,493,278	12,481,500	(4,711,078)	18,263,700
	233,333,593	62,502,266	(5,103,715)	290,732,144

	Balance as at 01.01.2014 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
4.1.1 Freehold Property, Plant & Equipment				
Cost/Valuation				
Motor Vehicles	28,777,234	2,546,319	–	31,323,553
Computer Equipment	61,368,530	4,771,962	(95,367)	66,045,125
Other Equipment	55,650,295	22,249,332	(297,271)	77,602,356
Furniture and Fittings	77,044,256	20,453,153	–	97,497,409
Total Value of Depreciable Assets	222,840,315	50,020,766	(392,637)	272,468,444
	Balance as at 01.01.2014 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
Depreciation				
Motor Vehicles	5,445,072	6,091,109	506,319	12,042,500
Computer Equipment	55,707,497	4,245,564	(80,924)	59,872,137
Other Equipment	26,426,468	11,067,452	(292,419)	37,201,502
Furniture and Fittings	45,206,639	5,331,104	–	50,537,743
Total Depreciation	132,785,676	26,735,230	132,976	159,653,882
Carrying Amount	90,054,639			112,814,562

	Balance as at 01.01.2014 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
4.1.2 Leasehold Property, Plant & Equipment				
Cost/Valuation				
Motor Vehicles	8,332,200	8,168,500	(2,550,000)	13,950,700
Generator	2,161,078	4,313,000	(2,161,078)	4,313,000
	10,493,278	12,481,500	(4,711,078)	18,263,700
	Balance as at 01.01.2014 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
Depreciation				
Motor Vehicles	1,666,440	1,837,148	(510,000)	2,993,588
Generator	2,161,078	515,164	(2,161,078)	515,164
	3,827,518	2,352,311	(2,671,078)	3,508,751
Carrying Amount	6,665,761			14,754,949

	2014 Rs.	2013 Rs.
4.1.3 Net Book Values		
Freehold	112,814,562	90,054,639
Leasehold	14,754,949	6,665,761
Total Carrying Amount of Property, Plant & Equipment	127,569,511	96,720,400

4.1.4 During the year, the Group acquired Property, Plant & Equipment to the aggregate value of Rs. 47,498,293/- (2013 - Rs. 34,426,024/-) for cash consideration.

4.1.5 Group Property, Plant & Equipment includes fully-depreciated assets having a gross carrying amount of Rs. 92,936,390/- (2013 - Rs. 82,999,940/-).

	Balance as at 01.01.2014 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
4.2 COMPANY				
Cost/Valuation				
Freehold (4.2.1)	213,456,095	46,664,031	(8,467,690)	251,652,437
Leasehold (4.2.2)	10,493,278	12,481,500	(4,711,078)	18,263,700
	223,949,373	59,145,531	(13,178,768)	269,916,137
4.2.1 Freehold Property, Plant & Equipment				
Cost/Valuation				
Motor Vehicles	27,678,294	2,550,000	(5,497,739)	24,730,555
Computer Equipment	57,244,187	3,999,444	(2,699,951)	58,543,680
Other Equipment	55,673,208	21,484,069	(270,000)	76,887,277
Furniture and Fittings	72,860,407	18,630,518	–	91,490,925
Total Value of Depreciable Assets	213,456,095	46,664,031	(8,467,690)	251,652,437
	Balance as at 01.01.2014 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
Depreciation				
Motor Vehicles	5,575,163	5,773,025	(1,170,729)	10,177,459
Computer Equipment	53,009,100	2,964,973	(216,773)	55,757,301
Other Equipment	26,883,375	10,446,692	(270,000)	37,060,067
Furniture and Fittings	42,683,993	4,536,746	–	47,220,739
Total Depreciation	128,151,630	23,721,436	(1,657,502)	150,215,565
Carrying Amount	85,304,465			101,436,872

	Balance as at 01.01.2014 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
4.2.2 Leasehold Property, Plant & Equipment				
Cost/Valuation				
Motor Vehicles	8,332,200	8,168,500	(2,550,000)	13,950,700
Generator	2,161,078	4,313,000	(2,161,078)	4,313,000
	10,493,278	12,481,500	(4,711,078)	18,263,700
	Balance as at 01.01.2014 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Total as at 31.12.2014 Rs.
Depreciation				
Motor Vehicles	1,666,440	1,837,148	(510,000)	2,993,588
Generator	2,161,078	515,164	(2,161,078)	515,164
	3,827,518	2,352,311	(2,671,078)	3,508,751
Carrying Amount	6,665,761			14,754,949

	2014 Rs.	2013 Rs.
4.2.3 Net Book Values		
At Cost/Valuation	101,436,872	85,304,465
On Finance Lease	14,754,949	6,665,761
Total Carrying Amount of Property, Plant & Equipment	116,191,821	91,970,226

4.2.4 During the year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 44,114,031/- (2013 - Rs. 31,721,422/-) for cash consideration.

4.2.5 Company Property, Plant & Equipment includes fully-depreciated assets having a gross carrying amount of Rs. 90,671,773/- (2013 - Rs. 82,857,404/-).

4.2.6 Revaluation

The Company's entire class of motor vehicles were revalued on 31st December 2012 by De Silva Motor Engineers (Pvt) Ltd., which is a professional valuation organisation. Valuation was made on the basis of open market value. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

	2014 Rs.	2013 Rs.
Freehold		
Cost	39,347,263	39,347,263
Accumulated Depreciation	(39,347,263)	(39,347,263)
Carrying Value	-	-

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
5. IMPROVEMENTS TO LEASEHOLD BUILDINGS				
Balance as at 1st January	297,513	1,429,967	297,513	1,429,967
Amortised during the Year	(297,513)	(1,132,453)	(297,513)	(1,132,453)
Balance as at 31st December	-	297,513	-	297,513

5.1 Improvements to leasehold buildings represent the expenses incurred for the renovation and enhancement made to the leasehold buildings. These expenses were amortised to the Comprehensive Income Statement over the lease period, which is 10 years commencing from 1st April 2004. Subsequent expenditure, if any, will be amortised over the remaining period.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
6. INVESTMENT PROPERTY				
Balance as at 1st January	110,050,000	105,850,000	110,050,000	105,850,000
Disposals	(12,750,000)	(750,000)	(12,750,000)	(750,000)
Net Gain from Fair Value Adjustment	4,500,000	4,950,000	4,500,000	4,950,000
Balance as at 31st December	101,800,000	110,050,000	101,800,000	110,050,000

6.1 Investment property amounting to Rs. 43,683,332/- (2013 - Rs. 42,612,686/-) belonging to Family Takaful Fund has been restricted as per the provisions in Section 38 of the Regulation of Insurance Industry Act No. 43 of 2000 and will only be used to discharge liabilities of Insurance Contract Liability - Family Takaful Fund.

6.2 FAIR VALUE HIERARCHY

The fair value of investment property was determined by external, independent property valuers, Mr. P.P.T. Mohideen (FIV, MRICS) and Mr. M.M.M. Saleem (GMIV, DIV Sri Lanka), having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Group's investment property portfolio annually.

6.3 VALUATION TECHNIQUE

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows:

Address	Extent	Value 2014 Rs.	Per Perch/Sq. Feet Value
Family Takaful Fund			
(a) No. 14, Station Road, Wellawatta - Land	5.8 Perches	17,450,000	2,999,828 Per Perch
(b) 107/15, Buthgamuwa Road, Rajagiriya - Building	1,129 Sq.Ft.	25,333,333	22,353 Per Sq. Ft.
(c) Mellegama Village, Harispattuwa, Kandy - Land	15 Perches	825,000	55,000 Per Perch
General Takaful Fund			
(a) No. 14, Station Road, Wellawatta - Land	5.8 Perches	17,450,000	2,999,828 Per Perch
(b) Yalgoda Estate, Piligalla, Kandy - Land & Building	50 Perches	11,000,000	220,000 Per Perch
(c) 58/19, Ramyaweera Mawatha, Orugodawatta - Land	39 Perches	17,000,000	435,897 Per Perch
Shareholders' Fund			
(a) 107/15, Buthgamuwa Road, Rajagiriya - Building	567 Sq.Ft.	12,666,667	22,353 Per Sq.Ft.

Company	% Holding		Number of Shares		Cost	
	2014 %	2013 %	2014	2013	2014 Rs.	2013 Rs.
7. INVESTMENT IN SUBSIDIARIES (UNQUOTED)						
Amāna Global Ltd.	100	100	33,333	33,333	37,125,000	37,125,000
Amāna Takaful Life Ltd.	100	-	120,000,000	-	120,000,000	-
					157,125,000	37,125,000

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
8. FINANCIAL ASSETS				
Financial Assets at Fair Value Through Profit & Loss (8.3.1)	113,201,213	92,469,028	107,127,360	86,566,003
Available-for-Sale Financial Assets (8.3.2)	279,338,549	470,880,342	130,779,745	470,880,342
Loans and Receivables (8.3.3)	1,361,929,781	1,092,190,043	912,533,551	719,476,251
	1,754,469,543	1,655,539,413	1,150,440,656	1,276,922,597

8.1 Fair Value through Profit or Loss Investments and Available-for-Sale Investments have been valued at fair value. Held-to-Maturity and Loans and Receivable are valued at amortised cost.

8.2 Investments amounting to Rs. 590,098,533/- (2013 - Rs. 506,956,406/-) belonging to Family Takaful Fund has been restricted as per the provisions in Section 38 of the Regulation of Insurance Industry Act No. 43 of 2000 and will only be used to discharge liabilities of Family Takaful (Long-Term Insurance) Fund.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
8.3.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities (8.6.1)	113,201,213	92,469,028	107,127,360	86,566,003
	113,201,213	92,469,028	107,127,360	86,566,003
8.3.2 Available-for-Sale Financial Assets				
Investments in Equity Securities - Quoted (8.6.2)	54,379,535	21,420,060	-	21,420,060
Unit Trust	219,255,865	161,932,422	125,076,596	161,932,422
Investments in Equity Securities - Unquoted (8.6.3) (**)	525,000	525,000	525,000	525,000
Treasury Bonds	-	121,444,313	-	121,444,313
Treasury Bills	5,178,149	165,558,547	5,178,149	165,558,547
	279,338,549	470,880,342	130,779,745	470,880,342

****** The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
8.3.3 Loans and Receivables				
Repurchase Agreements	337,141,540	113,183,626	311,675,306	113,183,626
Murabaha Investments	170,760,615	147,809,423	—	—
Mudharaba Investments	842,255,763	819,937,768	589,489,433	595,937,946
Bank Deposits	73,848	71,121	73,848	71,121
Advances to Company Officers (8.5)	11,698,015	11,188,105	11,294,965	10,283,558
	1,361,929,781	1,092,190,043	912,533,551	719,476,251

8.4 Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act No. 43 of 2000.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
8.5 ADVANCES TO COMPANY OFFICERS				
Balance at the beginning of the Year	11,188,105	11,819,549	10,283,558	11,819,549
Loans Granted during the Year	9,078,236	9,734,306	8,639,185	8,793,759
Less: Repayments during the Year	(8,568,326)	(10,365,750)	(7,627,779)	(10,329,750)
Balance at the end of the Year	11,698,015	11,188,105	11,294,965	10,283,558

8.6 INVESTMENTS IN EQUITY SECURITIES

	Group				Company			
	2014 Number of Shares	Market Value Rs.	2013 Number of Shares	Market Value Rs.	2014 Number of Shares	Market Value Rs.	2013 Number of Shares	Market Value Rs.
8.6.1 Quoted								
Access Engineering PLC	197,490	6,339,429	–	–	127,490	4,092,429	–	–
ACL Plastics PLC	–	–	3,400	286,620	–	–	3,400	286,620
Asiri Surgical Hospital PLC	–	–	72,096	742,589	–	–	72,096	742,589
Bairaha Farms PLC	–	–	3,885	500,388	–	–	3,885	500,388
Balangoda Plantations PLC	–	–	565,674	17,535,892	–	–	565,674	17,535,892
C.W. Mackie PLC	–	–	5,000	304,000	–	–	5,000	304,000
Caltex Lubricants PLC	40,100	16,023,960	40,100	10,738,780	40,100	16,023,960	40,100	10,738,780
Ceylon Glass PLC	442,171	2,166,638	442,171	1,989,770	442,171	2,166,638	442,171	1,989,770
Ceylon Grain Elevators PLC	–	–	12,800	454,400	–	–	12,800	454,400
Ceylon Tea Services PLC	5,500	3,960,000	5,500	3,778,500	5,500	3,960,000	5,500	3,778,500
Chevron Lubricants Lanka PLC	3,900	1,558,442	3,900	1,056,510	–	–	–	–
Colombo Dockyard PLC	58,549	11,299,957	22,341	4,235,854	58,549	11,299,957	22,341	4,235,854
Dhivehi Raajjeyege Gulhun PLC	2,000	1,188,266	2,000	1,021,836	–	–	–	–
Dialog Axiata PLC	100,000	1,330,000	100,000	900,000	100,000	1,330,000	100,000	900,000
Expolanka Holdings PLC	–	–	376,257	2,897,179	–	–	–	–
Free Lanka Capital Holding PLC	–	–	104,900	230,780	–	–	104,900	230,780
Haycarb PLC	10,000	1,730,000	10,000	1,898,000	10,000	1,730,000	10,000	1,898,000
Hayleys PLC	–	–	6,200	1,816,600	–	–	6,200	1,816,600
Hemas Holdings PLC	18,900	1,404,270	101,706	3,458,004	18,900	1,404,270	101,706	3,458,004
Hemas Power PLC	52,200	944,820	52,200	918,720	52,200	944,820	52,200	918,720
Kelani Cables PLC	20,000	1,788,000	32,600	2,412,400	20,000	1,788,000	32,600	2,412,400
Kelani Valley Plantations PLC	11,100	821,400	11,100	869,130	11,100	821,400	11,100	869,130
Kotagala Plantations PLC	45,300	1,431,480	50,300	1,863,600	45,300	1,431,480	45,300	1,676,100
Lanka Floortiles PLC	–	–	10,000	740,000	–	–	–	–
Lanka IOC PLC	6,100	366,000	6,100	201,910	6,100	366,000	6,100	201,910
Nestle Lanka PLC	–	–	1,500	3,151,050	–	–	1,500	3,151,050
Odel PLC	–	–	115,600	2,427,600	–	–	115,600	2,427,600
Renuka Agri Foods PLC	842,909	4,045,963	842,909	3,118,763	842,909	4,045,963	842,909	3,118,763
Renuka Foods PLC	1,878	50,145	–	–	–	–	–	–
Renuka Shaw Wallace PLC	529,021	14,124,861	55,000	907,500	529,021	14,124,861	55,000	907,500
Royal Ceramic Lanka PLC	–	–	17,680	1,495,728	–	–	17,680	1,495,728
Singer Sri Lanka PLC	32,053	3,779,049	15,097	1,343,633	32,053	3,779,049	15,097	1,343,633
Sri Lanka Telecom PLC	–	–	12,000	444,000	–	–	12,000	444,000
Sunshine Holdings PLC	60,000	3,240,000	–	–	60,000	3,240,000	–	–
Textured Jersey Lanka PLC	673,400	13,872,040	328,400	4,991,680	623,400	12,842,040	328,400	4,991,680
Tokyo Cement Company (Lanka) PLC - Voting	255,070	16,554,043	60,500	1,415,700	255,070	16,554,043	60,500	1,415,700

	Group				Company			
	2014 Number of Shares	Market Value Rs.	2013 Number of Shares	Market Value Rs.	2014 Number of Shares	Market Value Rs.	2013 Number of Shares	Market Value Rs.
Tokyo Cement Company (Lanka) PLC - Non-Voting	110,500	5,182,450	235,070	6,699,495	110,500	5,182,450	235,070	6,699,495
United Motors PLC	–	–	19,917	2,264,563	–	–	19,917	2,264,563
Vallibel Power Erathna PLC	–	–	450,406	2,612,355	–	–	450,406	2,612,355
Vidullanka PLC	–	–	15,000	52,500	–	–	15,000	52,500
Watawala Plantations PLC	–	–	70,000	693,000	–	–	70,000	693,000
At Fair Value through Profit or Loss		113,201,213		92,469,028		107,127,360		86,566,003

	Group				Company			
	2014 Number of Shares	Market Value Rs.	2013 Number of Shares	Market Value Rs.	2014 Number of Shares	Market Value Rs.	2013 Number of Shares	Market Value Rs.
8.6.2 Quoted								
Expolanka Holdings PLC	–	–	2,856,008	21,420,060	–	–	2,856,008	21,420,060
Amāna Bank PLC	9,398,344	47,931,557	–	–	–	–	–	–
Pak Kuwait Takaful Co. PLC	500,000	6,447,979	–	–	–	–	–	–
Available-for-Sale Investment at Fair Value		54,379,535		21,420,060		–		21,420,060

	Group				Company			
	2014 Number of Shares	Cost Rs.	2013 Number of Shares	Cost Rs.	2014 Number of Shares	Cost Rs.	2013 Number of Shares	Cost Rs.
8.6.3 Unquoted								
Cleanco (Pvt) Ltd.	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Available-for-Sale Investment at Fair Value		525,000		525,000		525,000		525,000

8.6.4 Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

	Group			Company		
	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
(a) Fair Value through Profit or Loss Financial Assets						
As at 31st December 2014						
Investment in Equity Securities	113,201,213	–	–	107,127,360	–	–
Investments in Equity Securities - Unit Linked (Note 12.1)	77,375,251	–	–	77,375,251	–	–
	190,576,464	–	–	184,502,611	–	–
As at 31st December 2013						
Investment in Equity Securities	92,469,028	–	–	86,566,003	–	–
Investments in Equity Securities - Unit Linked (Note 12.1)	22,965,879	–	–	22,965,879	–	–
	115,434,906	–	–	109,531,882	–	–

	Group			Company		
	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
(b) Available-for-Sale Financial Assets						
As at 31st December 2014						
Investments in Equity Securities	54,379,535	–	–	–	–	–
Unit Trust	–	219,255,865	–	–	125,076,596	–
Treasury Bills	–	5,178,149	–	–	5,178,149	–
	54,379,535	224,434,013	–	–	130,254,745	–
As at 31st December 2013						
Investments in Equity Securities	21,420,060	–	–	21,420,060	–	–
Unit Trust	–	161,932,422	–	–	161,932,422	–
Treasury Bonds	–	121,444,313	–	–	121,444,313	–
Treasury Bills	–	165,558,547	–	–	165,558,547	–
	21,420,060	448,935,282	–	21,420,060	448,935,282	–

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
9. CONTRIBUTION (PREMIUM) RECEIVABLE				
Contribution (Premium) Receivable from Participants	353,891,382	177,314,556	235,095,843	114,222,217
Contribution (Premium) Receivable from Agents, Brokers and Intermediaries	156,029,139	200,808,699	156,029,139	200,808,699
	509,920,521	378,123,255	391,124,982	315,030,916
Impairment on Contribution Receivable	—	(1,885,166)	—	(1,885,166)
Contribution (Premium) Receivable – Net	509,920,521	376,238,089	391,124,982	313,145,749

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
10. OTHER ASSETS				
Other Receivables	92,453,573	110,269,059	99,500,325	61,463,932
Deposits, Advances and Prepayments	69,846,993	146,602,654	45,320,612	52,437,618
	162,300,566	256,871,713	144,820,937	113,901,549

10.1 Other Assets amounting to Rs. 19,771,455/- (2013 - Rs. 7,871,727/-) belonging to Family Takaful (Long-Term Insurance) Fund has been restricted as per the provisions in Section 38 of the Regulation of Insurance Industry Act No. 43 of 2000 and will only be used to discharge liabilities of Family Takaful (Long-Term Insurance) Fund.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
11. OTHER ASSETS – UNIT LINKED				
Other Receivables	34,401,147	2,376,250	34,401,147	2,376,250
	34,401,147	2,376,250	34,401,147	2,376,250

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
12. FINANCIAL ASSETS – UNIT LINKED				
Financial Assets at Fair Value Through Profit & Loss (12.1)	77,375,251	22,965,879	77,375,251	22,965,879
Available-for-Sale (12.2)	21,143,850	–	21,143,850	–
Loans and Receivable (12.3)	504,652,239	328,223,437	504,652,239	328,223,437
	603,171,340	351,189,315	603,171,340	351,189,315

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
12.1 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT & LOSS				
Investment in Equity Securities (12.1.1)	77,375,251	22,965,879	77,375,251	22,965,879
	77,375,251	22,965,879	77,375,251	22,965,879

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
12.2 AVAILABLE-FOR-SALE				
Unit Trust	21,143,850	–	21,143,850	–
	21,143,850	–	21,143,850	–

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
12.3 LOANS AND RECEIVABLE				
Investments in Government Securities	8,251,733	7,600,000	8,251,733	7,600,000
Mudharaba Investments	496,400,505	320,623,437	496,400,505	320,623,437
	504,652,239	328,223,437	504,652,239	328,223,437

	Group/Company			
	2014 Number of Shares	Market Value Rs.	2013 Number of Shares	Market Value Rs.
12.1.1 Investments in Equity Securities – Unit Linked				
Access Engineers PLC	303,484	9,741,836	–	–
Asiri Surgical Hospital PLC	12,432	211,344	141,878	1,461,343
Chevron Lubricants Lanka PLC	6,500	2,597,400	6,500	1,740,700
Coco Lanka PLC	320,325	6,694,793	45,925	757,763
Colombo Dockyard PLC	22,948	4,428,964	5,901	1,118,830
Dialog Telecom PLC	24,090	320,397	24,090	216,810
Odel PLC	–	–	10,000	210,000
Piramal Glass Ceylon PLC	522,240	2,558,976	522,240	2,350,080
Renuka Agri Foods PLC	915,690	4,395,312	915,690	3,388,053
Singer (Sri Lanka) PLC	80,868	9,534,337	58,468	5,203,652
Sunshine Holdings PLC	226,100	12,209,400	26,100	730,800
Textered Jersey PLC	655,000	13,493,000	–	–
Tokyo Cement Company (Lanka) PLC – Voting	82,080	5,326,992	–	–
Tokyo Cement Company (Lanka) PLC – Non-Voting	125,000	5,862,500	27,500	783,750
United Motors Lanka PLC	–	–	37,507	4,264,546
Vallibel Power Erathna PLC	–	–	127,509	739,552
		77,375,251		22,965,879

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
13. CASH AND CASH EQUIVALENTS IN CASH FLOW STATEMENT				
13.1 COMPONENTS OF CASH AND CASH EQUIVALENTS				
Cash and Bank Balances	131,910,444	88,823,671	106,903,214	44,927,329
Cash and Bank Balances – Unit Linked	95,837,468	36,434,146	95,837,468	36,434,146
Bank Overdrafts	(4,271,030)	–	–	–
Investments in Government Securities	294,792,729	11,580,624	270,037,760	11,580,624
	518,269,611	136,838,441	472,778,442	92,942,099

13.2 Cash and Bank balance amounting to Rs. 14,585,065/- (2013 - Rs. 7,898,862/-) belonging to Family Takaful Fund has been restricted as per the provisions in Section 38 of the Regulation of Insurance Industry Act No. 43 of 2000 and will only be used to discharge liabilities of Family Takaful (Long-Term Insurance) Fund.

	Company			
	2014 No. of Shares	2014 Rs.	2013 No. of Shares	2013 Rs.
14. STATED CAPITAL				
Fully Paid Ordinary Shares – Voting	1,000,000,720	1,250,000,900	1,000,000,720	1,250,000,900

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

15. OTHER RESERVES

Reserves consists of the following:

15.1 REVALUATION RESERVE

The revaluation reserve relates to the revaluation of Property, Plant & Equipment (Refer Note 2.9.9).

15.2 TRANSLATION RESERVE

The Translation Reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

15.3 AVAILABLE-FOR-SALE RESERVE

The Available-for-Sale Reserve comprises the cumulative net change in the fair value of Available-for-Sale financial assets until the assets are derecognised or impaired.

15.4 PREPAID SHARE RESERVE

The Prepaid Share Reserve consists of the ordinary shares subscribed and paid for the Right Issue (Note 40.2).

As at 31st December 2014, 19,961,815 ordinary shares amounting to Rs. 15,969,452/- was subscribed and paid.

Terms of the Shares to be Issued

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
16. ACCUMULATED LOSS				
Balance as at 1st January	(184,268,515)	(323,840,793)	(323,554,575)	(446,769,247)
Net Profit for the year	67,692,779	140,600,665	63,720,424	123,990,933
Defined Benefit Plan Actuarial Losses, net of Deferred Tax	(4,923,991)	(1,040,478)	(4,080,467)	(788,352)
Transfer of Revaluation Reserve on Disposal	–	12,091	–	12,091
Balance as at 31st December	(121,499,726)	(184,268,515)	(263,914,617)	(323,554,575)

17. INSURANCE CONTRACT LIABILITIES – NON-LIFE

The General Takaful Fund (Non-Life Insurance Reserve) as shown in the Statement of Financial Position represents the following:

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
17.1 UNEARNED CONTRIBUTION (PREMIUM)				
Gross	571,005,778	525,765,779	503,297,375	446,131,848
Retakaful (Reinsurance)	(70,593,210)	(51,867,276)	(70,593,210)	(51,867,276)
Net	500,412,568	473,898,503	432,704,165	394,264,572
17.2 GROSS CLAIMS RESERVE				
Claims Outstanding	97,197,418	210,101,865	65,954,554	171,560,494
Claims Incurred But Not Reported (IBNR)	27,544,315	14,681,644	21,583,643	(2,689,570)
	124,741,732	224,783,508	87,538,197	168,870,924
Insurance Provision	625,154,301	698,682,012	520,242,362	563,135,496
17.3 GENERAL TAKAFUL (INSURANCE) TECHNICAL RESERVES				
General Insurance (Non-Life) Provision	625,154,301	698,682,012	520,242,362	563,135,496
Retakaful (Reinsurance) Receivable on Outstanding Claims	23,050,324	(60,875,745)	23,050,324	(60,875,745)
	648,204,625	637,806,267	543,292,686	502,259,751

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by NMG Consulting as per SLFRS 4. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Company has provided Rs. 21,583,643/- (2013 – Rs. 2,689,570/-) for Incurred But Not Reported (IBNR) claims reserve and there was no requirement for Unexpired Risk Reserve for the year (2013 – Nil).

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
18. INSURANCE CONTRACT LIABILITIES – FAMILY TAKAFUL FUND				
18.1 INSURANCE CONTRACT LIABILITIES – FAMILY TAKAFUL FUND				
Participant Investment Fund – PIF	477,474,380	454,234,149	477,474,380	454,234,149
Participant Tabarru Fund – PTF & Group Fund - GF	67,137,837	93,388,100	67,137,837	93,388,100
Unearned Premium – Group Family & Mortgage Takaful	6,598,719	2,597,311	6,598,719	2,597,311
	551,210,935	550,219,560	551,210,935	550,219,560
18.2 INSURANCE CONTRACT LIABILITIES – FAMILY TAKAFUL UNIT LINKED				
Unit Fund – ULIP	708,368,416	373,779,220	708,368,416	373,779,220
Participant Tabarru Fund and Group Fund – ULIP	22,430,393	7,178,399	22,430,393	7,178,399
	730,798,810	380,957,619	730,798,810	380,957,619

18.3 INSURANCE PROVISION - LONG-TERM (FAMILY TAKAFUL FUND)

Long duration contract liabilities are included in the Long-Term Insurance (Life Insurance) Fund, resulting primarily from traditional precipitately Long-Term (Life) Insurance products. Short duration contract liabilities are primarily accident and health insurance products.

The insurance provision has been based upon the following:

- Profit rate is consistent by product, throughout the year of valuation. The rate profit assumed was 2% p.a. (2013 – 2% p.a.)
- Mortality rates based in published mortality tables adjusted for actual experience by geographic area and modified to allow the variations (based on gender) in policy form. The mortality table employed was the English Assured Lives Mortality Table A67/70 (Ultimate).
- Surrender rates based upon actual experience by geographic area and modified to allow for variations in policy form.

The amount of profit to be credited to the participants is determined annually by the Company. The profit includes the participants share of net income that is required to be allocated by the contract.

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31st December 2014 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia.

In accordance with the actuary's report, the fund balances are as follows:

	2014 Rs.	2013 Rs.
Surplus of the Fund	23,675,591	52,240,843
	23,675,591	52,240,843

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long-Term Insurance (Family Takaful) Fund. No valuation has been carried out on Participating Investment Fund since it represents an accumulation of investments made by the policyholders.

18.4 LIABILITY ADEQUACY TESTING (LAT)

A Liability Adequacy Test ('LAT') for Life Insurance Contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners-Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia December 2014 as required by SLFRS 4 - 'Insurance Contracts'. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2014.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
19. EMPLOYEE BENEFITS				
Employee Benefits – Gratuity				
Balance at 1st January	19,448,708	15,635,016	18,375,643	15,536,766
Net Benefit Expense (19.1)	11,927,643	6,719,492	10,838,599	5,646,427
Disposal of Subsidiary	—	(98,250)	—	—
	31,376,351	22,256,258	29,214,242	21,183,193
Payments during the Year	(4,529,235)	(2,807,550)	(4,529,235)	(2,807,550)
Balance at 31st December	26,847,116	19,448,708	24,685,007	18,375,643
19.1 NET BENEFIT EXPENSE				
Included in Profit or Loss				
Interest Cost	2,190,238	1,827,551	2,072,201	1,709,044
Current Service Cost	3,226,566	3,544,882	3,099,082	2,842,450
	5,416,804	5,372,433	5,171,283	4,551,494
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	6,510,839	1,347,059	5,667,316	1,094,933
Net Benefit Expense	11,927,643	6,719,492	10,838,599	5,646,427

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piyal S. Goonetilleke (Fellow of the Society of Actuaries - USA) in 2014 as required by LKAS 19 - 'Employee Benefits'.

Principal actuarial assumptions used:

	Per Annum	
	2014 %	2013 %
a. Discount Rate	9.5	11
b. Salary Increase	8.5	9
c. Incidence of Withdrawals	15	14
d. Future Mortality	55 Years	55 Years

19.2 SENSITIVITY

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below:

	31st December 2014		31st December 2013	
	Increase	Decrease	Increase	Decrease
Discount Rate (1% movement)	23,504,980	25,999,811	17,974,082	19,797,259
Future Salary Growth (1% movement)	25,955,257	23,504,980	19,775,023	17,979,685

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
20. OTHER LIABILITIES – UNIT LINKED				
Other Creditors	14,153,796	6,796,664	14,153,796	6,796,664
Retakaful Payable	5,962,365	2,245,429	5,962,365	2,245,429
	20,116,161	9,042,093	20,116,161	9,042,093

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
21. OTHER LIABILITIES				
Accrued Liabilities	24,015,739	5,797,978	12,883,815	5,024,650
Commission Payable	33,648,877	20,745,838	17,731,334	9,240,498
Other Creditors	148,554,126	123,224,295	75,759,133	59,706,893
Income Tax Payable	19,477,775	18,207,894	8,569,003	13,139,304
Wakala Facility	–	33,046,666	–	–
Retakaful Payable	172,626,620	104,179,993	73,371,887	51,767,441
	398,323,137	305,202,664	188,315,171	138,878,787

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
22. MURABAHA FACILITY				
Opening Balance	367,398	1,733,509	367,398	1,733,509
Repayments	(367,398)	(1,366,111)	(367,398)	(1,366,111)
	–	367,398	–	367,398
Unamortised Murabaha Profit	–	(5,026)	–	(5,026)
Net Liability	–	362,372	–	362,372

22.1 Extended Murabah Facility represents the facility obtained from Amāna Investments Ltd. to finance improvements made to leasehold buildings during 2004. This facility was repaid over 10 years commencing from April 2004 in monthly installments of Rs. 114,050/-, each payable at the end of every month.

22.2 No assets of the Company have been pledged against this facility.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
23. FINANCE LEASE LIABILITY				
Opening Balance	6,317,700	8,415,406	6,317,700	8,415,406
Lease Obtained	17,521,837	–	17,521,837	–
Repayments	(4,956,635)	(2,097,706)	(4,956,635)	(2,097,706)
	18,882,902	6,317,700	18,882,902	6,317,700
Unamortised Profit	(4,336,523)	(1,511,071)	(4,336,523)	(1,511,071)
Net Liability	14,546,379	4,806,629	14,546,379	4,806,629

	1 Year or Less Rs.	1-5 Years Rs.	Total Rs.
23.1 MATURITY ANALYSIS			
Gross Liability	5,849,864	13,033,038	18,882,902
Unamortised Profits	(2,000,012)	(2,336,511)	(4,336,523)
Net Liability	3,849,852	10,696,527	14,546,379

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
24. GROSS WRITTEN CONTRIBUTION				
Long-Term Policies				
Family Takaful	161,730,510	198,786,632	161,730,510	198,786,632
Mortgage and Group Family Takaful	35,209,592	20,000,211	35,209,592	20,000,211
Unit Linked	482,088,822	324,199,319	482,088,822	324,199,319
	679,028,925	542,986,162	679,028,925	542,986,162
General Takaful (Insurance)				
Motor	966,757,358	967,241,872	935,810,967	942,896,939
Fire	339,532,308	227,109,514	117,059,371	107,436,139
Marine	116,760,897	134,775,103	36,023,671	35,185,268
Medical	331,936,611	363,910,789	157,512,326	142,285,249
Miscellaneous	217,991,925	137,277,337	129,862,646	95,016,786
	1,972,979,099	1,830,314,615	1,376,268,982	1,322,820,381
	2,652,008,024	2,373,300,777	2,055,297,907	1,865,806,543

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
25. INCOME FROM INVESTMENTS				
Investment Income (Note 25.1)	191,613,853	192,338,360	197,352,044	178,749,898
Fair Value Gain on Investment Properties	4,500,000	4,950,000	4,500,000	4,950,000
Fair Value Gain/(Loss) on Gold Investments	360,275	(16,571,272)	360,275	(16,527,100)
Net Realised Capital Gain or (Losses)	32,367,768	7,100,973	31,489,604	6,995,167
Unrealised Capital Gain or (Losses)	28,097,037	(31,582,163)	41,855,410	(21,308,079)
	256,938,932	156,235,898	275,557,333	152,859,885
25.1 INVESTMENT INCOME				
Dividend Income	7,828,596	20,428,039	37,544,048	28,659,800
Income from Murabaha Investments	13,910,146	14,486,218	–	–
Income from Mudharaba Investments	112,402,179	119,369,937	103,046,330	111,225,675
Profit on Disposal of Subsidiaries	–	15,778,156	–	–
Rent Income from Properties	626,130	3,147,483	626,130	3,147,483
Interest Income from Investment in Government Securities (Note 25.2)	35,451,596	35,716,940	34,740,330	35,716,940
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Profit or Loss	21,395,206	(16,588,411)	21,395,206	–
	191,613,853	192,338,360	197,352,044	178,749,898

25.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
26. OTHER INCOME				
Profit on Disposal of Property, Plant & Equipment	92,903	2,745,408	39,750	2,745,409
Sundry Income	25,290,283	34,430,731	5,901,654	5,075,971
Salvage Income	1,067,325	1,264,100	1,067,325	1,264,100
Exchange Gain/(Loss)	(590,431)	2,030,843	(574,247)	2,030,843
Technical Fee Income	5,932,138	2,652,040	–	–
	31,792,218	43,123,123	6,434,482	11,116,323

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
27. REVENUE				
Gross Written Contribution (Premium)	2,652,008,024	2,373,300,777	2,055,297,907	1,865,806,543
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(539,791,021)	(387,553,456)	(241,277,531)	(198,278,653)
Net Written Contribution (Premium)	2,112,217,003	1,985,747,321	1,814,020,376	1,667,527,890
Net Change in Reserve for Unearned Contribution (Premium)	(30,816,411)	(20,863,481)	(42,440,999)	(31,694,565)
Net Earned Contribution (Premium)	2,081,400,593	1,964,883,840	1,771,579,377	1,635,833,326
Income from Investments	256,938,932	156,235,898	275,557,333	152,859,885
Fair Value Gains and Losses	14,020,670	(15,334,565)	(1,868,352)	(15,334,565)
Other Income	31,792,218	43,123,123	6,434,482	11,116,323
Total Revenue	2,384,152,412	2,148,908,296	2,051,702,840	1,784,474,969
28. INSURANCE CLAIMS AND BENEFITS (NET)				
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	525,293,615	499,125,474	521,984,806	493,093,891
Fire	124,468,988	106,585,272	129,901,858	99,035,737
Marine	1,691,663	21,289,152	13,590,915	7,764,519
Medical	205,830,299	74,662,316	97,199,012	74,662,316
Miscellaneous	18,592,677	140,095,741	18,421,026	12,297,073
	875,877,243	841,757,956	781,097,618	686,853,537
Retakaful (Reinsurance) Recoveries	(141,254,133)	(91,963,500)	(141,254,133)	(91,963,500)
General Insurance Claims and Benefits (Net)	734,623,110	749,794,456	639,843,485	594,890,037
Family Takaful (Long-Term Insurance)				
Claims Incurred	36,701,037	23,729,899	36,701,037	23,729,899
Surrenders	90,445,333	59,996,072	90,445,333	59,996,072
Policy Maturities	8,592,585	10,690,746	8,592,585	10,690,746
Interim Payments/Part Withdrawals	25,498,790	85,128,542	25,498,790	85,128,542
Long-Term Insurance Claims and Benefits	161,237,744	179,545,260	161,237,744	179,545,260
	895,860,854	929,339,716	801,081,229	774,435,297

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
29. OTHER OPERATING, INVESTMENT RELATED AND ADMINISTRATION EXPENSES				
Staff Expenses (Note 29.1)	334,712,693	296,148,242	266,699,932	232,061,170
Administration and Establishment Expenses	290,147,046	215,696,343	238,990,550	171,047,344
Selling Expenses	54,373,957	52,173,607	43,565,036	46,554,837
Depreciation	29,087,542	20,321,518	26,073,748	17,875,099
Consultancy Fees	31,367,777	37,199,343	21,894,268	32,111,864
Travel Expenses	117,728,986	111,613,120	115,058,199	111,439,971
	857,418,001	733,152,174	712,281,734	611,090,285
29.1 STAFF EXPENSES				
Wages, Salaries and Bonuses	214,122,012	209,053,461	174,159,177	153,640,141
Contribution to Defined Contribution Plans - EPF and ETF	41,232,636	35,426,604	39,665,502	35,175,224
Staff Welfare	53,171,460	29,978,905	29,258,616	25,905,159
Staff Training	15,371,625	12,678,890	13,935,042	9,940,929
Medical Claims	5,398,155	3,637,948	4,510,312	2,848,223
Gratuity	5,416,804	5,372,433	5,171,283	4,551,494
	334,712,693	296,148,242	266,699,932	232,061,170
30. AMORTISATIONS				
Improvements to Leasehold Buildings	297,513	1,132,453	297,513	1,132,453
Intangible Asset	5,359,414	7,374,885	3,790,830	4,665,569
	5,656,927	8,507,336	4,088,343	5,798,023
31. THE PROFIT FROM OPERATIONS FOR THE YEAR IS STATED AFTER CHARGING/(CREDITING) THE FOLLOWING:				
Directors' Emoluments - Executive	4,630,455	4,692,250	4,630,455	4,692,250
- Non-Executive	2,369,885	3,378,510	2,369,885	3,378,510
Auditors' Remuneration (Fees) - Audit	2,104,842	1,489,720	1,250,000	1,195,000
- Non-Audit	1,421,500	1,006,000	1,421,500	1,006,000
Depreciation	29,087,542	20,173,408	26,073,748	17,875,099
Donations	179,450	-	10,444	-
Advertisement Costs	44,791,706	51,613,620	43,565,036	46,554,837
Amortisation of Intangibles	6,921,914	8,507,337	3,790,830	5,798,023
Reversal in Provision for Contribution Receivable	(1,885,166)	(2,000,000)	(1,885,166)	(2,000,000)
Staff Cost	334,712,693	296,148,242	266,699,932	232,061,170
Profit on Disposal of Property, Plant & Equipment	92,903	2,745,409	39,750	2,745,409

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
32. FINANCE COST				
Extended Murabaha Profit	5,026	10,310,261	5,026	95,474
Profit Mark-up on Lease (Ijarah) Facility	2,416,146	875,342	2,416,146	875,342
Overdrafts and Other	2,272,334	4,188,415	–	–
	4,693,506	15,374,018	2,421,172	970,816

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
33. INCOME TAX EXPENSE				
Current Income Tax				
Taxation on Current Year Profits	13,904,257	(19,128,930)	–	(10,136,877)
	13,904,257	(19,128,930)	–	(10,136,877)
Deferred Tax				
	(34,683,770)	65,995,112	31,599,296	65,995,112
	(34,683,770)	65,995,112	31,599,296	65,995,112
	20,779,513	46,866,182	31,599,296	55,858,234
Recognised in Profit or Loss	16,581,602	46,559,601	30,012,448	55,551,653
Recognised in Other Comprehensive Income	(4,197,910)	306,581	1,586,848	306,581
	20,779,513	46,866,182	31,599,296	55,858,234

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
33.1 TAX RECONCILIATION STATEMENT				
Accounting Profit before Tax	86,429,267	61,494,448	33,707,976	61,494,448
Aggregate Disallowed Items	62,233,679	47,743,841	52,384,998	47,743,841
Aggregate Allowable Expenses	(152,865,960)	(73,035,156)	(143,798,014)	(73,035,156)
Tax (Loss)/Profit	(4,203,014)	36,203,133	(57,705,040)	36,203,133

33.1.1 Amāna Takaful PLC is liable for income tax at 28% (2013 - 28%) on the taxable income for the year of assessment 2014/15.

33.1.2 Amāna Global Ltd. is liable for income tax at 10% (2013 - 10%) on the taxable income for the year of assessment 2014/15.

33.1.3 Amāna Asset Management Ltd., IGL Lanka Ltd., Amāna Capital Ltd. are liable for tax at 28% (2013 - 28%) on the taxable income for the year of assessment 2014/15.

33.1.4 Amāna Takaful (Maldives) PLC is liable for income tax at 15% (2013 - 15%) on the taxable income for the year of assessment 2014/15.

33.1.5 Amāna Takaful Life Ltd. is liable for income tax at 28% on the taxable income for the year of assessment 2014/15.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
33.2 DEFERRED TAX ASSET				
Tax Losses Brought Forward (General Takaful)	574,795,585	517,090,545	574,795,585	517,090,545
Less : Tax Losses of which Deferred Tax Asset was not Recognised	(214,991,847)	(266,329,320)	(214,991,847)	(266,329,320)
	359,803,738	250,761,225	359,803,738	250,761,225
Defined Benefit Obligation	24,685,007	15,568,093	24,685,007	15,568,093
Total Deductible Temporary Differences	384,488,745	266,329,318	384,488,745	266,329,318
Deferred Tax Assets @ 28%	107,656,848	74,572,209	107,656,848	74,572,209
Recognised Deferred Tax Asset	107,656,848	74,572,209	107,656,848	74,572,209
Deferred Tax Liability				
Property, Plant and Equipment	(35,937,287)	(30,632,490)	(35,937,287)	(30,632,490)
Total Taxable Temporary Differences	(35,937,287)	(30,632,490)	(35,937,287)	(30,632,490)
Deferred Tax Liability @ 28%	(10,062,440)	(8,577,097)	(10,062,440)	(8,577,097)
Net Deferred Tax Asset	97,594,408	65,995,112	97,594,408	65,995,112

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
33.3 MOVEMENT IN TEMPORARY DIFFERENCES DURING THE YEAR				
Balance at 1st January	65,995,112	–	65,995,112	–
Recognised in Profit or Loss				
Tax Losses Brought Forwards	30,531,904	70,213,143	30,531,904	70,213,143
Defined Benefit Obligation	965,887	4,052,485	965,887	4,052,485
Property, Plant & Equipment	(1,485,343)	(8,577,097)	(1,485,343)	(8,577,097)
	30,012,448	65,688,531	30,012,448	65,688,531
Recognised in Other Comprehensive Income				
Defined Benefit Obligation	1,586,848	306,581	1,586,848	306,581
Balance at 31st December	97,594,408	65,995,112	97,594,408	65,995,112

33.4 Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and the level of future taxable profits together with future tax planning strategies.

In the Financial Statements, the deferred tax asset has been recognised only for the general insurance segment and no deferred tax asset is recognised for the life segment on the tax losses amounting to Rs. 396,276,808/-.

34. EARNINGS PER SHARE

34.1 Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year. However, the surplus/(deficit) of the General Takaful Fund is also taken under the profit, which is not a part of the profit attributable to shareholders.

34.2 The following reflect the income and share data used in the basic earnings per share computations:

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
Amount used as the Numerator:				
Net Profit Attributable to Ordinary Shareholders	67,692,778	133,655,831	63,720,424	117,046,101
	Number	Number	Number	Number
Number of Ordinary Shares used as Denominator:				
Weighted Average Number of Ordinary Shares in Issue	1,000,000,720	1,000,000,720	1,000,000,720	1,000,000,720

34.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, diluted earnings per share is same as basic earnings per share shown above.

35. RELATED PARTY DISCLOSURES

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standards (LKAS) 24 - 'Related Party Disclosures'. Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment-related transactions as at the Reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below:

(A) Transactions with the Parent, Subsidiaries and Fellow Subsidiaries

Relationship	Nature of Transaction	2014 Rs.	2013 Rs.
Group			
Ultimate Parent	Takaful Premium	384,128	—
	Outstanding	18,532	—
Parent	Reimbursement Cost	40,989,907	6,046,152
	Current Account Settlement	36,348,131	16,632,557
	Fund Management Fee	1,684,070	—
	Wakala Payable	6,427,484	—
	Wakala Expenses	127,699	—
Other Related Companies	Takaful Premium	27,523,808	—
	Claims Paid	6,948,715	—
	Takaful Premium Receivable	21,635,522	—
Subsidiaries	Takaful Premium	761,032	443,192
	Claims Paid	460,856	307,580
	Outstanding	8,940	61,372
	Reimbursement Cost	33,290,173	13,081,404
	Dividend	30,000,000	21,173,053
	Consultancy Fees	996,991	995,455
	Current Account Settlements	5,214,030	777,056
	Inter-Company Payable	544,145	156,622

Relationship	Nature of Transaction	2014 Rs.	2013 Rs.
Company			
Ultimate Parent	Takaful Premium	384,128	–
	Outstanding	18,532	–
Parent	Investment in Equity	6,259,327	–
	Fund Management Fee	1,214,689	–
Other Related Companies	Takaful Premium	27,523,808	–
	Claims Paid	6,948,715	–
	Takaful Premium Receivable	21,635,522	–
Subsidiaries	Takaful Premium	761,032	443,192
	Takaful Premium Receivable	8,940	61,372
	Claims Paid	460,856	307,580
	Reimbursement Cost	31,308,072	13,074,281
	Current Account	2,269,022	–
	Dividend	30,000,000	21,173,053

(B) Compensation of Key Management Personnel

According to Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosure', Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its Parent have been classified as Key Management Personnel of the Group.

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
Salary and Other Short-Term Benefits	27,227,791	21,744,355	20,285,791	15,595,355
Contributions Made by the Company to Provided Fund and Trust Fund	2,087,065	1,110,645	2,087,065	1,110,645
Non-Cash Benefits	3,300,000	3,300,000	3,300,000	3,300,000

(C) Transactions with Other Related Parties

Transactions entered into with entities that are connected via close members of the family of KMP are disclosed as follows. Close members of the family include immediate family members including spouse and dependents.

Nature of Transactions	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
Takaful Premium	27,713	490,499	27,713	490,499
Outstanding Premium	–	14,997	–	14,997
Claims Paid	800	13,923	800	13,923

36. THE SEGREGATION OF THE LIFE AND GENERAL INSURANCE BUSINESS UNDER SECTION 53 OF THE REGULATION OF INSURANCE INDUSTRY (AMENDMENT) ACT NO. 3 OF 2011

In terms of Section 53 of the Regulation of Insurance Industry (Amendment) Act No. 3 of 2011, all composite insurance companies are required to split their Life and Non-Life Insurance business into two separate legal entities. In consultation with the insurance industry, Insurance Board of Sri Lanka (IBSL) has brought forward the deadline for compliance to 1st of January 2015 and has set out a timetable with key milestones leading to the completion of the process by that date.

Amāna Takaful PLC, following the due process stipulated by the IBSL and having obtained approvals from all relevant parties including District Courts, transferred its Family Takaful (Life Insurance) Business to its newly formed subsidiary Amāna Takaful Life Ltd. with effect from 1st of January 2015. Accordingly, Amāna Takaful PLC has become a General Insurance Company as well as the holding Company of Amāna Takaful Life Ltd. which is now a licensed Life Insurance Company. Therefore, Amāna Takaful PLC is providing both Life and General Insurance solutions under a group structure now which was under a single company as a composite insurer till 31st of December 2014. Accordingly, from the group point of view, there is no discontinuation of operations since the Group would continue both life and general business.

Segregation of insurance business under the above requirement would not meet the definition of assets held for sale because the carrying amount of the transferred assets will not be recovered principally through a sales transaction, rather than through continuing use. Although the entity receives value for the assets in the form of an investment in a subsidiary, that investment will only be realised through continuing use, if a sale is not planned by the Company.

Therefore in substance, this segregation is only a change in the mode of operation or restructuring the insurance business. Under such restructuring, it should be noted that the entity has not lost control of the assets, and therefore the assets cannot be considered to have been disposed of. Therefore, segregation of insurance business is considered as out of scope for the application of SLFRS 5 "Non-current Assets Held for Sale and Discontinued Operations".

Accordingly, the segregation of insurance businesses has not been disclosed as a Discontinuing Operations in the Financial Statements.

However, some information has been disclosed below for the benefit of users:

36.1 CONDENSED INCOME STATEMENT OF THE SEGREGATED OPERATIONS INCLUDED IN SEPARATE FINANCIAL STATEMENTS

	2014 Rs.	2013 Rs.
Total Revenue	665,426,894	492,843,431
Net Claims	(161,237,744)	(179,545,260)
Acquisition Expenses	(6,467,603)	(9,297,643)
Increase in Family Takaful (Long-Term Insurance) Fund	(346,831,160)	(221,141,468)
Operating and Administrative Expenses	(150,890,386)	(82,859,061)
Profit before Tax	—	—
Income Tax Expense	—	—
Net Profit for the Year	—	—
Profit Attributable to:		
- Owners of the Parent	—	—
- Non-controlling Interest	—	—
	—	—

The Company does not have any gain or loss on segregation of composite insurance business and hence no significant tax consequences expected.

36.2 CONDENSED CASH FLOW STATEMENT OF THE SEGREGATED OPERATIONS INCLUDED IN SEPARATE FINANCIAL STATEMENTS

	2014 Rs.	2013 Rs.
Cash Flow from Operating Activities	359,044,186	196,688,708
Cash Flow from Investing Activities	(139,206,901)	(183,103,360)
Cash Flow from Financing Activities	–	–
Increase in Cash and Cash Equivalents	219,837,285	13,585,348
Cash and Cash Equivalents and Bank Overdraft at the Beginning of the Year	47,783,009	34,197,661
Cash and Cash Equivalents and Bank Overdraft at the end of the Year	267,620,293	47,783,009

36.3 INCOME FROM CONTINUING OPERATIONS AND OPERATIONS TRANSFERRED TO THE SUBSIDIARY

For the Financial Year ended 31st December	Continuing Operations		Segregated Operations	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
Net Profit for the Year	63,720,424	117,046,101	–	–
Net Income Attributable to:				
- Owners of the Parent	63,720,424	117,046,101	–	–
- Non-controlling Interest	–	–	–	–
	63,720,424	117,046,101	–	–

37. NCI

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations:

31st December 2014	Amāna Takaful (Maldives) PLC
NCI Percentage	45%
Total Assets	700,395,878
Total Liabilities	310,248,185
Net Assets	390,147,693
Carrying Amount of NCI	176,688,500
Revenue	309,821,216
Profit	78,484,647
OCI	6,875,116
Total Comprehensive Income	85,359,763
Profit Allocated to NCI	35,318,091
OCI Allocated to NCI	(3,564,406)
Cash Flows from Operating Activities	185,537,031
Cash Flows from Investment Activities	(182,257,261)
Cash Flows from Financing Activities (Dividends to NCI: Rs 10,016,086/-)	(22,334,766)
Net Increase (Decrease) in Cash and Cash Equivalents	(19,054,995)

31st December 2013	Amāna Takaful (Maldives) PLC
NCI Percentage	45%
Total Assets	601,466,477
Total Liabilities	259,624,560
Net Assets	341,841,917
Carrying Amount of NCI	154,950,901
Revenue	329,050,515
Profit	53,781,304
OCI	(553,633)
Total Comprehensive Income	53,227,670
Profit Allocated to NCI	24,201,587
OCI Allocated to NCI	(249,135)
Cash Flows from Operating Activities	9,291,291
Cash Flows from Investment Activities	22,117,598
Cash Flows from Financing Activities (Dividends to NCI: Rs.11,344,835/-)	(28,009,572)
Net Increase (Decrease) in Cash and cash Equivalents	3,399,316

38. RISK MANAGEMENT

38.1 OVERVIEW

All entities face uncertainty and the challenge for the Company is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, Risk Management Framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

38.2 RISK MANAGEMENT FRAMEWORK

Amāna Takaful PLC's Risk Management Framework forms an integral part of the Management and Board processes and decision-making framework across the Company. The Company has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance Practices and the Standard Operating Procedures (SOPs), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors has the overall responsibility for the establishment and oversight of the Company's Risk Management Framework and thus, their approval is necessary for the Risk Management Strategies. The Company's Risk Management Framework is categorised into four lines of defence as follows:

1. Front Line People - risk awareness of the people in the front line is the first line of defence.
2. Policies and Procedures - the Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel - appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance - the governance practices to mitigate the risks at Board level.

The Board has appointed a subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Company.

This section discusses the salient features of the risks exposed by the Company in terms of financial instruments and other areas as an insurance company. The financial instruments of the Company are exposed to the following Risks:

1. Financial Risk
2. Market Risk
3. Insurance Risk

38.3 FINANCIAL RISK

38.3.1 Capital Management

a. Objectives and Policies

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory and Shari'ah Guidelines.
- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meet the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity.
- To align the profile of assets and liabilities taking account of risks inherent in the business.

ATPLC currently has Stated Capital of Rs. 1.25 Bn which is well above the minimum regulatory requirement of the Insurance Board of Sri Lanka (IBSL) which is only Rs. 200 Mn - i.e., Rs. 100 Mn per class of business, Life and Non-Life Insurance.

Operations of the Company are also subject to statutory requirements of the IBSL (Capital, investments, solvency etc.) of which adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Company firmly adheres to Islamic finance principles i.e., the strict adherence of Shari'ah Guidelines in terms of investments, marketing activities and so on with restrictions in borrowing capital etc., give more stability to the financial strength of the Company.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the Investment Guidelines of the Insurance Board of Sri Lanka. This primarily helps the Company to maintain the required levels of solvency at all times at different funds. In meeting the objectives mentioned above, the Capital Management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets. The Company also has appointed a leading wealth management specialist to manage part of the investment folio since 2011.

38.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise:

1. Premium receivable
2. Reinsurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Company's exposure to credit risk:

- The Company has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Reinsurers are selected based on the ratings as required by IBSL.
- The Investment Committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The Executive Committee regularly reviews the credit position of the Company i.e., outstandings and overdue. In addition, the Company also ensures that there are sufficient provisions created in the case of doubtful debts.

Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31st December 2014 and 2013, is the carrying amounts of respective financial instruments.

	Neither Past Due Nor Impaired Rs.	Past Due But Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2014 Rs.
Financial Assets				
Financial Assets at Fair Value Through Profit or Loss				
Investments in Equity Securities	113,201,213	–	–	113,201,213
Available-for-Sale Financial Assets				
Investments in Equity Securities	54,379,535	–	–	54,379,535
Unit Trust	219,255,865	–	–	219,255,865
Unquoted	525,000	–	–	525,000
Treasury Bonds	–	–	–	–
Treasury Bills	5,178,149	–	–	5,178,149
Loans and Receivables				
Murabaha Investments	170,760,615	–	–	170,760,615
Mudharaba Investments	841,020,291	–	–	841,020,291
Bank Deposits	73,848	–	–	73,848
Advances to Company Officers	11,379,617	–	–	11,379,617
Repurchase Agreements	338,377,012	–	–	338,377,012
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	–	64,428,966	–	64,428,966
Contribution (Premium) Receivable	509,920,522	–	–	509,920,522
Cash and Cash Equivalents	227,747,913	–	–	227,747,913
Total Credit Exposure	2,491,819,578	64,428,966	–	2,556,248,544

	Neither Past Due Nor Impaired Rs.	Past Due But Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2013 Rs.
Financial Assets				
Financial Assets at Fair Value Through Profit or Loss				
Investments in Equity Securities	92,469,028	–	–	92,469,028
Available-for-Sale Financial Assets				
Investments in Equity Securities	21,420,060	–	–	21,420,060
Units Trust	161,932,422	–	–	161,932,422
Unquoted	525,000	–	–	525,000
Treasury Bonds	121,444,313	–	–	121,444,313
Treasury Bills	165,558,547	–	–	165,558,547
Loans and Receivables				
Murabaha Investments	147,809,423	–	–	147,809,423
Mudharaba Investments	819,937,768	–	–	819,937,768
Bank Deposits	71,121	–	–	71,121
Advances to Company Officers	11,188,105	–	–	11,188,105
Repurchase Agreements	113,183,626	–	–	113,183,626
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	–	128,730,801	–	128,730,801
Contribution (Premium) Receivable	374,352,923	–	1,885,166	376,238,089
Cash and Cash Equivalents	125,257,817	–	–	125,257,817
Total Credit Exposure	2,155,150,153	128,730,801	1,885,166	2,285,766,120

	Less Than 1 Year Rs.	1-3 Years Rs.	Total Rs.
Past due but not Impaired			
31st December 2014			
Financial Assets - Group			
Reinsurance Assets	55,501,124	8,927,842	64,428,966
	55,501,124	8,927,842	64,428,966
31st December 2013			
Financial Assets - Group			
Reinsurance Assets	121,606,411	7,124,390	128,730,801
	121,606,411	7,124,390	128,730,801

38.4 MARKET RISK

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for ATPLC. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determine the net premiums and gross premium values. Further, prices of goods and services in general, i.e., inflation, determine the cost of administration.

38.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the Company to cash flow interest risk, whereas fixed interest rate instruments expose the Company to fair value interest risk.

The Company invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Board of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

38.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk, the Company has a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Company invests only in white list equity securities i.e., Shari'ah compliant securities which are of sound fundamental value giving the Company greater security in its invested equity securities.

Sector	2014		2013	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Beverage and Foods	22,130,824	20.66	11,456,201	10.61
Chemicals	1,730,000	1.61	1,898,000	1.76
Construction	15,392,386	14.37	4,235,854	3.92
Diversified Hold.	4,644,270	4.34	26,925,444	24.93
Footwear/Textiles	–	0.00	2,427,600	2.25
Healthcare	–	0.00	742,589	0.69
Manufacturing	54,557,131	50.93	30,484,573	28.23
Motors	–	0.00	2,264,563	2.10
Plantation	2,252,880	2.10	20,774,122	19.24
Power	1,310,820	1.22	3,785,485	3.51
Telecommunication	1,330,000	1.24	1,344,000	1.24
Trading	3,779,049	3.53	1,647,633	1.53
	107,127,360		107,986,063	

38.4.3 Currency Risk

Currency risk is the risk of loss resulting from changes in exchange rates. The Company's principal operation is based in Sri Lanka; therefore it is not exposed to the financial impact arising from changes in the exchange rates of various currencies.

38.5 INSURANCE RISK

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

- Underwriting Risks
- Claims Risks
- Reinsurance Risk

In addition to the above Life Insurance is specifically subject to the following risks:

1. Mortality risk – risk of loss arising due to policyholder's death experience being different than expected
2. Morbidity risk – risk of loss arising due to policyholder's health experience being different than expected
3. Investment return risk – risk of loss arising from actual returns being different than expected
4. Expense risk – risk of loss arising from expense experience being different than expected
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected

In order to mitigate such risk the Company has adopted the following strategy. The Company strategy is driven by the comprehensive screening of policyholder's in order to ascertain current medical status, family medical history the key been the comprehensive screening of participants. Further the Company ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry-wide segments.

The Company also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

38.5.1 Underwriting Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

How We Manage It

- Price** - The Company has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- Exposure** - The Company fully ensures that the Company does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are reinsured.
- Personnel** - The Company ensures that all underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPIs) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary who reviews the Life Business closely and guides the management when taking crucial product-based decisions.

Further, it should be noted that the Company monthly monitors product profitability of all main classes of insurance.

38.5.2 Claims Risks

The key risk facing insurance companies is the claims risks where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Company performance.

How We Manage It

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance Indicators of all staff levels.

38.5.3 Reinsurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

How We Manage It

The Board Risk Committee annually reviews the list of reinsurers to ensure that the Company's exposure is hedged to maximum effect whilst periodically monitoring the financial status and condition of the same. The Company employs pre-agreed treaty insurance agreements to hedge against day-to-day insurance exposure whilst engages in facultative insurance to hedge against extraordinary insurance risks in the line of day-to-day business.

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Name of the Rating Agency	Date of Rating
			Credit	Financial Strength		
Marine	Swiss Retakaful	Switzerland	AA-	AA- (Very Strong)	Standard and Poor's	28/11/2014
			Aa3-	Aa3 (Excellent)	Moody's	10/12/2013
			aa-	A+ (Superior)	A.M. Best	6/11/2014
	Labuan Reinsurance (L) Ltd.	Malaysia	A-	Excellent	A.M. Best	11/7/2014
	General Insurance Corporation of India	India		A-	A.M. Best	6/3/2014
			AAA		CARE	10/2/2014
	Trust International Insurance and Reinsurance Co. B.S.C. Trust Re	Kingdom of Bahrain	A-	A- (Excellent)	A.M. Best	22/08/2012
Fire	Swiss Retakaful	Switzerland	AA-	AA- (Very Strong)	Standard and Poor's	28/11/2014
			Aa3	Aa3 (Excellent)	Moody's	10/12/2013
			aa-	A+ (Superior)	A.M. Best	6/11/2014
	Labuan Reinsurance (L) Ltd.	Malaysia	A-	Excellent	A.M. Best	11/7/2014
	General Insurance Corporation of India	India		A-	A.M. Best	6/3/2014
			AAA		CARE	10/2/2014
	Trust International Insurance and Reinsurance Co. B.S.C. Trust Re	Kingdom of Bahrain	A-	A- (Excellent)	A.M. Best	22/08/2013
Motor	Swiss Retakaful	Switzerland	AA-	AA- (Very Strong)	Standard and Poor's	28/11/2014
			Aa3	Aa3 (Excellent)	Moody's	10/12/2013
			aa-	A+ (Superior)	A.M. Best	6/11/2014
	Labuan Reinsurance (L) Ltd.	Malaysia	A-	Excellent	A.M. Best	11/7/2014
	General Insurance Corporation of India	India		A-	A.M. Best	6/3/2014
			AAA		CARE	10/2/2014
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A-	A- (Excellent)	A.M. Best	22/08/2013
Liability	Swiss Retakaful	Switzerland	AA-	AA- (Very Strong)	Standard and Poor's	28/11/2014
			Aa3	Aa3 (Excellent)	Moody's	10/12/2013
			aa-	A+ (Superior)	A.M. Best	6/11/2014
	General Insurance Corporation of India	India		A-	A.M. Best	6/3/2014
			AAA		CARE	10/2/2014
	Labuan Reinsurance (L) Ltd.	Malaysia	A-	Excellent	A.M. Best	11/7/2014
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A-	A- (Excellent)	A.M. Best	22/8/2013

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Name of the Rating Agency	Date of Rating
			Credit	Financial Strength		
Miscellaneous:						
1. Miscellaneous	Swiss Retakaful	Switzerland	AA-	AA- (Very Strong)	Standard and Poor's	28/11/2014
			Aa3	Aa3 (Excellent)	Moody's	10/12/2013
			aa-	A+ (Superior)	A.M. Best	6/11/2014
	Labuan Reinsurance (L) Ltd.	Malaysia	A-	Excellent	A.M. Best	11/7/2014
	General Insurance Corporation of India	India		A-	A.M. Best	6/3/2014
			AAA		CARE	10/2/2014
	Trust International Insurance and Reinsurance B.S.C(c) Trust Re	Kingdom of Bahrain	A-	A- (Excellent)	A.M. Best	21/08/2014
2. Travel PA	Ironshore	Malaysia		A- (Excellent)	A.M. Best	11/6/2012
				A+ (Strong)	S&P	11/6/2012
3. Engineering	Swiss Retakaful	Switzerland	AA-	AA- (Very Strong)	Standard and Poor's	28/11/2014
			Aa3	Aa3 (Excellent)	Moody's	10/12/2013
			aa-	A+ (Superior)	A.M. Best	6/11/2014
	Labuan Reinsurance (L) Ltd.	Malaysia	A-	Excellent	A.M. Best	11/7/2014
	General Insurance Corporation of India	India		A-	A.M. Best	6/3/2014
			AAA		CARE	10/2/2014
	Trust International Insurance and Reinsurance B.S.C(c) Trust Re	Kingdom of Bahrain	A-	A- (Excellent)	A.M. Best	21/8/2014

Statement of Re-Insurance Arrangements (Long-term Insurance)

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Name of the Rating Agency	Date of Rating
			Credit	Financial Strength		
Life						
1. Long-Term Takaful Plans (Endowments)	1. Best Re Family (L) Ltd.	Malaysia	A-	A-	S&P	6/5/2013
	2. Hanover Re	Bahrain	A-	A-	S&P	3/1/2013
Annuity						
1	N/A	N/A	N/A	N/A	N/A	N/A
Accident and Sickness						
1	N/A	N/A	N/A	N/A	N/A	N/A
Other (Specify)						
1. All Family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	A-	A-	S&P	3/1/2013
2. Unit Link Takaful	Best Re Family (L) Ltd.	Malaysia	A-	A-	S&P	6/5/2013
3. Group Family	Hanover Re	Bahrain	A-	A-	S&P	3/1/2013
4. Credit and Mortgage Takaful	Best Re Family (L) Ltd.	Malaysia	A-	A-	S&P	6/5/2013
	SCORE GLOBAL LIFE SE	Malaysia	A+	A	S&P	1/3/2014

38.6 LIQUIDITY RISK

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Company has a standard set of guidelines set up by an investment policy under the purview of the Investment Committee which is followed in accordance with the IBSL Guidelines.

The following policies and procedures are in place to mitigate the Company's exposure to liquidity risk:

- The Company maintains a diverse maturity profile in its assets, in order to ensure sufficient funding is available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Group investments based on remaining maturity is given below:

	Less Than 1 Year Rs.	1-3 Years Rs.	3-5 Years Rs.	More Than 5 Years Rs.	No Stated Maturity Rs.	Total Rs.
As at 31st December 2014						
Investments in Equity Securities	167,580,748	–	–	–	–	167,580,748
Repurchase Agreements	338,377,012	–	–	–	–	338,377,012
Unit Trust	219,255,865	–	–	–	–	219,255,865
Unquoted Equity	–	–	–	525,000	–	525,000
Treasury Bonds	–	–	–	–	–	–
Treasury Bills	5,178,149	–	–	–	–	5,178,149
Murabaha Investments	170,760,615	–	–	–	–	170,760,615
Mudharaba Investments	841,020,291	–	–	–	–	841,020,291
Bank Deposits	73,848	–	–	–	–	73,848
Advances to Company Officers	11,379,617	–	–	–	–	11,379,617
	1,742,246,527	–	–	525,000	–	1,754,151,144
As at 31st December 2013						
Investments in Equity	113,889,088	–	–	–	–	113,889,088
Unit Trust	113,183,626	–	–	–	–	113,183,626
Securitized Units	161,932,422	–	–	–	–	161,932,422
Unquoted Equity	–	–	–	525,000	–	525,000
Treasury Bonds	121,444,313	–	–	–	–	121,444,313
Treasury Bills	165,558,547	–	–	–	–	165,558,547
Murabaha Investments	147,809,423	–	–	–	–	147,809,423
Mudharaba Investments	819,937,768	–	–	–	–	819,937,768
Bank Deposits	71,121	–	–	–	–	71,121
Advances to Company Officers	11,188,105	–	–	–	–	11,188,105
	1,643,826,308	–	–	525,000	–	1,655,539,413

	Financial Services	Asset Management	Government	Food & Beverage	Tele- Communication	Manufacturing Petroleum and	Others	Total
31st December 2014								
Assets								
Financial Assets at Fair Value Through Profit or Loss								
Investments in Equity Securities	-	-	-	22,180,969	2,518,266	57,145,573	31,356,405	113,201,213
Available-for-Sale Financial Assets								
Investments in Equity Securities	54,379,535	-	-	-	-	-	-	54,379,535
Units Trust	-	219,255,865	-	-	-	-	-	219,255,865
Unquoted	-	-	-	-	-	525,000	-	525,000
Treasury Bills	-	-	5,178,149	-	-	-	-	5,178,149
Loans and Receivables								
Repurchase Agreements	-	-	338,377,012	-	-	-	-	338,377,012
Murabaha Investments	170,760,615							170,760,615
Mudharaba Investments	841,020,291	-	-	-	-	-	-	841,020,291
Bank Deposits	73,848	-	-	-	-	-	-	73,848
Advances to Company Officers		-	-	-	-	-	11,379,617	11,379,617
Total Credit Exposure	1,066,234,289	219,255,865	343,555,161	22,180,969	2,518,266	57,670,573	42,736,022	1,754,151,144

	Financial Services	Asset Management	Government	Food & Beverage	Tele- Communication	Manufacturing Petroleum and	Others	Total
As at 31st December 2013								
Assets								
Financial Assets at Fair Value Through Profit or Loss								
Investments in Equity Securities	-	-	-	11,456,201	2,518,266	31,541,083	46,953,478	92,469,028
Available-for-Sale Financial Assets								
Investments in Equity Securities	-	-	-	-	-	-	21,420,060	21,420,060
Units Trust	-	161,932,422	-	-	-	-	-	161,932,422
Unquoted	-	-	-	-	-	525,000	-	525,000
Treasury Bonds	-	-	121,444,313	-	-	-	-	121,444,313
Treasury Bills	-	-	165,558,547	-	-	-	-	165,558,547
Loans and Receivables								
Repurchase Agreements	-	-	113,183,626	-	-	-	-	113,183,626
Murabaha Investments	147,809,423	-	-	-	-	-	-	147,809,423
Mudharaba Investments	819,937,768	-	-	-	-	-	-	819,937,768
Bank Deposits	71,121	-	-	-	-	-	-	71,121
Advances to Company Officers	-	-	-	-	-	-	11,188,105	11,188,105
Total Credit Exposure	967,818,311	161,932,422	400,186,486	11,456,201	2,518,266	32,066,083	79,561,643	1,655,539,413

39. COMMITMENTS AND CONTINGENCIES

39.1 COMMITMENTS

The Company does not have significant capital commitments as at the reporting date.

39.2 CONTINGENCIES

A contingent liability at a fair value of Rs. 179 Mn has been determined from two claims where, the claim is subject to legal proceeding. At the reporting date, the lawyers are of the view that these two cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

40. EVENTS OCCURRING AFTER THE REPORTING DATE

There have been no event occurring after the reporting date that require adjustments to or disclosures in these Financial Statements, other than the following events :

40.1 TRANSFER OF FAMILY TAKAFUL BUSINESS TO AMĀNA TAKAFUL LIFE LTD.

Amāna Takaful PLC incorporated a fully-owned subsidiary, Amāna Takaful Life Ltd., on 10th July 2014 in order to transfer the Family Takaful business w.e.f. 1st January 2015 in line with the requirement to segregate Life and General Insurance business as required by the RII (Amendment) Act No. 03 of 2011.

Amāna Takaful PLC invested Rs. 120 Mn in line with the regulatory requirements in the said subsidiary company on 6th August 2014.

Through a Rights Issue detailed in Note 40.2, a further investment of Rs. 380 Mn was made in the subsidiary company in January 2015 in order to meet its regulatory minimum capital requirements. Accordingly, total stated capital of Amāna Takaful Life Ltd. is Rs. 500 Mn.

Having increased the capital and obtained all regulatory and other approvals, Amāna Takaful PLC transferred its Family Takaful business to Amāna Takaful Life Ltd., w.e.f. 1st January 2015 in line with the IBSL Guidelines for segregation of composite insurance companies.

Relevant disclosures to Colombo Stock Exchange (CSE) were also made as appropriate.

Accordingly, Amāna Takaful PLC is now a general insurance company whilst Amāna Takaful Life Ltd. is a life insurance company 100% owned by Amāna Takaful PLC.

40.2 RIGHT ISSUE OF ORDINARY SHARES

In December 2014, shareholders of the Company at a general meeting approved a rights issue of 500,000,360 ordinary shares with 1 ordinary share for every 2 existing ordinary shares at an exercise price of Rs. 0.80 per share.

As at 31st December 2014, 19,961,815 ordinary shares amounting to Rs. 15,969,452/- was subscribed and paid, which is accounted for under the Prepaid Share Reserve (Note 15.4)

Balance 480,038,545 ordinary shares were subscribed and paid in January 2015. Allotment of the subscribed shares was concluded in January 2015.

Effect on the stated capital after the conclusion of the Rights Issue is as follows:

	No. of shares	Rs.
Stated Capital prior to Right Issue	1,000,000,720	1,250,000,900
Right Issue	500,000,360	400,000,288
Stated Capital after Right Issue - fully paid	1,500,001,080	1,650,001,188

41. ASSETS PLEDGED

The following assets have been pledged as security for liabilities:

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2014 Rs.	2013 Rs.	
Leased Vehicle	Pledged against Finance Lease Liabilities	10,957,113	6,665,760	Property, Plant & Equipment
Repurchase Agreements	Bank Guarantee for a Performance Bond	1,000,000	1,500,000	Financial Assets - Shareholders' Fund

42. COMPARATIVE INFORMATION

Comparative information has been restated where necessary to conform with the current year presentation.

GROUP VALUE ADDED STATEMENT

	2014 Rs. Mn	2013 Rs. Mn
Net Earned Contribution (Premium)	2,081	1,965
Investment and Other Income	303	184
	2,384	2,149
Net Claims and Benefits	(896)	(929)
Cost of External Services	(691)	(570)
Total Value Added	797	649
To Employees as Salaries and Other Benefits	335	296
To the Government as Taxes	(17)	(47)
Increase in Family Takaful (Long-Term Insurance) Fund	347	221
Retained with the Business		
- Depreciation	29	20
- In Reserves	103	158
Total Value Added	797	649

SHARE INFORMATION

1. ANALYSIS OF THE DISTRIBUTION OF SHAREHOLDERS AS AT 31ST DECEMBER 2014

Shareholding		Resident				Non-Resident				Total		
		No. of Shareholders	No. of Shares	%		No. of Shareholders	No. of Shares	%		No. of Shareholders	No. of Shares	%
1	-	1,000	2,488	942.271	0.09	3	650	0.00		2,491	942,921	0.09
1,001	-	10,000	2,544	11,957,729	1.20	4	19,300	0.00		2,548	11,977,029	1.20
10,001	-	100,000	1,206	40,749,382	4.07	6	384,000	0.04		1,212	41,133,382	4.11
100,001	-	1,000,000	204	58,157,219	5.82	5	1,348,800	0.13		209	59,506,019	5.95
Over 1,000,000		25	883,512,657	88.35		1	2,928,712	0.29		26	886,441,369	88.64
		6,467	995,319,258	99.53		19	4,681,462	0.47		6,486	1,000,000,720	100.00

The percentage of shares held by the public as at 31st December 2014 was 24.51% (31st December 2013 - 28.32%), where the number of shareholders was 6,477 (31st December 2013 - 7,354).

2. TOP 20 SHAREHOLDERS AS AT 31ST DECEMBER 2014

	2014		2013	
	No. of Shares	%	No. of Shares	%
Amāna Holdings Ltd.	600,047,315	60.00	483,406,160	48.34
Amāna Bank Ltd.	151,651,000	15.17	150,897,402	15.09
Expolanka Holdings PLC	52,730,823	5.27	52,730,823	5.27
Dr. Thirugnanasambandar Senthilvel	21,943,826	2.19	81,941,681	8.19
Falcon Trading (Pvt) Ltd.	12,190,486	1.22	10,215,400	1.02
Mr. Hitihami Koralage Pushpakumara	5,830,856	0.58	4,059,031	0.41
Carlines Holdings (Pvt) Ltd.	4,230,347	0.42	100	-
Mr. Nandadeva Perera	4,000,000	0.40	5,001,300	0.50
Mr. Kalugala Eraj Hasitha De Alwis	3,565,783	0.36	3,565,783	0.36
Amana Asset Management Ltd.	3,437,938	0.34	-	-
Seylan Bank PLC/Jayantha Dewage	3,166,589	0.32	3,166,589	0.32
Mubasher Financial Services Bsc	2,928,712	0.29	-	-
Mr. Osman Kassim	2,560,079	0.26	80	-
Mrs. Pattini Deva Ashoka Swarna Kanthie Beruwelage	2,147,200	0.21	2,147,200	0.21
Mrs. Riffat Kassim	2,000,000	0.20	1,500,000	0.15
Mr. Gajath Chrysantha Goonetilleke	1,650,000	0.16	1,270,000	0.13
J.B. Cocoshell (Pvt) Ltd.	1,581,234	0.16	1,581,234	0.16
Mr. Kallara Wijetunga Mudiyanalage Sardatissa	1,500,000	0.15	2,000,000	0.20
Mrs. Nabeela Haroon	1,500,000	0.15	1,500,000	0.15
Mr. Mohamed Hussain Mohamed Nazeer	1,445,000	0.14	1,445,000	0.14
	880,107,188	88.01	806,427,783	80.64

3. INVESTOR RATIOS

	Group		Company	
	2014 Rs.	2013 Rs.	2014 Rs.	2013 Rs.
Earnings per Share	0.07	0.13	0.06	0.12
Dividend per Share	—	—	—	—
Net Assets per Share	1.19	1.14	1.04	0.98

4. MARKET VALUE OF SHARES

	2014 Rs.	2013 Rs.
Highest Value	2.10	1.90
Lowest Value	1.20	1.30
Year-end Value	1.80	1.60

TEN YEAR SUMMARY

COMPANY

GENERAL INSURANCE BUSINESS

Statement of Income for the Period Ended	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000	31.12.2007 Rs. '000	31.12.2006 Rs. '000	31.12.2005 Rs. '000
Gross Written Contribution (Premium)	1,376,269	1,322,820	1,193,875	965,300	933,192	953,798	835,188	678,013	589,067	383,930
Net Earned Contribution (Premium)	1,106,330	1,097,871	969,379	778,997	713,535	614,051	559,563	394,132	316,365	157,099
Income from Investments and Other Income	36,992	31,485	25,455	2,814	6,360	2,612	7,420	4,114	12,346	8,132
Net Claims Incurred	(639,843)	(594,890)	(577,914)	(503,774)	(446,969)	(406,636)	(326,946)	(311,620)	(160,379)	(71,183)
Net Commission Incurred	(77,581)	(61,804)	(48,329)	(39,067)	(31,394)	(15,962)	(1,295)	4,882	25,856	18,641
Expenses	(389,950)	(397,047)	(354,408)	(292,601)	(259,761)	(274,262)	(257,545)	(219,511)	(193,015)	(116,923)
Profit/(Loss) before Taxation	35,948	75,615	14,183	(53,631)	(18,229)	(80,197)	(18,802)	(128,004)	1,172	(4,235)
LONG-TERM INSURANCE BUSINESS										
Statement of Income for the Period Ended										
Gross Written Contribution (Premium)	679,029	542,986	364,759	317,897	240,156	207,097	188,676	130,986	90,894	48,921
Net Earned Contribution (Premium)	665,250	537,963	356,951	310,854	232,115	203,077	187,005	117,926	83,778	46,823
Income from Investments and Other Income	136,988	65,566	33,975	9,251	23,286	16,049	12,934	15,643	14,475	11,974
Net Claims Incurred	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)	(69,630)	(51,374)	(34,237)	(25,960)	(11,190)
Net Commission Incurred	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)	(18,074)	(22,089)	(10,636)	(11,382)	(1,737)
Expenses	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)	(70,603)	(65,658)	(27,816)	(22,379)	(10,575)
Increase in Family Takaful (Long-Term Insurance) Fund	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)	(60,818)	(60,881)	(38,532)	(35,295)
Profit/(Loss) before Taxation	-	(6,945)	-	-	-	-	-	-	-	-
SHAREHOLDERS' FUND										
Management fee	497,871	486,766	436,580	345,426	319,783	319,892	292,538	234,097	204,582	124,498
Income from Investments and Other Income	118,506	63,692	49,069	64,570	10,465	27,729	37,000	28,445	3,195	5,085
Expenses	(618,616)	(557,634)	(484,570)	(431,477)	(361,578)	(318,193)	(363,253)	(287,614)	(196,369)	(123,028)
Profit/(Loss) before Taxation	(2,240)	(7,176)	1,079	(21,481)	(31,330)	29,427	(33,716)	(25,073)	11,408	6,554

GROUP

Statement of Income for the period ended	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000	31.12.2007 Rs. '000	31.12.2006 Rs. '000	31.12.2005 Rs. '000
Gross Written Contribution (Premium)	2,652,008	2,373,301	2,153,770	1,613,979	1,173,348	1,160,895	1,023,864	808,999	679,961	432,851
Net Earned Contribution (Premium)	2,081,401	1,964,884	1,618,797	1,253,696	945,650	817,128	746,567	512,058	400,143	247,301
Income from Investments and Other Income	302,752	184,024	204,744	80,866	69,896	47,732	64,275	48,202	30,015	25,191
Net Claims Incurred	(895,861)	(929,340)	(778,767)	(652,614)	(517,552)	(476,266)	(378,319)	(345,858)	(186,340)	(82,374)
Net Commission Incurred	(187,263)	(130,096)	(84,304)	(65,589)	(20,691)	(34,036)	(23,384)	(5,754)	14,474	(26,476)
Expenses	(867,768)	(757,034)	(686,400)	(555,622)	(437,392)	(345,744)	(397,479)	(300,845)	(207,180)	(126,029)
Increase in Family Takaful (Long-Term Insurance) Fund	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)	(60,818)	(60,881)	(38,532)	(35,295)
Profit/(Loss) before Taxation	86,279	111,298	107,022	(70,476)	(35,372)	(52,005)	(49,157)	(153,077)	12,581	2,320
Income Tax Expenses	16,582	46,560	(16,689)	(918)	–	–	–	–	(1,060)	–
Net Profit/(Loss) for the Year	103,011	157,857	90,333	(71,394)	(35,372)	(52,005)	(49,157)	(153,077)	11,521	2,320
Basic Earnings/(Loss) per Share (Rs.)	0.07	0.13	0.06	(0.09)	(0.05)	(0.10)	(0.98)	(3.27)	0.92	0.21

GROUP

Balance Sheet as at	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000	31.12.2007 Rs. '000	31.12.2006 Rs. '000	31.12.2005 Rs. '000
Assets										
Financial Assets	1,754,470	1,655,539	1,877,583	993,838	809,489	–	–	–	–	–
Investments	101,800	173,531	184,105	750,946	88,853	573,210	621,147	503,477	161,509	196,428
Financial Assets - Unit Linked	603,171	351,189	124,446	90,697	–	–	–	–	–	–
Intangible Assets	24,159	29,002	29,199	40,365	25,681	28,692	30,307	15,077	4,775	5,715
Property, Plant & Equipment	127,570	96,720	83,385	39,654	49,610	56,534	55,199	57,498	38,469	24,638
Other Assets	1,000,999	916,957	532,335	578,647	525,610	568,858	351,377	340,834	411,271	205,848
Other Assets - Unit Linked	130,239	38,810	17,401	7,372	–	–	–	–	–	–
Total Assets	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294	1,058,030	916,886	616,024	432,629
Liabilities										
Insurance Provision - Non-Life (General Takaful Fund)	625,154	698,682	597,736	454,936	374,619	346,430	203,274	177,297	127,730	110,301
Insurance Provision - Long-Term (Family Takaful Fund)	551,211	550,220	577,899	494,321	413,141	335,186	274,364	213,225	152,003	113,551
Insurance Provision - Long-Term (Family Takaful Fund) - Unit Linked	730,799	380,958	138,447	50,364	–	–	–	–	–	–
Other Liabilities	443,988	329,820	433,522	550,861	543,217	357,060	361,539	259,657	291,507	175,514
Other Liabilities - Unit Linked	20,116	9,042	2,985	2,176	–	–	–	–	–	–
Total Liabilities	2,371,268	1,968,722	1,750,589	1,552,658	1,330,977	1,038,676	839,177	650,179	571,240	399,366
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	1,250,001	1,250,001	1,250,001	1,250,001	500,000	500,000	500,000	500,000	125,000	125,000
Other Reserves	65,949	30,128	30,140	14,711	17,505	20,648	–	–	–	–
Revenue Reserves	(121,500)	(142,051)	(324,619)	(417,740)	(367,112)	(334,280)	(282,264)	(233,293)	(80,216)	(91,737)
	1,194,450	1,138,078	955,522	846,971	150,393	186,368	217,736	266,707	44,784	33,263
Minority Interest	176,689	154,951	142,343	101,889	17,873	2,250	1,117	–	–	–
Total Equity	1,371,139	1,293,028	1,097,865	948,861	168,266	188,618	218,853	266,707	44,784	33,263
Total Equity and Liabilities	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294	1,058,030	916,886	616,024	432,629

LONG-TERM (FAMILY TAKAFUL) - SUPPLEMENTAL

<i>Balance Sheet as at</i>	31.12.2014	31.12.2013	31.12.2012	31.12.2011	31.12.2010	31.12.2009	31.12.2008	31.12.2007	31.12.2006	31.12.2005
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets										
Financial Assets	590,099	506,956	539,756	328,486	424,414	–	–	–	–	–
Investments	43,683	71,908	73,463	161,666	50,750	327,066	273,439	182,860	88,552	128,255
Financial Assets - Unit Linked	603,171	351,189	124,446	90,697	–	–	–	–	–	–
Intangible Assets	–	–	–	–	–	21,977	23,744	8,490	202	403
Property, Plant & Equipment	–	–	–	–	–	1,744	4,734	7,723	–	–
Other Assets	64,612	37,992	43,936	27,420	10,913	18,400	11,951	40,180	79,275	11,558
Other Assets - Unit Linked	130,239	38,810	17,401	7,372	–	–	–	–	–	–
Total Assets	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868	239,253	168,029	140,216
Liabilities										
Family Takaful Fund Balance (Insurance Provision - Long-Term)	551,211	550,220	577,899	494,321	413,141	335,186	274,364	213,225	152,003	113,551
Family Takaful Fund (Insurance Provision - Long-Term) - Unit Linked	730,799	380,958	138,447	50,364	–	–	–	–	–	–
Other Liabilities	129,678	66,636	79,171	23,251	72,936	34,001	39,504	26,028	16,026	26,665
Other Liabilities - Unit Linked	20,116	9,042	3,485	47,705	–	–	–	–	–	–
Total Liabilities	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868	239,253	168,029	140,216

BRANCH NETWORK

HEAD OFFICE

No. 660 - 1/1, Galle Road,
Colombo 03.
(T) - +94 11 750 1000 (General)
(F) - +94 11 259 7429 (General)
(E) - info@takaful.lk
(W) - www.takaful.lk

AKKARAIPATTU

No. 77, Main Street, Akkaraipattu.
(T) - +94 67 750 1100

AKURANA

No. 207/B, Matale Road, Akurana.
(T) - +94 81 750 1150

ANURADHAPURA

No. 81, Bank Site, Anuradhapura.
(T) - +94 25 750 1103

BATTICALOA

No. 32, Bar Street, Batticaloa.
(T) - +94 65 750 1100

DEHIWALA

No. 142, Galle Road, Dehiwala.
(T) - +94 11 7501275

GALLE

No. 41, Sri Dammittha Mawatha,
China Garden, Galle.
(T) - +94 91 750 1128

GAMPOLA

No. 134/A, Kandy Road, Gampola.
(T) - +94 81 750 1104

HAMBANTOTA

No. 104, Tissa Road, Hambantota.
(T) - +94 47 7501100

JAFFNA

No. 240, 1st Floor, Power House
Road, Jaffna.
(T) - +94 21 750 1100

KADURUWELA

No. 379A, Main Street,
Kaduruwela.
(T) - +94 27 750 1120

KALMUNAI

No. 32, Mallika Building, Main
Street, Kalmunai.
(T) - +94 67 750 1116

KALPITIYA

208, Main Street, Kalpitiya.
(T) - +94 32 750 1100

KALUTARA

No. 161, Main Street, Kalutara
South, Kalutara.
(T) - +94 34 750 1132

KANDY

No. 111-1/1, Kotugodella
Street, Kandy.
(T) - +94 81 750 1100

KATTANKUDY

No. 287, Main Street, Kattankudy.
(T) - +94 65 750 1118

KINNIYA

No. 124, Main Street, Kinnya.
(T) - +94 26 750 1115

KURUNEGALA

No. 7, South Circular Road,
Kurunegala.
(T) - +94 37 750 1110

MATALE

No. 106, Kings Street, Matale.
(T) - +94 66 750 1101

MATARA

No. 36/1 St. Thomas
Mawatha, Matara.
(T) - +94 41 750 1130

MAWANELLA

No. 207, New Kandy Road,
Mawanella.
(T) - +94 35 750 1107

MUTHUR

No. 05, Main Street, Muthur.
(T) - +94 26 750 1150

NEGOMBO

No. 121 1/1, St. Joseph's Street,
Negombo.
(T) - +94 31 750 1121

PETTAH

No. 51-53, 1st Floor,
Bankshall Street, Colombo 11.
(T) - +94 11 750 1212

PUTTALAM

No. 47, Mannar Road, Puttalam.
(T) - +94 32 750 1124

RATNAPURA

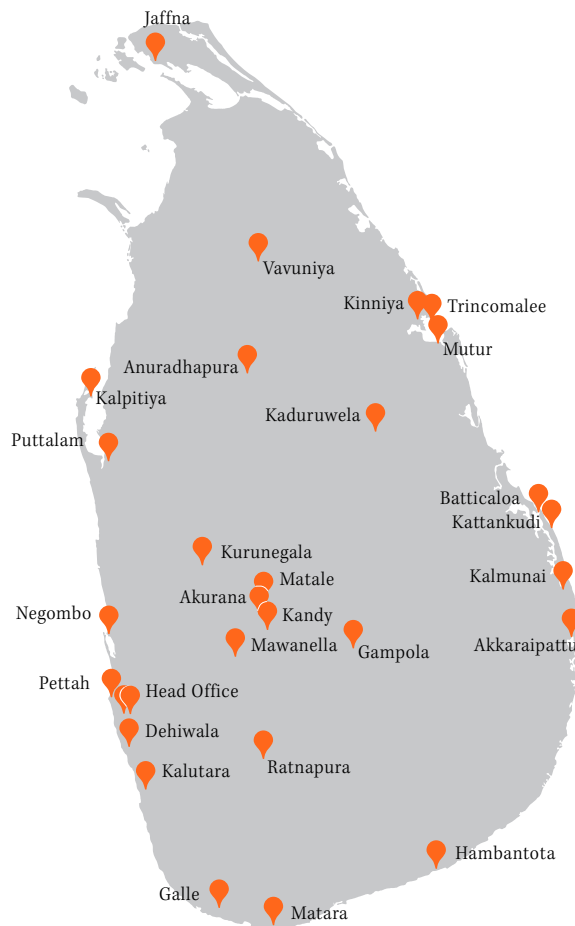
No. 310/1, Main Street,
Kudugawatta, Ratnapura.
(T) - +94 45 750 1100

TRINCOMALEE

No. 71, Thirugnanasambanthar
Street, Trincomalee.
(T) - +94 26 750 1100

VAVUNIYA

No. 6/80, 1st Cross Street,
Vavuniya.
(T) - +94 24 750 1100



GLOSSARY

ACQUISITION EXPENSES – GENERAL TAKAFUL (INSURANCE)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

ACQUISITION EXPENSES – FAMILY TAKAFUL (LIFE)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

ACTUARY

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

CLAIMS INCURRED BUT NOT REPORTED (IBNR)

A reserve to cover the expected cost of losses that have occurred by the Balance Sheet date but have not yet been reported to the insurer.

CLAIM OUTSTANDING – GENERAL TAKAFUL (INSURANCE) BUSINESS

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the Balance Sheet date including claims handling expenses, less amounts already paid in respect of those claims.

COMMISSIONS

A payment made to intermediaries in return for selling and servicing an insurer's products.

EARNED PREMIUM

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

GENERAL INSURANCE BUSINESS (GENERAL TAKAFUL)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

IJARA - (LEASING)

A contract under which, the Bank buys and leases out equipment required by its client for a rental fee. The duration of the lease and rental fees are agreed in advance. Ownership of the equipment remains with the Bank and only the usufruct is transferred to the client. The client is gifted the item at the end of the lease period based on a separate understanding taken by the Bank to gift the asset subject to certain conditions.

INSURANCE PROVISION - FAMILY TAKAFUL (LONG-TERM)

The fund or funds to be maintained by an insurer in respect of its Long-Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

INSURANCE PROVISION - GENERAL TAKAFUL (INSURANCE)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

LIFE INSURANCE BUSINESS (FAMILY TAKAFUL)

Insurance business falling within the classes of insurance specified as Long-Term Insurance, under the Regulation of Insurance Act No. 43 of 2000.

MUDHARABA

This is an agreement made between two parties. The investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

PREMIUM (CONTRIBUTION)

The consideration payable by the insured for an insurance contract.

RETAKAFUL (REINSURANCE)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the reinsurer.

SHARI'AH

In the Code of Law for the Islamic way of life which has been derived from the *Quran* and the *Sunnah* (The Practice of the Holy Prophet Muhammad - Peace be upon him.)

SHARI'AH ADVISORY COUNCIL (SAC)

This comprising *Shari'ah* Scholars or/and well-versed personnel in *Sharah*, which ensures *Shari'ah* compliance in the operations of the Company. The SAC advises the Company on all *Shari'ah* matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

SOLVENCY MARGIN - FAMILY TAKAFUL (LIFE)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on long-term insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

SOLVENCY MARGIN - GENERAL TAKAFUL (INSURANCE)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

SURRENDER

The act of cancelling of an insurance contract before it reaches its date of maturity.

TAKAFUL

Is an Arabic word, which means 'guaranteeing each other'. It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

UNDERWRITING

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

UNEARNED PREMIUM/UNEARNED PREMIUM RESERVE

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the Balance Sheet date.

WRITTEN PREMIUM

Total premium received or due from all insurance contracts during a period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Sixteenth Annual General Meeting of Amāna Takaful PLC will be held on 10th June 2015 at 9.30 a.m. at Grand Ballroom, Galadari Hotel, 64, Lotus Road, Colombo 1 for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2014 and the Report of the Auditors thereon.
2. Re-election of Directors by Rotation in terms of Article 83 of the Articles of Association of the Company
 - a. To re-elect Mr. Osman Kassim as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.
 - b. To re-elect Mr. Aboo Sally Mohamed Muzzammil as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.
3. Re-election of Directors in terms of Section 211 of the Companies Act No. 07 of 2007.
- To re-elect Dr. Ifthikarudeen Ahamed Ismail and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To re-elect Dr. Ifthikarudeen Ahamed Ismail who is 77 years of age as a Director in terms of Section 211 of the Companies Act No. 7 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed Ismail.

- To re-elect Mr. M.H.M. Rafiq and the following resolution to be passed for this purpose, if thought fit.

IT IS HEREBY RESOLVED: To re-elect Mr. M.H.M. Rafiq who is 70 years of age as a Director in terms of Section 211 of the Companies Act No. 7 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Mr. M.H.M. Rafiq.

- To re-elect Dato' Mohd. Fadzli Yusof and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd. Fadzli Yusof who is 70 years of age as a Director in terms of Section 211 of the Companies Act No 7 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Dato' Mohd. Fadzli Yusof.

4. To reappoint the retiring Auditors, Messrs Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.

By Order of the Board,
Amāna Takaful PLC



Managers and Secretaries (Private) Ltd.
Secretaries

10th April 2015

Notes:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
2. A Form of Proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road, Colombo 3, not less than forty-eight hours prior to the time appointed for holding the meeting.

FORM OF PROXY

I/We the undersigned
of
being a member/members of Amāna Takaful PLC, hereby appoint
..... of
..... or failing him

Tyeab Akbarally	of Colombo or failing him
Osman Kassim	of Colombo or failing him
Dato' Mohd. Fadzli Yusof	of Malaysia or failing him
Dr. A.A.M. Haroon	of Colombo or failing him
M.H.M. Rafiq	of Colombo or failing him
M. Ehsan Zaheed	of Colombo or failing him
A.S.M. Muzzammil	of Colombo or failing him
Dr. I.A. Ismail	of Colombo or failing him
R. Gopinath	of India

as my/our proxy to represent me/us and* to vote for me/us on my/our behalf at the Annual General Meeting to be held on 10th June 2015 at 9.30 a.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof.

As witness my/our hands this day of 2015.

.....
Signature

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her attorney and in the case of a company/corporation, the Form of Proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name and address of the proxyholder and of the shareholder appointing the proxyholder should be entered legibly in the Form of Proxy.
3. The duly completed Form of Proxy must be deposited at the Registered Office of the Company at No. 660 - 1/1, Galle Road, Colombo 3, not later than 48 hours prior to the time appointed for the holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed Form of Proxy and must be deposited at the Registered Office of the Company.

CORPORATE INFORMATION

NAME OF THE COMPANY

Amāna Takaful PLC

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER (TIN)

134007958

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amāna Takaful PLC shares is 'ATL'.

DIRECTORS

Mr. Tyeab Akbarally - *Chairman*
Mr. Osman Kassim
Dato' Mohd Fadzli Yusof
Dr. A.A.M. Haroon
Mr. M.H.M. Rafiq
M. Ehsan Zaheed
Dr. T. Senthilverl (*resigned w.e.f. 11.08.2014*)
Mr. A.S.M. Muzzammil
Mr. M.U.M. Ali Sabry (*resigned w.e.f. 31.07.2014*)
Dr. I.A. Ismail
Mr. R. Gopinath

SHARI'AH ADVISORY COUNCIL

Mufti M.I.M. Rizwe - *Chairman*
Moulavi M.M.A. Mubarak - (*resigned w.e.f. 31.01.2014*)
Moulavi M. Fazil Farook
Moulavi M. Murshid - *Secretary*

CHIEF EXECUTIVE OFFICER

Mr. M. Fazal Ghaffoor

GM/CEO - LIFE

Mr. A. Reyaz Jeffrey

REGISTERED OFFICE

No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

SUBSIDIARIES

Amāna Takaful Life Limited
No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

Amāna Global Ltd.
No. 6, Glen Aber Place, Colombo 04, Sri Lanka

AUDITORS

Ernst & Young
Chartered Accountants

CONSULTANT ACTUARIES - GENERAL INSURANCE

NMG Financial Services Consulting Pte Ltd.
65 Chulia Street
#37-07/08, OCBC Centre
Singapore 049513

CONSULTANT ACTUARIES - LONG-TERM INSURANCE

Actuarial Partners Consulting Sdn. Bhd.
Suite 17.02 Kenanga International
Jalan Sultan Ismail 50250
Kuala Lumpur, Malaysia

REINSURANCE PANEL

MNRB Retakaful
GIC Retakaful
Labuan Reinsurance (L) Ltd.
Trust International Bahrain
Catlin Labuan Ltd. (Lloyds Syndicate)
Hannover Retakaful

SECRETARIES

Managers and Secretaries (Pvt) Ltd.

PRINCIPAL BANKERS

Amāna Bank PLC/Pan Asia Bank/NDB Bank/Bank of Ceylon
Commercial Bank/Public Bank/Nations Trust Bank/ Deutsche Bank



This Annual Report is Carbon Neutral

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www.smart.lk



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660-1/1, Galle Road, Colombo 03, Sri Lanka.

www.takaful.lk